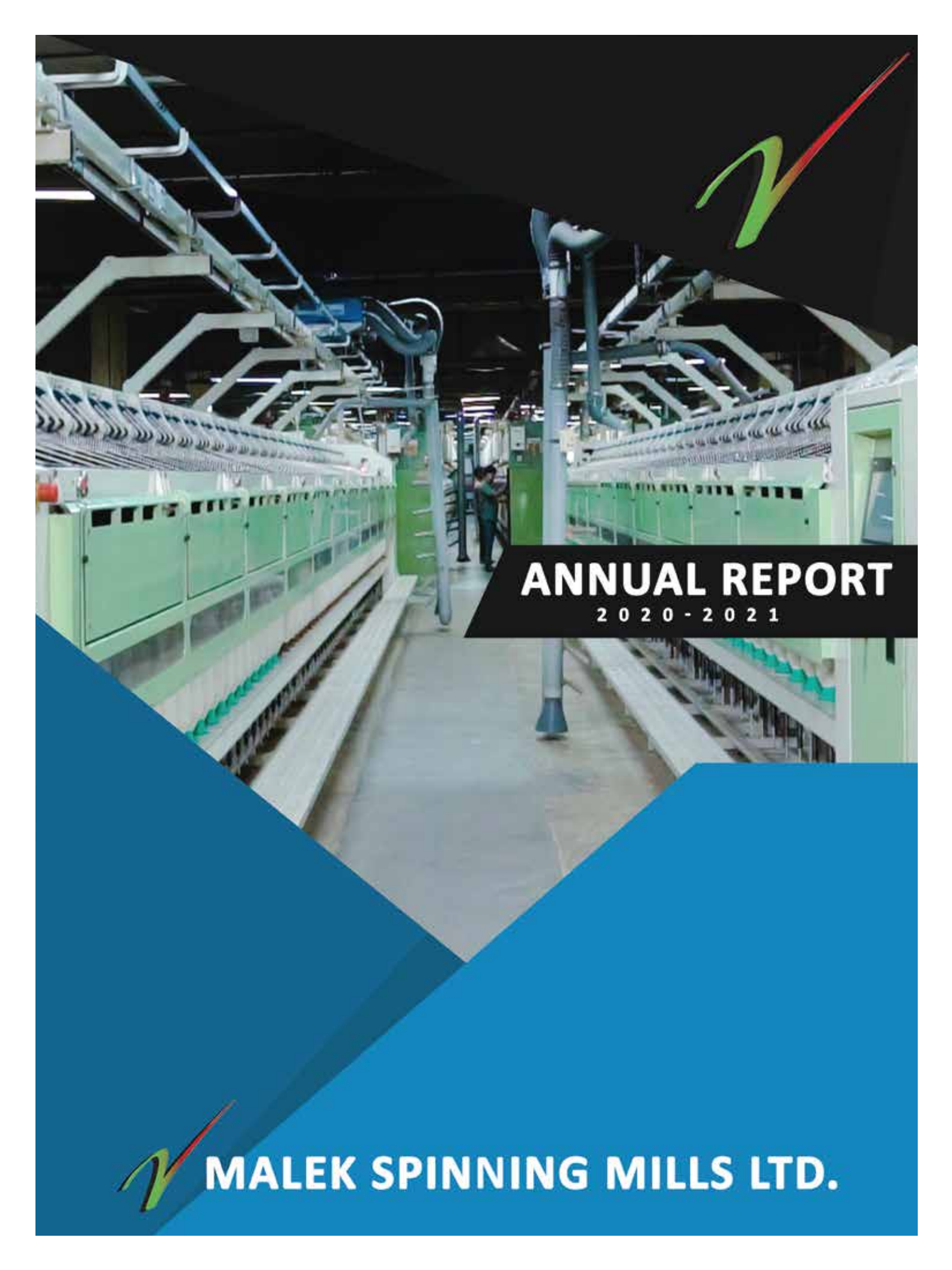


A photograph of a large industrial spinning mill. The image shows long rows of green and white spinning machines on both sides of a central aisle. The ceiling is high with visible pipes and lighting fixtures. A person is visible in the distance between the machine rows. The overall scene is brightly lit, typical of a modern industrial facility.

ANNUAL REPORT

2020 - 2021



MALEK SPINNING MILLS LTD.

32ND ANNUAL REPORT 2020-2021



32ND ANNUAL REPORT 2020-2021

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Malek Spinning Mills Limited

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208
 Tel: IPT +8809612111177-92, 880-2-8878065, Fax: 880-2-8878064
 E-mail: allabj@newasiabd.com, Website: www.malekspinning.com

MALEK SPINNING MILLS LIMITED

TRANSMITTAL LETTER

The Shareholders

Bangladesh Securities and Exchange Commission

Registrar of Joint Stock Companies & Firms

Dhaka Stock Exchange Ltd.

Chittagong Stock Exchange Ltd.

Sub: Annual Report for the year ended 30th June, 2021

Dear Sir(s),

We are pleased to enclose a copy of the Annual Report of Malek Spinning Mills Limited containing Directors' Report, Auditors' Report along with the Audited Financial Statements comprising Statement of Financial Position as at June 30, 2021, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended June 30, 2021 along with notes thereon and all related Consolidated and Subsidiaries Financial Statements, Corporate Governance Compliances and others for your kind information and records.

Thanking you,

Yours sincerely,



Syed Saiful Haque

Company Secretary

Dated: November 28, 2021

MALEK SPINNING MILLS LIMITED

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh

Corporate Head Office: Tower-117, 117/A,

Tejgaon Industrial Area, Dhaka-1208

NOTICE OF THE 32ND ANNUAL GENERAL MEETING

Notice is hereby given that the **32ND ANNUAL GENERAL MEETING** of the shareholders of the Company will be held on **Monday, 27th December, 2021 at 2:00 p.m.** under Digital (Virtual) Platform through the link **<http://www.digitalagmbd.net/malekspin>** to transact the following business:

- Agenda-1. To receive, consider and adopt the Audited Financial Statements of the Company for the year ended 30th June, 2021 together with the Report of the Directors' and the Auditors' thereon.
- Agenda-2. To declare dividend for the year ended 30th June, 2021.
- Agenda-3. To elect Directors in terms of the relevant provision of Articles of Association of the Company.
- Agenda-4. To appoint Statutory Auditors for the year 2021-2022 and to fix their remuneration.
- Agenda-5. To appoint Compliance Auditors for the year 2021-2022 and to fix their remuneration.
- Agenda-6. To consider approval of the contract for sale of yarn (finished goods) to subsidiary/associate/sister companies, if any.

By order of the Board



Syed Saiful Haque
Company Secretary

Dated: November 28, 2021

Notes:

- (i) The shareholders whose names would appear in the Share Register of the Company and/or Depository Register of CDBL on the **record date i.e. November 18, 2021** would be entitled to attend at the AGM and to receive the dividend.
- (ii) Pursuant to the Bangladesh Securities and Exchange Commission (BSEC) Order, the AGM will be virtual meeting, which will be conducted via live streaming by using digital platform.
- (iii) **The shareholders' are requested to participate at the meeting by login to the following link: <http://www.digitalagmbd.net/malekspin>**
- (iv) The Shareholders will be able to submit their questions/comments and vote electronically 24 hours before commencement of the AGM and during the AGM. For logging in to the system, the Shareholders need to put their 16-digit Beneficial Owner (BO) ID number and other credential as proof of their identity.
- (v) The Proxy form must be affixed with requisite revenue stamp and be deposited at the Corporate Head Office of the Company not less than 72 hours before the time fixed for the meeting.
- (vi) Pursuant to the BSEC Notification, the soft copy of the Annual Report 2020-21 is to be sent to the email addresses of the Shareholders available in their BO accounts maintained with the Depository and this Report will also be available in the Company's website at **www.malekspinning.com**
- (vii) The shareholders are requested to login to the system prior to starting of the meeting at 2:00 P.M. on Monday, 27 December 2021. Please contact at +8801709998861 for any queries in accessing the virtual meeting.

CORPORATE GOVERNANCE:

Corporate Governance is a discipline by which a Company is controlled and directed. Governance is the path to identify and ensure the ethics, rights and responsibilities among different participants in the Company. Good Corporate Governance is key to its successful sustenance. Corporate Governance of Malek Spinning Mills Ltd. is as follows:

Board of Directors

In line with the concept of Good Corporate Management Practice and the provisions of Articles of Association, The Board of Directors, the top Management tier is responsible for overall control and supervision of the entire affairs of the Company primarily through strategic planning & budgetary control mechanisms. To this end, The Board of Directors hold periodic meetings to resolve issues of policies and strategies, recording the minutes/decisions for implementation by the Executive Management.

During the year under review the Board of Directors of Malek Spinning Mills Limited held 8 (eight) meetings to transact various agenda. The intervening gap between the meetings was within the period prescribed under the Companies Act.

The present Board of Directors consist of Eight (8) members including two Independent Directors with varied education and experience which provides a balancing character in decision making process.

The present Board of Directors are comprised by the following owners/persons:

Mr. A.F.M. Zubair	Chairman
Mr. A. Matin Chowdhury	Managing Director
Dr. Shamim Matin Chowdhury	Director
Mr. Azizur Rahim Chowdhury	Director
Ms. Saima Matin Chowdhury	Director
Mr. Moshir Rahman	Director (Nominee of Paragon Poultry Ltd.)
Mr. Sultan Ahmed FCA	Independent Director
Dr. Sultan Hafeez Rahman	Independent Director

The Board is re-constituted every year by the Members (shareholders) of the Company in the Annual General Meeting through retirement/re-election/election of one-third members.

Separate Role of the Chairman and Managing Director

The positions of Chairman and Managing Director are held by separate persons. Mr. A.F.M. Zubair is the Chairman of the Company and responsible for the functions of the Board while Mr. A. Matin Chowdhury is the Managing Director serves as the Chief Executive Officer (CEO) of the Company.

Independent Director

In compliance of the BSEC Regulations on Good Governance, the Board of Directors as empowered by the Regulations, appointed

- (1) Mr. Sultan Ahmed FCA, a senior Chartered Accountant and former Chief Auditor of Bangladesh Steel & Engineering Corporation, Financial Adviser- Ras Lanuf Oil & Gas Processing Company Ltd., Group Secretary & CCA- Erba & Associates Companies, Director (Finance) & Company Secretary- Prime Group of Industries, Partner- Ahmed Zaker & Co., Chartered Accountancy Firm and presently Managing Partner, Ahmed Sultan & Co., Chartered Accountants and
- (2) Dr. Sultan Hafeez Rahman, a renowned economist and former Director General of Asian Development Bank (ADB), South Asia and a Senior Research Fellow of Bangladesh Institute of Development Studies (BIDS), Member of the Board of Director of Agrani Bank, Adviser/consultant to the Ministry of Jute, Industry and Commerce and Finance and Planning of Govt. of Bangladesh as Independent Directors of Malek Spinning Mills Limited. It is expected that their expertise would help contribute to the further disclosure and protect the interest of all investors in general and smaller investors in particular.

Role & Responsibilities of the Board of Directors

The main role of the Board of Directors, which is the highest level of authority, is to provide general superintendence, oversee the operations and control the affairs of the Company through appropriate delegation and accountability processes via the lines of command.

However the Board of Directors hold the ultimate responsibility & accountability with due diligence for conducting the activities of the Company as per provisions of law in the interest of the shareholders, the stakeholders, the state and the society.

The Board of Directors, in fulfillment of its responsibility hold periodic meetings, at least once a quarter and provide appropriate decisions/directions to the Executive Management. Such meetings usually consider operational performance, financial results, review of budgets, capital expenditure, proposals for BMRE or new projects/divisions/product lines, procurement of funds by issue of shares or borrowing, procurement of raw materials, plant & machinery, pricing of products/discounts, recruitment, training and promotion of officers, approval of annual audited accounts, appropriation of profit and recommendation of dividends and other interest of the stakeholders including the employees and workers.

The Board of Directors take special care in designing and articulating productivity and compensation plans of employees and workers and rewarding them appropriately on the basis of quality and quantity of performance as an incentive. Board also remains responsible for removal of operational hazards to life and health of workers, friendly environmental work condition and social relationship as demanded of good citizen in a country.

Chief Financial Officer, Head of Internal Audit and Company Secretary

The Company has appointed Mr. B. K. Chaki, as Chief Financial Officer, Md. Rakibul Islam, as Head of Internal Audit and Compliance and Mr. Syed Saiful Haque, as Company Secretary of the Company as per requirement of the Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission.

Audit Committee of Board

The Board of Directors has constituted an Audit Committee of the Board consisting of three Non-Executive Directors. The members of the Audit Committee are as follows: (1) Mr. Sultan Ahmed FCA, Independent Director- Chairman (2) Dr. Shamim Matin Chowdhury, Director- Member and (3) Mr. Moshir Rahman, Director- Member.

The Audit Committee carries out its responsibilities as per the provisions of law and submits its report to the Board of Directors from time to time. The Audit Committee shall also co-ordinate with the Internal and External Auditors as and when required. The Audit Committee ensures that adequate internal checks & balances supported by adequate MIS are in place for detection of errors, frauds and other deficiencies. The other responsibilities include inter alia, not being limited to, the prevention of conflict of interest between the Company and its Directors, officials, customers, suppliers, government and any other interest groups and detect or remove any scope of insider trading in the company's stock. The Audit Committee also ensures compliance of requirements of BSEC and other agencies. The Audit Committee of the Board held 4 (four) Meetings during the year 2020-2021.

Nomination and Remuneration Committee of Board

The Board of Directors has constituted a Nomination and Remuneration Committee (NRC) consisting of three Non-Executive Directors. The Members of Nomination and Remuneration Committee (NRC) are as (1) Dr. Sultan Hafeez Rahman, Independent Director, Chairman, (2) Dr. Shamim Matin Chowdhury, Director- Member and (3) Mr. Moshir Rahman, Director, Member.

The Nomination and Remuneration Committee (NRC) held 1 (one) meeting during the year 2020-2021.

The terms of reference of the Nomination and Remuneration Committee inter alia include to determine the Company's policy on specific remuneration packages for executive directors, to review, recommend and/or approve remuneration to whole-time Directors, to review and approve the Remuneration policy of the Company, to formulate criteria for evaluation of Independent Directors and the Board, to devise a policy on Board Diversity, to identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board the appointment or removal of such persons and to discharge such other functions and exercise such other powers as may be delegated/directed by the Board of Directors from time to time.

Executive Management

The Executive Management is led by the Managing Director (CEO) who is appointed by the Board of Directors for a term of 5 years (renewable) with the approval of shareholders in the Annual General Meeting. The Managing Director is supported by professional, well educated, trained and experienced team consisting of Mr. Azizur Rahim Chowdhury, Director, Mr. Ghaus Mohammad, Director-HR & Admin, Mr. Arup Kumar Podder, Senior General Manager, Mr. Nazrul Islam, General Manager and Mr. B. K. Chaki, Chief Financial Officer and a host of Senior Executives in the hierarchy of management.

Shareholders' Relationship

Corporate Governance issues include how major policy decisions are made in business corporations, how various stakeholders can influence the process, who is held accountable for performance and what performance standards are applied. In a nutshell power and influence are crucial in corporate governance. As shareholders belong to the most important stakeholders, ownership structure has an impact on the balance of power among shareholders. Though sponsors usually hold majority shares required for ordinary

resolutions, public shareholders have a definite role and influence in the passing of special resolutions required for changes in the business object, sale of business/productive assets, merger and amalgamation, winding up or dissolution and amendments to Memorandum and Articles of Association for protection of minority interest up to 49.9% of the shareholdings.

The position of shareholders as on 30th June 2021 indicates that the Sponsors of the Company do not hold the required shareholdings (75%) for passing special resolutions. This allows the Public Shareholders (individual & institutions) to play an effective role in protecting their legal corporate rights.

Shareholders Group	Holding
Sponsors/Directors	47.34%
Institutions	23.36%
General Public	29.30%
Foreigners	0
Government	0

The Company holds regularly the Annual General Meeting [Members (Shareholders) Meeting] as per law with adequate Notice and Disclosures in the Directors' Report and the Auditors' Report on Accounts/Notes and Resolutions are passed with consensus and unanimity. All reasonable and practicable suggestions are implemented with good grace.

All enquiries are attended by the Company Secretary, where necessary. Internal Audit team investigates matters of significant merit for consideration by the Management Committee/Managing Director/Audit Committee of Board/Board of Directors as the case may be.

The shareholders as owners, are provided with material information on the Company's operation quarterly and annually. They are also provided routine services by the Company Affairs Division headed by Company Secretary in any company matters which is permissible. The Board is however, responsible to the Members (Shareholders) as well as investors for publication of Price Sensitive Information as per BSEC Regulation. A qualified & experienced person is in charge for all these responsibilities as Company Secretary. The Company has also a web site to provide permissible information/notices/price sensitive information/financial reports and others for the Shareholders and interested investors.

Summary of Unclaimed/Unsettled Dividend (cash):	
Financial Year	Unclaimed/Unsettled Dividend Amount (Tk.)
2009-2010	7,527,500.00
2012-2013	12,312,345.40
2013-2014	3,068,458.45
2014-2015	2,409,363.36
2015-2016	1,717,078.40
2016-2017	1,240,852.20
Unspecified (not returned/not been cashed 2009-10 to 2016-17)	7,399,688.95
Total Unclaimed/Unsettled Dividend as on 2016-2017	35,675,286.76
Deposited to Capital Market Stabilization Fund (CMSF)	35,675,286.76
Dividend returned:	
2017-2018	1,031,016.75
2018-2019	1,800,151.30
Unspecified (not returned/not been cashed 2017-18)	171,554.85
Unspecified (not returned/not been cashed 2018-19)	2,102.05
Bank interest received during the period of 2020-2021	549,227.00
Total Dividend lying with the Company	39,229,338.00

Financial/Statutory Auditors

The role of the Financial/Statutory Auditors in certification of the financial statement is the most significant aspect of Corporate Governance and protection of interest of the investors. As evident from the Annual Reports, the company rigidly follows the Companies Act, Rules of Bangladesh Securities and Exchange Commission, Listing Regulations, Code of International Financial Reporting Standards (IFRS), International Accounting Standards (IAS) and International Standard of Auditing (ISA) with legally required disclosures of Accounts and Financial Statements.

This has been possible due to the high level capability and integrity of the Financial/Statutory Auditor of the Company M/s. Malek Siddiqui Wali., Chartered Accountants, whose performances have played a very trustworthy role in the protection of interest of the stakeholders of the Company.

Compliance Auditors

The Compliance Auditors is responsible in certification on compliance of conditions of Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission as well as the provisions of relevant Bangladesh Secretarial Standards of Institute of Chartered Secretaries of Bangladesh (ICSB). M/s. Das Chowdhury Dutta & Co., Chartered Accountants is the Compliance Auditors of Malek Spinning Mills Limited appointed by its Members (shareholders) in their Annual General Meeting.

Dividend Policy

To comply the Directive of Bangladesh Securities and Exchange Commission (BSEC) Directive No. BSEC/CMRRCD/2021-386/03 dated 14 January 2021 the Company formulated a Dividend Distribution Policy which have been posted in the official website of the company and disclosed in the Annual Report 2020-21.

Segment Report

As there is a single business and geographic segment within the company operates as such no segment reporting is felt necessary for Malek Spinning Mills Ltd. But its subsidiaries Salek Textile Ltd. has geographic and product segment by Spinning, Fabrics & RMG unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8. The disclosure of segment reporting is also disclosed in financial of Salek Textile Ltd.

Risk Perception

The Company Management perceives investment risk within the national and international economic situation in relation to legal and moral requirements involving inter alia, intellectual property rights, scientific invention, WTO Regulations etc. and monetary and fiscal investment policies and has prepared its production & marketing strategies to meet the challenges from these risks. The Company Management also perceives Financial Risk including Credit Risk, Liquidity Risk, Market Risk, Price Risk, Interest Risk and Currency Risk.

Compliances

The company has an established procedures to ensure compliance with all applicable statutory and regulatory requirements. Respective officers are responsible for ensuring proper compliance with applicable laws and regulations.

Corporate Social Responsibilities (CSR)

The Board of Directors is also aware of the Corporate Social Responsibilities (CSR) especially in the areas of gender equality, race-religion- regional equality, non- employment of child labor, human rights, environmental pollution, social-marketing and social-activities.

WE STRIVE FOR

- We in Malek Spinning Mills Ltd., strive, above all, for top quality products at an appropriate cost.
- We owe our shareholders and strive for protection of their capital as well as ensure highest return and growth of their assets.
- We strive for best compensation to all the employees who constitute the back-bone of the management and operational strength of the Company.
- We strive for the best co-operation of the creditors and debtors the banks & financial institutions who provide financial support when we need them, the suppliers of raw materials & suppliers who offer them at the best prices at the opportune moments, the providers of utilities- power, gas & water etc. and the customers who buy our products and services by redeeming their claim in time by making prompt payment and by distributing proper product on due dates to our customers.
- We strive for fulfillment of our responsibility to the Government through payment of entire range of due taxes, duties and claims by various public agencies like municipalities etc.
- We strive, as responsible citizen, for a social order devoid of malpractices, anti-environmental behaviors, unethical and immoral activities and corruptive dealings.
- We strive for practicing good-governance in every sphere of activities covering inter alia not being limited to, disclosure & reporting to shareholders, holding AGM in time, distribution of dividends and other benefits to shareholders, reporting/dissemination of price sensitive information etc.
- We strive for equality between sexes, races, religions and regions in all sphere of operation without any discriminatory treatment.
- We strive for an environment free from pollution and poisoning.

CORPORATE REVIEW

I. MANAGEMENT APPARATUS:

(a) BOARD OF DIRECTORS:	Mr. A.F.M. Zubair	Chairman
	Mr. A. Matin Chowdhury	Managing Director
	Dr. Shamim Matin Chowdhury	Director
	Mr. Azizur Rahim Chowdhury	Director
	Ms. Saima Matin Chowdhury	Director
	Mr. Moshir Rahman	Director (Nominee of Paragon Poultry Ltd.)
	Mr. Sultan Ahmed FCA	Independent Director
	Dr. Sultan Hafeez Rahman	Independent Director
(b) AUDIT COMMITTEE:	Mr. Sultan Ahmed FCA	Chairman
	Dr. Shamim Matin Chowdhury	Member
	Mr. Moshir Rahman	Member
	Syed Saiful Haque	Secretary
(c) NOMINATION AND REMUNERATION COMMITTEE:	Dr. Sultan Hafeez Rahman	Chairman
	Dr. Shamim Matin Chowdhury	Member
	Mr. Moshir Rahman	Member
	Syed Saiful Haque	Secretary
(d) MANAGEMENT COMMITTEE:	Mr. A. Matin Chowdhury	Chairman
	Mr. Azizur Rahim Chowdhury	Member
	Mr. Ghaus Mohammad	Member
	Mr. Arup Kumar Podder	Member
	Mr. Nazrul Islam	Member
	Mr. B. K. Chaki	Member
(e) SENIOR CORPORATE OFFICIALS:	Mr. Ghaus Mohammad	Director HR & Admin
	Mr. Arup Kumar Podder	Senior General Manager
	Mr. Nazrul Islam	General Manager
	Mr. B. K. Chaki	Chief Financial Officer
	Mr. Syed Saiful Haque	Company Secretary
	Md. Rakibul Islam	Head of Internal Audit & Compliance
(f) STATUTORY AUDITORS:	M/s. Malek Siddiqui Wali, Chartered Accountants	
(g) COMPLIANCE AUDITORS:	M/s. Das Chowdhury Dutta & Co., Chartered Accountants	
(h) BANKERS:	i. Eastern Bank Ltd.	Principal Br, Dhaka
	ii. Dhaka Bank Ltd.	Karwan Bazar Br, Dhaka
	iii. The Trust Bank Ltd.	Sena Kalyan Br, Dhaka
	iv. HSBC	Main Br, Dhaka
	v. One Bank Ltd.	Principal Br, Dhaka
(i) INSURERS:	i. Green Delta Insurance Ltd.	
	ii. Pioneer Insurance Co. Ltd.	
	iii. Eastland Insurance Co. Ltd.	
(j) LISTING:	(a) Dhaka Stock Exchange Ltd.	
	(b) Chittagong Stock Exchange Ltd.	
(k) REGISTERED OFFICE:	117/A, Tejgaon Industrial Area, Dhaka-1208.	
(l) CORPORATE HEAD OFFICE:	Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208.	
(m) INVESTORS' RELATION DEPARTMENT:	Md. Kamruzzaman,	Fax No-880-2-8878064,
		E-mail:cs@malekspinning.com,
		Tel: 880-2-8878065, Cell: 88-01709998863
(n) FACTORY:	Shafipur, Kaliakoir, Gazipur.	

II. CORPORATE HISTORY:

- Year of Incorporation : 02 November, 1989
- Year of Commencement of Production : 01 January, 1991
- Year of Conversion to Public Ltd. Co. : 14 September, 2008
- Year of Initial Public Offering (IPO) : 2010
- Stock Exchange Listing date : 2nd August, 2010 (DSE & CSE)
- Authorized Capital : Tk.3,000 Million
- Paid Up Capital : Tk.1,936 Million
- Product Lines : Combed and carded yarn of various counts
(100% export oriented company)
- Number of Employees (30th June 2021) : a. Executive & staff : 189
b. Workers : 1,025
- Subsidiary Companies : a. Salek Textile Ltd.
b. Newasia Synthetics Ltd.
c. J.M. Fabrics Ltd.

III. FIVE YEARS OPERATIONAL RESULTS:

Malek Spinning Mills Limited (Standalone)

(Figures in thousand Tk.)

Particulars	2020-21	2019-20	2018-19	2017-18	2016-17
Turnover	2,976,287	2,584,091	2,779,889	3,002,641	2,540,411
Gross Profit	450,858	125,412	241,741	318,504	284,629
Net Profit (Before Tax)	294,271	(60,590)	73,515	141,193	138,552
Net Profit (After Tax)	250,230	(73,068)	59,288	119,129	117,686
Shareholder's Equity	5,115,349	4,865,119	5,042,742	5,177,055	5,251,526
Total Assets	7,817,684	7,040,120	6,767,856	6,464,612	6,403,382
Total Current Assets	3,844,116	3,131,917	2,773,642	2,584,307	2,520,411
Total Current Liabilities	2,231,747	1,671,666	1,198,994	883,451	861,318
Current Ratio	1.72	1.87	2.31	2.93	2.93
Number of shares (Nos.)	193,600,000	193,600,000	193,600,000	193,600,000	193,600,000
Face Value per share	10	10	10	10	10
Shareholder's Equity per Share	26.42	25.13	26.05	26.74	27.13
Earning per share (MSML)	1.29	(0.38)	0.31	0.62	0.61
Earning per share (Consolidated)	3.36	(1.68)	0.76	1.17	1.05
Dividend Declared Per Share (Stock)	Nil	Nil	Nil	Nil	Nil
Dividend Declared Per Share (Cash)	1.00	Nil	1.00	1.00	1.00
Net Asset Value Per Share (MSML)	26.42	25.13	26.05	26.74	27.13
Net Operating Cash Flow per Share (MSML)	1.75	(0.23)	0.06	0.60	1.42
Number of Shareholders	*13,365	12,842	13,582	14,412	16,093
Human Resources:					
Executives & Staff	189	191	194	272	193
Workers	1,025	1,013	1,097	1,042	1,191

* Number of shareholders considered as on 30th June, 2021.

MESSAGE

FROM THE CHAIRMAN

Dear Shareholders,

It is a great pleasure for me to welcome you on behalf of the Board of Directors to the 32nd Annual General Meeting of Shareholders of the Company. The Directors' Report containing inter alia Audited Accounts and Auditors Report thereon for the year ended 30th June 2021 is enclosed for your perusal.

It may be noted from the operational performance of last 11 (eleven) years that the Company had been operating almost at stable level except the financial year 2019-2020 due to the adverse effect of COVID-19. The Company had declared dividends at 10%-12% during the past years in the form of cash dividend and stock. During the year 2020-2021 despite the adverse effect of Pandemic COVID-19 the Company had succeeded in earning a higher level of net profit with increase in turnover of Tk.2,976,287,495 as compared to previous period.

The operational performance of the Company for the financial year 2020-2021 was higher compared to financial year 2019-2020 despite full year effect of COVID-19. The financial performance for the year 2020-2021 being positive, the Board of Directors declared and recommended 10% cash dividend for all shareholders. The Company succeeded a net profit of Tk.250,229,978 during the year as compared to previous year's net loss Tk.73,068,201.

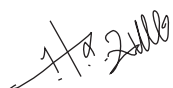
As you are aware of, the global economy is on the high way of recovering invincibly from the COVID-19 outbreak, though the recovery process is different and uneven among countries. In the World Bank published report, the economic growth was projected at 5.6 percent for 2021 which had contracted to 3.5 percent in 2020. Substantial fiscal support for the economy, policy support and vaccine access are the major determinants of this unstable growth. Bangladesh government has institutionally provided policy support to accelerate economic growth in order to reach the expected goal. Bangladesh economy has been consistently performing well with above 6 percent of GDP growth since FY 2010-2011 until COVID-19 outbreak in 2020. Despite the negative impact of COVID-19 pandemic, the Company progressively made a sustainable growth in turnover, gross profit, operating profit, net profit, operating assets and shareholders' equity.

You may be aware that, the textile sector in general and RMG sector in particular, had faced various internal and external difficulties, including but not being limited to, enhanced and costly compliance standards from customers, new regulations in regard to building and fire safety, high wage rate as fixed by government, price hike of power and gas, all of which had direct negative impact on the cost of production, price of products and export revenues making survival difficult.

Our sincere efforts were rewarded positively through recognition from our buyers who had vetted our factories to be safe and compliant for which we had succeeded in retaining our production and export.

Bangladesh Securities and Exchange Commission (BSEC) has introduced mandatory Guidelines on Corporate Governance Code. The Board of Directors of the Company is committed to provide good governance and exercise best practices in all respects, Good governance is our core philosophy for managing the business effectively and responsibly and in a way which is transparent and abiding by the laws of the land.

I would also like to take this opportunity to thank our Shareholders, Regulatory Authorities including Bangladesh Securities and Exchange Commission, Dhaka Stock Exchange Ltd., Chittagong Stock Exchange Ltd., Central Depository Bangladesh Limited, Registrar of Joint Stock Companies & Firms, our Bankers, Insurers and different facilitators for their cooperation and support to our Company.



A. F. M. Zubair
Chairman

MALEK SPINNING MILLS LIMITED
DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR 2020-2021

Dear Shareholders,

In terms of provisions of section 184 of the Companies Act 1994, Rule 12 of the Bangladesh Securities and Exchange Rules 1987, BSEC Notification on CGC dated 03 June, 2018 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), it is the pleasure of the Board of Directors to submit its Report to the Shareholders of the Company for the year ended 30 June, 2021 in the following paragraphs:

Background

Malek Spinning Mills Limited (here in after referred to as “MSML” or “the Company” was incorporated with the Registrar of Joint Stock Companies and Firms (RJSC) vide registration no. C-19018 (872)/89 dated 02 November, 1989 as a Private Limited Company. The status of the Company was converted into Public Limited Company in the year 2008. The company was listed with Dhaka Stock Exchange Limited and Chittagong Stock Exchange Limited in the year 2010.

The company has 3 (three) subsidiaries as follows:

- Salek Textile Limited-** A composite mill of the Textile sector with three operational units. The rotor unit produces open end yarn of various counts having a capacity of 14,621,000 Kgs. yarn per annum. The fabric unit produces denim fabric of various size and grade having capacity of 9,600,000 yards and the RMG unit produces denim products having capacity of 6,600,000 pcs per annum.
- J.M. Fabrics Limited-** A knitting, dyeing, finishing and garments factory located at South Nayapara, 6 No. Dogri, P.O. Bhawal, Mirzapur, Gazipur with a capacity of 54.47 million pcs. T-Shirt & Intimate garments per annum. The company has set up a project named “Seamless Garments” within the same premises in 2018-2019 and this has been started in commercial operation in the year 2019-2020.
- Newasia Synthetics Limited-** A project promoted for setting up a polyester staple fibre and chips plant the implementation of which has since been kept in abeyance due to non-availability of energy/fuel & gas.

1.(5) (i) Industry outlook and possible future developments in the industry:

Our Company falls within the primary textile sector producing world class yarn of various counts. Bangladesh does not produce raw cotton, the basic raw materials of our company. So, we have to import 100% raw materials from outside. The success of the industry also depends on availability of raw materials, power & gas, world economy, international price trend, market situation of end product of export i.e. RMG export. Spinning mill is also a labour oriented industry.

The growth & challenges of the company depends on:

- | | | |
|---------------------------|------------------------|---------------------|
| (a) Labor relations | (b) Labor productivity | (c) Energy |
| (d) Other infrastructures | (e) Law and order | (f) Financial costs |

If these issues are appropriately addressed in time, the growth is expected to improve substantially as Bangladesh has already attained the name for being a quality manufacturer with a very reasonably priced supplier.

1.(5) (ii) Segment-wise or product wise performance:

Our company produces 100% export oriented Knit Yarn. The existing installed production capacity of the company is 12,600,000 kg. yarn per annum with 63,624 Spindles.

Comparative position of its operating/financial performance for the year 2020-2021 and 2019-2020 are given below:

Sl. No.	Description	2020-2021 (Kg.)	2019-2020 (Kg.)
01	Production capacity	12,600,000	12,600,000
02	Actual Production	10,323,494	10,267,670
03	Capacity Utilization	81.93%	81.49%
04	Quantity Sold (kg)	10,721,632	10,606,145
05	Sales Revenue (Tk.)	2,976,287,495	2,584,091,145
06	Average selling price (Tk.)	277.60	243.64

1.(5)(iii) Risk and concerns including internal and external risk factors, threat to sustainability and negative impact on environment, if any:

All sectors of the textile industry face many of the similar challenges. These are lack of power, uncertain fiscal & monetary policies, labor unrest causing disruption of production, Buyers; dominance, international trade barriers

and increased cost of fund. Since a Spinning Mill has to depend on imported raw materials and local supply of labour. Price variation of raw material and increased cost of labour are the main risk for this type of industry. Uninterrupted power supply due to irregular gas supply and price variation also affects this type of industry. The Company is also aware of Financial Risk including Credit Risk, Liquidity Risk, Market Risk, Price Risk, Interest Risk and Currency Risk and is prepared to meet those by systematic control which are elaborately described in the notes of financial statement.

1.5) (iv) Discussion on Cost of Goods Sold, Gross Profit Margin and Net Profit Margin:

- (a) Cost of Goods Sold:** The cost of goods sold was 84.85% on sales during the year 2020-2021 compared to 95.15% during the previous year, a significant decrease of 10.30% was due to decrease of all over raw material price compared to the last year and sales price was increased compared to the last year.
- (b) Export:** The company had achieved an export turnover of Tk.2,976.29 million during the year ended 30th June 2021. Last year's export turnover was Tk. 2,584.09 million. The turnover had increased by 15.18% over the last year due to market demand was sufficient and yarn price was increased.
- (c) Gross Profit:** Gross Profit earned during the year 15.15% on sales as compared to 4.85% during the previous year. Gross profit had increased by 10.30% on sales due to decrease in cost of goods sold.
- (d) Net Profit/(Loss):** The company had earned Net Profit of Tk.250.23 million compared to last year's Net Loss of Tk.73.07 million. The Net Profit was succeeded during this year due to decrease in cost of goods sold percentage on sales and financial expenses compared to previous year.

1.5) (v) Discussion on continuity of any extraordinary activities and their implications (gain or loss):

During the year extra-ordinary loss was Tk.2,606,995 which were incurred from loss on sale of assets Tk. 3,004,749 and foreign currency exchange loss against import LC payment Tk.88,489 total loss (3,004,749+88,489)=Tk.3,093,238 less interest received from Bank Accounts and foreign currency exchange gain against export realization (21,352+464,892)=Tk.486,244 after adjustment loss incurred Tk. (3,093,238-486,244)=Tk. 2,606,995, which has been shown as Other Income/(Loss) in the Statement of Profit or Loss and other Comprehensive Income and in the note no.23.1 in the Notes of Account.

1.5) (vi) Detailed discussion on related party transactions:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of Related party transactions are depicted in Note no.32.1 in the Notes of Account.

1.5) (vii) Statement of utilization of proceeds raised through public issues, right issues and/or any other instruments:

There were no public issues and/or right issues during the year.

1.5) (viii) Explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Share Offer, Direct Listing, etc.:

Initial Public Offering was made on the year 2010. There were no Repeat Public Offering, Rights Offer, Direct Listing, etc. in the history of the company.

1.5)(ix) Explanation on any significant variance occurs between Quarterly Financial performance and Annual Financial Statements:

The company's earnings per share (EPS) in 1st quarter was Tk.0.17 per share, in 2nd quarter stood at Tk.0.43 per share, in 3rd quarter stood at Tk.0.78 per share and in annual financial statements it stood at Tk.1.29 per share. Profitability had increased in the 4th quarter due to increase in sales volume and sales price and decrease in cost of goods sold in that quarter.

1.5) (x) Statement of remuneration paid to the directors including independent directors is stated below:

Name of Directors	Designation	Remuneration paid from 1st July 2020 to 30th June 2021 (Tk.)
Mr. A. F. M. Zubair	Chairman	Nil
Mr. A. Matin Chowdhury	Managing Director	2,600,000
Dr. Shamim Matin Chowdhury	Director	Nil
Ms. Saima Matin Chowdhury	Director	Nil
Mr. Azizur Rahim Chowdhury	Director	Nil
Mr. Moshir Rahman	Director	Nil
Mr. Sultan Ahmed FCA	Independent Director	Nil
Dr. Sultan Hafeez Rahman	Independent Director	Nil
Total		2,600,000

1.(5) (xi) to (xvii) Statement of Directors on Financial Reports:

The above reports are depicted in **Annexure-I**.

1.(5) (xviii) Explanation that significant deviations from the last year's operating results of the company :

During the year 2020-2021 the company's Operating Profit earned was Tk.311,591,435 as against last year Operating Loss of Tk.61,095,273. The significant increase in operating results is due to increase in sales price of yarn and decrease in percentage of cost of goods sold on sales and financial expenses compared to previous year, resulting increase in operating profit during the year 2020-2021.

1.(5) (xix) Key operating and financial data of last preceding 5 (five) years have been presented in summarized form in page no. 9**1.(5) (xx) Dividend:**

During the year 2020-2021 the Board of Directors has recommended for declaration of a Cash Dividend @10% i.e. Tk.1.00 (one) per share of Tk.10.00 each for all shareholders, whose names would appear in the Register of Members/Depository Register of CDBL on the Record Date will be entitled to receive the dividend.

1.(5) (xxi) Board's statement to the effect that no bonus share or stock dividend has been or shall be declared as interim dividend:

No bonus share or stock dividend has been declared during the year 2020-2021 as interim dividend.

1.(5) (xxii) The total number of Board Meetings held during the year 2020-2021 and attendance by each director, stated in Annexure-I.**1.(5) (xxiii) Report on the pattern of shareholding as required by clause 1.(5) (xxiii) of the BSEC Notification dated 03 June 2018, stated in Annexure-II.****1.(5) (xxiv) Appointment/re-appointment of the directors:**

Brief resume and other required information of the directors who seek re-appointed in the ensuing AGM are stated in **Annexure-III**.

1.(5) (xxv) Management's Discussion and Analysis signed by CEO or MD presenting detailed analysis of the company's position and operations along with a brief discussion of changes in the financial statements:

Management's Discussion and analysis signed by CEO or MD are stated in **Annexure-IV**

1.(5) (xxvi) Declaration or certification by the CEO and the CFO to the Board as required under condition No. 3(3) are disclosed in Annexure-A.**1.(5) (xxvii) Report as well as certificate regarding compliance of conditions of this Code as required under condition No.9 are disclosed in Annexure-B and Annexure-C.****CAPITAL EXPENDITURES:**

The following Capital Expenditure was incurred during the years 2020-2021 & 2019-2020.

Description	2020-2021 (Tk.)	2019-2020 (Tk.)
Factory Building	1,950,929	6,102,452
Plant & Machinery	--	10,050,857
Furniture & Fixtures	--	120,036
Office Equipments	19,215,287	146,300
Loose Tools and Equipment	--	112,000
Electrical Installation	--	49,650
Telephone (PABX) Installation	--	11,000
Total	21,166,216	16,592,295

SUBSIDIARY OPERATION:

Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited are subsidiaries and as such Directors Report along with, Auditors Report and Audited Accounts containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows have been included as part of this report.

(a) Salek Textile Limited (STL):

The Company (MSM) holds 97.925% share of Salek Textile Limited i.e. 47,259,700 shares of Tk.10.00 each amounting to Tk. 472,597,000.00 out of 48,260,870 shares of Tk.10.00 each amounting to Tk.482,608,700.00. To comply the condition No. 9 of capital raising consent order No.BSEC/CI/CPLC(Pvt)-333/2011/446 dated June 24, 2014 of Bangladesh Securities and Exchange Commission (BSEC) and Notification No.

SEC/CMRRCD/2006-159/36/Admin/03-44 dated May 05, 2010 published in the Bangladesh Gazette dated 01-06-2010 the status of the Company was converted from Private Limited Company to Public Limited Company on 23rd August, 2014. Subsequently the par value of share was changed from Tk.100.00 per share to Tk.10.00 per share.

The production capacity of STL is 14,621,000 kgs yarn, 9,600,000 yards fabric and 6,600,000 Pcs RMG products per annum. The company made additional investment of Tk.412,303,761 during the year 2020-2021.

The Company's operating results as on 2020-2021 and 2019-2020 are given below:

Description	2020-2021	2019-2020
Production (Kg) Yarn	10,184,475	6,526,379
Production (Yards) Fabric	8,232,314	9,161,793
Production (Pcs) RMG	4,206,571	3,897,231
Sales Revenue (Tk.)	4,565,984,130	3,878,848,444
Gross Profit (Tk.)	423,675,209	157,828,030
Net Profit after tax provision (Tk.)	60,854,435	(294,654,761)
Gross Margin	9.28%	4.07%
Net Margin	1.33%	(7.60%)
EPS (Tk.)	1.26	(6.11)
NAV (Tk.) Per Share	53.93	52.67

The Company did not declare any dividend due to requirement of funds for expansion/working capital.

(b) Newasia Synthetics Limited (NSL):

The Company (MSM) holds 99.293% share of the Newasia Synthetics Ltd. i.e. 6,553,338 shares of Tk.100.00 each amounting to Tk. 655,333,800.00 out of 6,600,000 shares of Tk.100.00 each amounting to Tk.660,000,000.00 as on 30th June, 2021. The company had increased its paid up capital from Tk.500,000,000.00 to Tk.660,000,000.00 on 20th December 2020. A Price Sensitive Information was disseminated on 24th November, 2020 regarding the matter. The project could not be implemented due to non-availability of Gas connection from Titas Gas Transmission & Distribution Company Ltd., the project has been shelved until the situation changes regarding the availability of gas connection. The Company made additional investment of Tk. 926,682.00 during the year 2020-2021 under Land & Land Development. The Net Assets Value (NAV) per share of the company as on 30th June 2021 stood at Tk.299.87.

(c) J.M. Fabrics Limited (JMFL):

The Company (MSM) holds 99.998% share of J.M. Fabrics Limited i.e. 3,999,900 shares of Tk.100.00 each amounting to Tk. 399,990,000.00 out of 4,000,000 shares of Tk.100.00 each amounting to Tk.400,000,000.00. The Company is engaged in the production of 100% export oriented garments and knit fabric with a production capacity of 18 (eighteen) Metric Tons dyed fabric and 74 (seventy four) lines of cutting and sewing operation with all necessary facilities, storage etc. The company has set up a project named "Seamless Garments" within the same premises in 2018-2019 and this is has been started in commercial operation in 2019-2020. During the year additional investment of Tk. 675.71 million has been made. The investments made during the year 2020-2021 as follows:

Particulars	Taka
Plant & Machinery	615,139,323
Other Assets	60,573,943
Total	675,713,266

The Company's operating results as on 2020-2021 and 2019-2020 are given below:

Description	2020-2021	2019-2020
Production (Pcs)	42,475,688	30,302,781
Sales Revenue (Tk.)	7,995,720,932	3,599,525,545
Gross Profit (Tk.)	517,730,205	235,920,348
Net Profit (Tk.)	342,104,520	38,066,931
Gross Margin	6.48%	6.55%
Net Margin	4.28%	1.06%
EPS (Tk.)	85.53	9.52
NAV (Tk.) Per Share	327.31	241.79

The Company did not declare any dividend due to requirement of funds for expansion/working capital etc.

FINANCIAL RESULTS:

The company's (MSM) operating financial results, as compared to the previous year are summarized as follows:

(Tk. in million)

Description	2020-2021	2019-2020
Sales	2,976.287	2,584.091
Cost of goods sold	2,525.430	2,458.679
Gross profit	450.858	125.412
Operating expenses	89.650	86.963
Financial expenses	49.617	99.544
Operating profit	311.591	(61.095)
Other Income	(2.607)	0.505
Net Operating Profit/(Loss)	308.984	(60.590)
Contribution to WPPF	14.713	--
Income Tax	44.041	12.478
Net profit (after tax)	250.230	(73.068)
Gross Margin	15.15%	4.85%
Net Margin	8.41%	(2.83%)
Earning per share –EPS (Tk.)	1.29	(0.38)
Return on Equity (ROE)	4.89%	(1.50%)
No. of shares outstanding	193,600,000	193,600,000
Face value per share (Tk.)	10	10
Consolidated Earning per share–EPS (Tk.)	3.36	(1.68)

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Retained Earnings brought forward from previous year : Tk. 218,528,177.00

Less: Dividend Distribution for the year 2019-2020 : (Tk. Nil)

Balance surplus brought forward : Tk. 218,528,177.00

Add: Net Profit (after tax) during the year 2020-2021 : Tk. 250,229,978.00

Add: Adjustment of revaluation surplus of fixed assets : Tk. 2,987,914.00

Add: Transfer of excess depreciation of revalued assets : Tk. 34,020,844.00

Total net free surplus available for appropriation :Tk. 505,766,912.00

Appropriation Proposed for the year 2020-2021:

(a) Cash Dividend @ 10% i.e. Tk.1.00 (one) per share of Tk.10.00 each : (Tk.193,600,000.00)

Retained Earnings be transferred to Balance Sheet Tk. 312,166,912.00

DECLARATION OF DIVIDEND:

In the line of proposed appropriation of profit, the Board of Directors proposed and recommended for declaration of Cash Dividend at the rate of 10% i.e. Tk.1.00 (one) per share of Tk.10.00 each for all shareholders for the year 2020-2021. This will involve an amount of Tk.193,600,000 out of Reserve & Surplus/Retained Earnings (free reserves). The cash dividend will be available to the Shareholders whose names would appear in the Share Register of the Company or in the Depository on the Record Date. The Board also recommended the balance of free reserves Tk. 312,166,912 be retained for ploughing back in the Company for meeting liquidity and investment requirement as may be thought fit by Board of Directors. The Board noted that no dividend has been declared out of the capital reserve account or the revaluation reserve account or any unrealized gain or out of profit earned prior to the incorporation of the Company, if any, or through reducing paid-up capital or through doing anything so that the post dividend retained earnings become negative or a debit balance.

CONSOLIDATION OF ACCOUNTS:

In terms of BSEC Regulations, the Company has consolidated the Accounts following the relevant codes of International Accounting Standard IASs/IFRSs adopted by Bangladesh. However, separate reports including the audited financial statements, auditors' and directors' report for all subsidiary companies are provided at the respective section of this report.

ELECTION OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 110 of the Articles of Association of the Company Mr. A. Matin Chowdhury, Director and Mr. Azizur Rahim Chowdhury, Director would retire by rotation and being eligible as per Article 112 of the Articles of Association of the Company they offered themselves for re-election. Brief resume and other information of the above mentioned directors as per clause 1.(5) (xxiv) of BSEC notification dated 3 June, 2018 are depicted in

ANNEXURE–III.

APPOINTMENT OF STATUTORY AUDITORS:

M/s. Malek Siddiqui Wali, Chartered Accountants, existing statutory auditors of the company retires at this 32nd Annual General Meeting. M/s. Malek Siddiqui Wali, Chartered Accountants (a panel auditor of BSEC), being eligible have offered themselves for re-appointment as statutory auditor of the company for the year 2021-2022. In recommendation of the Audit Committee, the Board recommended M/s. Malek Siddiqui Wali, Chartered Accountants, 9-G, Motijheel C/A, Dhaka-1000 for appointment as statutory auditors of the Company of the year 2021-2022 with fixation of their remuneration.

APPOINTMENT OF CORPORATE GOVERNANCE COMPLIANCE AUDITORS:

M/s. Das Chowdhury Dutta & Co., Chartered Accountants, existing compliance auditors of the company being eligible offered themselves for re-appointment as corporate governance compliance auditors of the company for the year 2021-2022. As recommended, by the Audit Committee, the Board proposed the name of M/s. Das Chowdhury Dutta & Co., Chartered Accountants, Well Tower (1st Floor), Flat-A/1, 12/A, Purana Paltan Line, Dhaka for re-appointment as corporate governance compliance auditors of the Company of the year 2021-2022 with fixation of their remuneration.

APPROVAL OF SALE CONTRACT OF YARN (FINISHED GOODS) WITH SUBSIDIARY AND SISTER COMPANY:

The Company (MSM) had entered into contract for sale of its finished goods i.e. yarn to its subsidiary company J.M. Fabrics Limited and a sister company Knit Asia Limited. A Price Sensitive Information was disseminated on 29th April, 2021 regarding the matter. J.M. Fabrics Limited procures yarn ranging from 150,000 Kg. to 180,000 Kg. every month and Knit Asia Limited procures yarn ranging from 250,000 Kg. to 300,000 Kg. every month following the market price of yarn in the Bangladesh export-oriented market based on fair price from time to time. During the year Yarn sales to Knit Asia Limited 2,449,674 Kgs amounting to Tk.635,904,893 and J.M. Fabrics Limited 1,656,452 Kgs amounting to Tk.490,812,501. Both the transaction exceeds amounting to 10% (ten percent) or above of the total revenue or turnover for the immediate preceding financial year. The Board of Directors give guarantees to the above transaction every month as per the regular terms and conditions of the trade and no conflict of interest would arise regarding the transaction.

In Compliance with the BSEC Notification No. BSEC/CMRRCD/2009-193/10/Admin/118 dated 22 March 2021 the Shareholders are requested (excluding the vote of concerned or connected shareholders or directors or related party) to approve the above mentioned contracts for sale of yarn to J.M. Fabrics Limited and Knit Asia Limited, which may exceeds 10% (ten percent) or above of the total revenue/turnover for the immediate preceding financial year on continuous basis.

MANAGEMENT'S DISCUSSION & ANALYSIS

Management's Discussion and Analysis signed by the Managing Director presenting detailed analysis of the Company's position and operations along with a brief discussion of changes in the financial statements and other requirements of the Corporate Governance Code is disclosed in **Annexure-IV** of this report.

CORPORATE GOVERNANCE COMPLIANCE REPORT IN ANNEXURE:

We are pleased to confirm that the company has complied with all necessary guidelines in accordance with the requirement of BSEC Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 dated 3 June 2018. The Corporate Governance Compliance Report for 2020-2021 is attached (**Annexure-C**) in Annual Report along with the certificate of Compliance required under the said guidelines.

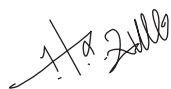
The company obtained a certificate from Das Chowdhury Dutta & Co., Chartered Accountants, regarding compliance of conditions of corporate governance codes of the Commission, which is enclosed in the Annual Report as **Annexure-B**.

ACKNOWLEDGEMENT:

The Board of Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Insurance Companies, Suppliers, BSEC, DSE, CSE, CDBL, RJSC and dedication by Workers and Employees of the company without whose active support the result achieved would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,



A. F. M. Zubair

Chairman

ANNEXURE –I

to the Directors' Report

The Directors also report that:

- Related Party Transactions are depicted in Note no. 32.1 in the Notes of Account.
- The Financial Statements prepared by the management of the Company present fairly its state of affairs, the result of its operations, cash flows and changes in equity.
- Proper books of account as required by the prevailing law have been maintained.
- Appropriate accounting policies have been followed in formulating the financial statements and accounting estimates were reasonable and prudent.
- The financial statement was prepared in accordance with IAS/IFRS as applicable in Bangladesh and any departure there from has been adequately disclosed.
- The internal control system is sound in design and is effectively implemented and monitored.
- The minority shareholders have been protected from abusive actions by, or in the interest of controlling shareholders acting either directly or indirectly and have effective means of redress.
- There is no significant doubt about the company's ability to continue as a going concern.
- Significant deviation from the operating result compared to the last year which is depicted in page no. 13 clause 1.(5) (xviii) above.
- Key operating and financial data of last five years have been presented in summarized form in page no 09.
- No bonus share or stock dividend has been declared during the year 2020-2021 as interim dividend.
- The number of Board Meeting and the Attendance of Directors during the year 2020-2021 were as follows:

Name of Directors	Position	Meeting Held	Attended
Mr. A. F. M. Zubair	Chairman	08	06
Mr. A. Matin Chowdhury	Managing Director	08	08
Dr. Shamim Matin Chowdhury	Director	08	08
Ms. Saima Matin Chowdhury	Director	08	03
Mr. Azizur Rahim Chowdhury	Director	08	08
Mr. Moshir Rahman	Director	08	08
Mr. Sultan Ahmed FCA	Independent Director	08	07
Dr. Sultan Hafeez Rahman	Independent Director	08	05

- The pattern of shareholding as required by clause 1.(5) (xxiii) of the BSEC Notification dated 03 June, 2018, stated in **Annexure-II**.
- Information of Directors who seek appointment/re-appointment as required by clause 1.(5) (xxiv) of the BSEC Notification dated 03 June, 2018, stated in **Annexure-III**.
- Status of compliance with the conditions imposed by the Bangladesh Securities and Exchange Commission is enclosed as **Annexure –C**.

ANNEXURE –II

to the Directors' Report

Pattern of Shareholding as on June 30, 2021

Name of the Shareholders	Status	Shares held	%
i. Parent/Subsidiary/Associated Companies and other related parties	Nil	Nil	Nil
ii. Directors:			
Mr. A.F.M. Zubair	Chairman	8,470,000	4.37%
Mr. A. Matin Chowdhury	Managing Director	18,075,200	9.34%
Dr. Shamim Matin Chowdhury	Director	17,410,000	8.99%
Mr. Azizur Rahim Chowdhury	Director	18,585,600	9.60%
Ms. Saima Matin Chowdhury	Director	17,004,000	8.78%
Paragon Poultry Limited, Represented by Mr. Moshir Rahman	Director (Nominated by Paragon Poultry Limited)	12,100,000	6.25%
Mr. Sultan Ahmed FCA	Independent Director	Nil	Nil
Dr. Sultan Hafeez Rahman	Independent Director	48,400	0.02%
iii. Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit & Compliance and their Spouses and Minor Children:			
Mr. A. Matin Chowdhury	Chief Executive Officer	18,075,200	9.34%
Mr. Syed Saiful Haque	Company Secretary	Nil	Nil
Mr. B. K. Chaki	Chief Financial Officer	Nil	Nil
Md. Rakibul Islam	Head of Internal Audit & Compliance	Nil	Nil
Dr. Shamim Matin Chowdhury	Wife of Mr. A. Matin Chowdhury	17,410,000	8.99%
iv. Executives (Top 5 salaried executives other than those mentioned under (iii)) :			
Mr. Ghaus Mohammad	Director, HR & Admin	Nil	Nil
Mr. Arup Kumar Podder	Senior G M (Operation)	Nil	Nil
Mr. Nazrul Islam	GM (Production)	Nil	Nil
Mr. S. M. Iqbal Sarkar	DGM (Acc.& Fin.)	Nil	Nil
Mr. Sadiqur Rahman	AGM (Marketing)	Nil	Nil
v. Shareholders holding 10% or more voting interest in the Company:			
		Nil	Nil

ANNEXURE-III

to the Directors' Report

Brief Resume of the Directors

Re-appointment of Directors:

Mr. A. Matin Chowdhury

Mr. A. Matin Chowdhury is a Sponsor Director of the Company since 1989. He is a renowned and dynamic personality in the Textile Sector of Bangladesh. After his active participation in the liberation War of Bangladesh in 1971, he voluntarily retired from the Bangladesh Army as a Major. He entered into the family business with his brother late Mr. A. Malek Chowdhury into Graphics Limited, a company that pioneered printing, office equipment and other technology equipment. In the last many years, he moved from indenting to the manufacturing and is currently the Managing Director of Malek Spinning Mills Ltd, Salek Textile Ltd, Knit Asia Ltd, Hejaz Publications Ltd, Design Asia Ltd, New Asia Ltd., Aurum Sweater Ltd. and the Chairman of J.M. Fabrics Ltd. and New Asia Synthetics Ltd. He is also the Sponsor Director of Rahim Textile Mills Limited, a listed company and Director of Fatehbagh Tea Co. Ltd.

He is the former Chairman of Bangladesh Textile Mills Association (BTMA), Under Privileged Children's Programs (UCEP) and Education, Science, Technology and Cultural Development Trust (ESTCDT). He is also involved with many other non-profit organizations including Diabetic Association of Bangladesh (DAB) as a Member of the National Council, Founder Trustee of Independent University Bangladesh (IUB), Founder Member, Board of Governors of Bangladesh Enterprise Institute (BEI), Board Member of Bangladesh Legal Aid and Services Trust (BLAST) and many other voluntary organizations. He has more than 49 (forty nine) years' experience in the textile sector.

Mr. Azizur Rahim Chowdhury

Mr. Azizur Rahim Chowdhury is a Director of the Company since 2004, son of Mr. A. Matin Chowdhury. He obtained graduation from Purdue University in the U.S.A. with a major in Computer Science and Business Management. He has more than 16 (sixteen) years working experience in the textile sector. He is also the Director of Rahim Textile Mills Limited (listed company), Salek Textile Limited, Knit Asia Limited, New Asia Ltd., Fatehbagh Tea Company Limited, Aurum Sweater Limited, Design Asia Ltd. and also the Managing Director of J.M. Fabrics Limited and Director of Bangladesh Textile Mills Association (BTMA).

Management's Discussion and Analysis

Management's Discussion and Analysis of the company's position and operations along with a brief discussion of changes in the financial statements for the year ended June 30, 2021 as per condition no 1.5(xxv) of Corporate Governance Code dated June 03, 2018.

(a) The company has prepared and presented its financial statement as per IAS as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The following IAS are applicable for the financial statements for the year under review:

IAS-1	Presentation of Financial Statement
IAS-2	Inventories
IAS-7	Statement of Cash Flows
IAS-8	Accounting Policies, Changes in Accounting Estimates and Errors
IAS-10	Events after the Balance Sheet Date
IAS-12	Income Tax
IAS-16	Property, Plant & Equipment
IAS-18	Revenue
IAS-20	Accounting for Government Grants and Disclosure of Government Assistance
IAS-21	The effect of changes in Foreign Exchange rate
IAS-23	Borrowing Cost
IAS-24	Related Party Disclosure
IAS-27	Separate Financial Statements
IAS-33	Earning per share
IAS-36	Impairment of Assets
IAS-37	Provisions, Contingent Liabilities and Contingent Assets
IAS-38	Intangible Assets
IFRS-3	Business Combination
IFRS-8	Operating Segments
IFRS-10	Consolidated Financial Statement
IFRS-16	Leases

(b) The financial statements of the company under reporting have been prepared under historical cost convention, except land, Building and Machinery which is stated at revalued amount, in a going concern concept and on accrual basis other than Cash Incentive Income which is recognized on cash basis in accordance with generally accepted accounting principles and practice in Bangladesh in compliance with the Companies Act 1994, The Securities and Exchange Rules 1987, Listing Regulations of DSE and CSE and in compliance with International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB). The financial statements, except cash flows statements, have been prepared using the accrual basis of accounting. Under this concept, the company recognizes items as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements as per related accounting standard and framework.

The financial statements have been prepared in assuming that the company is going concern and it has ability to continue as going concern for foreseeable future. Specific accounting policies were selected and applied by the company's management for significant transactions and events that have a material effect within the framework of IAS-1 "Preparation of Financial Statement" and IAS-27 preparation of separate financial statements and presentation of financial statements. The previous year's figures were presented according to the same accounting principles.

(c) Comparative analysis of financial performance or results and financial position as well as cash flows for current financial year with immediate preceding five years explaining reasons are as follows:

Figures in Million Taka

Particulars	Jul 20 to Jun 21		Jul 19 Jun 20		Jul 18 Jun 19		Jul 17 Jun 18		Jul 16 Jun 17	
	Consolidated	Standalone	Consolidated	Standalone	Consolidated	Standalone	Consolidated	Standalone	Consolidated	Standalone
Turnover	15,040	2,976	9,765	2,584	10,352	2,780	10,792	3,003	9,775	2,540
Gross Profit	1,392	451	519	125	831	242	903	319	918	285
Net Profit before tax	758	294	(251)	(60)	202	73	296	141	260	139
Net Profit after tax	652	250	(332)	(73)	149	59	228	119	204	118
Shareholders' Equity	8,957	5,115	8,306	4,865	8,796	5,043	8,841	5,177	8,807	5,252
Total Assets	22,277	7,818	18,983	7,040	17,299	6,768	16,069	6,465	15,459	6,403
Total Current Assets	11,879	3,844	8,779	3,132	7,304	2,774	7,076	2,584	6,970	2,520
Total Current Liabilities	9,935	2,232	7,507	1,672	5,800	1,199	5,175	883	4,900	861
Current Ratio	1.20	1.72	1.17	1.87	1.26	2.31	1.37	2.93	1.42	2.93
Net Asset Value per share	46.27	26.42	42.90	25.13	45.13	26.05	45.36	26.74	45.20	27.13
Earning per share	3.36	1.29	(1.68)	(0.38)	0.76	0.31	1.17	0.62	1.05	0.61
NOCFPS	2.00	1.75	1.74	(0.23)	2.17	0.06	2.10	0.60	4.02	1.42

The rated capacity of Malek Spinning Mills Ltd. during 2016-2017 to 2020-2021 was unchanged and Turnover was more or less same, except the period of 2019-2020. MSML sales/turnover had decreased in the year 2019-2020 due to adverse effect of COVID-19 but during the year 2020-2021 sales/turnover had increased due to increase in average selling price of yarn. During the year 2020-2021 the Company had earned a higher net profit because of lower Cost of Goods sold including lower raw material price, factory overhead, operating expenses and financial expenses. As a result Gross Profit and Net Profit had increased. Due to increase of collection against sales and decrease of financial expenses and other payments NOCFPS has increased.

(d) Compare such financial performance or results and financial position as well as cash flows with the peer industry scenario:

Figures in Million Taka

Particulars	Malek Spinning Mills Ltd. June 30, 2021	Square Textiles Ltd. June 30, 2020	Matin Spinning Mills Ltd. June 30, 2020	Saiham Textile Mills Ltd. June 30, 2020
Revenue (Turnover)	2,976.29	9,505.33	3,904.15	1,642.39
Gross Profit	450.88	682.94	539.60	94.99
Operating Expenses	89.65	238.97	228.52	78.66
Financial Expenses	49.62	365.12	87.75	90.18
Net Profit before tax	294.27	90.14	253.43	(70.00)
Net Profit after tax	250.23	51.36	210.21	(78.30)
Net Profit in %	8.41%	0.54%	5.38%	(4.77%)
Earnings per share (EPS)	1.29	0.26	2.16	(0.86)
NOCFPS	1.75	(0.42)	5.47	2.22
Shares Outstanding	193,600,000	197,252,000	97,490,000	90,562,500
Shareholders' Equity	5,115.35	6,881.28	4,805.51	3,772.55
Total Assets	7,817.68	14,190.04	7,098.62	5,929.92
Total Liabilities	2,702.33	7,308.75	2,293.11	2,157.37
Current Assets	3,844.12	7,272.82	2,336.29	2,292.35
Current Liabilities	2,231.75	7,094.06	1,911.22	1,640.91

(e) Financial and Economic Scenario of Bangladesh and the Globe (in brief):

Country's textile and garment sectors have been going through a very tough time for severe fallouts of the COVID-19 that jolted the global economy, particularly the demand for the apparel items. Bangladesh is the second-largest apparel supplier in the global garment supply chain.

Recently textile yarn prices increased 40 percent between December and June due to the hike in cotton price along with the unusual rise in freight charge, and the hike in utilization capacity at the mill level due to the resumption of production after a pause caused by lockdowns. With this new development, the apparel manufacturers are caught in yet another storm. When Bangladesh's readymade garment (RMG) sector is recovering from the COVID-19 pandemic induced slowdown, this new situation is threatening to disrupt the regaining of the RMG export.

In the international futures market, cotton price was between 88.21 cents per pound and 87.72 cents per pound on June, up from 72.65 cents to 72.90 cents on December. According to World Bank Commodities Price Data, in the January-March quarter of 2021, cotton prices climbed 21% year on-year to \$1.99 per kg. Recently the widely used 30-count yarn sold for \$4.25 to \$4.30 per kg in the local markets. Which was between \$3.9 to \$4.0 in December. On top of it, the cost of containerized cargo across the world increased by up to 300-700% over the past couple of months. While the shipping lines imposing extra fees.

The cotton demand increased by 163% between April and June compared to the same period last year as almost all the spinning mills either boosted their capacity or have gone for the highest use of the installed capacity because of the rise of demand for yarn. According to the US Department of Agriculture (USDA), worldwide cotton production and consumption are expected to increase slightly from last month. USDA also said that the record global trade will be increased led by robust demand in China, Bangladesh and Turkey.

As Bangladesh is one of the top cotton importing country, it is heavily dependent on imports and 99% of the raw materials requirement is met through imports. Since the COVID outbreak, the prices of garments went down. Putting Bangladesh RMG makers in a precarious situation. Now the increased yarn price has pushed up the finished garments item production cost by 25 percent. Threatening the recovery process it made after the pandemic outbreak, the increase in yarn price.

In addition, the global clothing retailers and brands are unwilling to offer a better price to Bangladeshi RMG makers. Despite the increase in the price of raw materials. Against the 25 percent increase, buyers are offering a 5% to 10% increase.

Due to the outbreak of the pandemic and subsequent measures taken by the Government in the early months of 2020 to contain it the economy faced some serious obstacles to attain the targeted GDP growth of 8.2 percent in FY 20. According to BBS, the GDP of Bangladesh stood at Tk.11637.4 billion showing 5.2 percent growth in FY20. This growth rate is the highest in the South Asian region.

(f) Risk and concerns related to the financial statements and such risk and concerns mitigation plan:

i. Credit Risk:

Credit risk is the risk of financial loss to the company if a buyer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivable from customers and investment securities. The Company's sales are made to renowned RMG exporting company. Sales made to the entity are fully secured by Letter of Credit issued by local scheduled banks. Credit risk of the Company arises principally from trade debts, loans and advances and bank balances. The carrying amount of financial assets represents the maximum credit exposure.

ii. Liquidity Risk:

Liquidity risk is the risk that the company is unable to meet its financial obligations as they fall due. The Company's approach to managing liquidity is to ensure, as far as possible that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation. In general, management insures that it has sufficient cash and cash equivalent to meet expected operation expenses, including the servicing of financial obligation through preparation of cash forecast, prepared based on timeline of payment of the financial obligation and accordingly arranged for sufficient liquidity/fund to make the expected payment within due date. Moreover, the company seeks to maintain short term lines of credit with scheduled commercial banks to ensure payments of obligations in the events that there is sufficient cash to make the required payment. The requirement is determined in advance through cash flows projections and credit lines facilities with banks are negotiated accordingly. Seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantages and security afforded by a sound capital position. The board also monitors dividend trend to ordinary shareholders.

iii. Market Risk:

Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the company's income or the value of its holding of financial instruments. The objectives of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

iv. Price Risk:

Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market price (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The company does not have any financial instrument that expose the price risk.

v. Interest Risk:

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate risk arises from long and short-term borrowings from financial institutions. At the reporting date, the company does not hold any interest bearing financial instrument.

vi. Currency Risk:

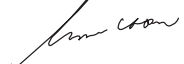
Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly where receivables and payables exist due to transactions entered in foreign currencies. The Company is exposed to foreign currency risk on sales, purchases and foreign currency loan, which, are entered in a currency other than BDT. The foreign currency transactions are mainly occurred in USD and conversion rate of USD into BDT does not fluctuate materially.

vii. Capital Risk Management:

The objective of the Company when managing capital, i.e. its shareholders' equity is to safeguard its ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustained development of its businesses. The Company manages its capital structure by monitoring return on net assets and makes adjustments to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividend paid to shareholders or issue new shares.

(g) Future plan or projection or forecast for company's operation, performance and financial position:

The Company does not have any major policy change in immediate future.


A. Matin Chowdhury
Managing Director

Annexure-A

to the Directors' Report

[As per condition No.1 (5) (xxvi)]

Malek Spinning Mills Limited Declaration by CEO and CFO

Date: October 17, 2021

The Board of Directors
Malek Spinning Mills Limited
117/A, Tejgaon Industrial Area
Dhaka-1208
Bangladesh

Subject: Declaration on Financial Statements for the year ended on 30th June 2021.

Dear Sirs,

Pursuant to the condition No. 1(5)(xxvi) imposed vide the Commission's Notification No. BSEC/CMRRCD/2006-158/207/Admin/80 Dated 03 June 2018 under section 2CC of the Securities and Exchange Ordinance, 1969, we do hereby declare that:

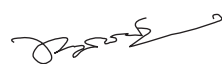
1. The Financial Statements of Malek Spinning Mills Limited for the year ended on 30th June 2021 have been prepared in compliance with International Accounting Standards (IAS) or International Financial Reporting Standards (IFRS), as applicable in the Bangladesh and any departure there from has been adequately disclosed;
2. The estimates and judgments related to the financial statements were made on a prudent and reasonable basis, in order for the financial statements to reveal a true and fair view;
3. The form and substance of transactions and the Company's state of affairs have been reasonably and fairly presented in its financial statements;
4. To ensure above, the Company has taken proper and adequate care in installing a system of internal control and maintenance of accounting records;
5. Our internal auditors have conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Company were consistently followed; and
6. The management's use of the going concern basis of accounting in preparing the financial statements is appropriate and there exists no material uncertainty related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern.

In this regard, we also certify that:-

- (i) We have reviewed the financial statements for the year ended on 30th June 2021 and that to the best of our knowledge and belief:
 - (a) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
 - (b) these statements collectively present true and fair view of the Company's affairs and are in compliance with existing accounting standards and applicable laws.
- (ii) There are, to the best of knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or in violation of the code of conduct for the company's Board of Directors or its members.

Sincerely yours,


(A. Matin Chowdhury)
Managing Director


(B. K. Chaki)
Chief Financial Officer



দাশ চৌধুরী দত্ত এন্ড কোং

DAS CHOWDHURY DUTTA & CO.

Chartered Accountants

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Fax : 088-031-714312
E-mail : dcdctg@outlook.com

Website : www.daschowdhurydutta.com

Annexure-B

to the Directors' Report

[Certificate as per condition No.1 (5) (xxvii)]

Certificate of Compliance

Report to the Shareholders of Malek Spinning Mills Limited on Compliance on the Corporate Governance Code

We have examined the compliance status to the Corporate Governance Code by **Malek Spinning Mills Limited** for the year ended on **30 June 2021**. This Code relates to the Notification No. **BSEC/CMRRCD/2006-158/207/Admin/80 dated 03 June 2018** of the Bangladesh Securities and Exchange Commission (BSEC).

Such compliance with the Corporate Governance Code is the responsibility of the Company. Our examination was limited to the procedures and implementation thereof as adopted by the Management in ensuring compliance to the conditions of the Corporate Governance Code.

This is a scrutiny and verification and an independent audit on compliance of the conditions of the Corporate Governance Code as well as the provisions of relevant Bangladesh Secretarial Standards (BSS) as adopted by Institute of Chartered Secretaries of Bangladesh (ICSB) in so far as those standards are not inconsistent with any condition of this Corporate Governance Code.

We state that we have obtained all the information and explanations, which we have required and after due scrutiny and verification thereof, we report that, in our opinion:

- The Company has complied with the conditions of the Corporate Governance Code as stipulated in the above mentioned Corporate Governance Code issued by the Commission except 3(1)(c) and explanation is given in **Annexure-C**;
- The Company has complied with the provisions of the relevant Bangladesh Secretarial Standards (BSS) as adopted by the Institute of Chartered Secretaries of Bangladesh (ICSB) as required by this Code;
- Proper books and records have been kept by the company as required under the Companies Act, 1994, the securities laws and other relevant laws and
- The Governance of the company is satisfactory.

Dhaka: 10 November 2021

Dipak Ranjan Datta FCA (415)

Partner

Das Chowdhury Dutta & Co.

Chartered Accountants

DVC: 2111100415CC868730

Annexure-C

to the Directors' Report

[As per condition No. 1(5)(xxvii)]

Corporate Governance Compliance Report

Status of compliance with the conditions imposed by the Commission's Notification No. SEC/CMRRCD/2006-158/207/Admin/80, dated 3 June 2018 issued under section 2CC of the Securities and Exchange Ordinance, 1969.

(Report under Condition No. 9)

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1	Board of Directors.-			
1(1)	The total number of members of a company's Board of Directors (hereinafter referred to as "Board") shall not be less than 5 (five) and more than 20 (twenty).	√		
1(2)	Independent Directors			
1(2) (a)	At least one-fifth (1/5) of the total number of directors in the company's Board shall be independent directors; any fraction shall be considered to the next integer or whole number for calculating number of independent director(s);	√		
1(2)(b) (i)	who either does not hold any share in the company or holds less than one percent (1%) shares of the total paid-up shares of the company;	√		
1(2) (b) (ii)	who is not a sponsor of the company or is not connected with the company's any sponsor or director or nominated director or shareholder of the company or any of its associates, sister concerns, subsidiaries and parents or holding entities who holds one percent (1%) or more shares of the total paid-up shares of the company on the basis of family relationship and his or her family members also shall not hold above mentioned shares in the company;	√		
1(2) (b) (iii)	who has not been an executive of the company in immediately preceding 2 (two) financial years;	√		
1(2) (b) (iv)	who does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary or associated companies;	√		
1(2) (b) (v)	who is not a member or TREC (Trading Right Entitlement Certificate) holder, director or officer of any stock exchange;	√		
1(2) (b) (vi)	who is not a shareholder, director excepting independent director or officer of any member or TREC holder of stock exchange or an intermediary of the capital market;	√		
1(2) (b) (vii)	who is not a partner or an executive or was not a partner or an executive during the preceding 3(three) years of the concerned company's statutory audit firm or audit firm engaged in internal audit services or audit firm conducting special audit or professional certifying compliance of this Code;	√		
1(2) (b) (viii)	who is not independent director in more than 5 (five) listed companies;	√		
1(2) (b) (ix)	who has not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan or any advance to a bank or a Non-Bank Financial Institution (NBFI); and	√		
1(2) (b) (x)	who has not been convicted for a criminal offence involving moral turpitude;	√		
1(2) (c)	The independent director(s) shall be appointed by the Board and approved by the shareholders in the Annual General Meeting (AGM);	√		
1(2) (d)	The post of independent director(s) cannot remain vacant for more than 90 (ninety) days; and	√		
1(2) (e)	The tenure of office of an independent director shall be for a period of 3(three) years, which may be extended for 1(one) tenure only;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1(3)	Qualification of Independent Director.-			
1(3) (a)	Independent director shall be a knowledgeable individual with integrity who is able to ensure compliance with financial laws, regulatory requirements and corporate laws and can make meaningful contribution to the business;	√		
1(3) (b) (i)	Business Leader who is or was a promoter or director of an unlisted company having minimum paid-up capital of Tk.100.00 million or any listed company or a member of any national or international chamber of commerce or business association; or	√		
1(3) (b) (ii)	Corporate Leader who is or was a top level executive not lower than Chief Executive Officer or Managing Director or Deputy Managing Director or Chief Financial Officer or Head of Finance or Accounts or Company Secretary or Head of Internal Audit and Compliance or Head of Legal Service or a candidate with equivalent position of an unlisted company having minimum paid-up capital of Tk.100.00 million or of a listed company; or	√		
1(3) (b) (iii)	Former official of government or statutory or autonomous body or regulatory body in the position not below 5th Grade of the national pay scale, who has at least educational background of bachelor degree in economics or commerce or business or law; or			Not Applicable
1(3) (b) (iv)	University Teacher who has educational background in Economics or Commerce or Business Studies or Law; or			Not Applicable
1(3) (b) (v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a Chartered Accountant or Cost and Management Accountant or Chartered Financial Analyst or Chartered Certified Accountant or Certified Public Accountant or Chartered Management Accountant or Chartered Secretary or equivalent qualification;	√		
1 (3) (c)	The independent director shall have at least 10 (ten) years of experiences in any field mentioned in clause (b);	√		
1 (3) (d)	In special cases, the above qualifications or experiences may be relaxed subject to prior approval of the Commission.			Not Applicable
1(4)	Duality of Chairperson of the Board of Directors and Managing Director or Chief Executive Officer.-			
1 (4) (a)	The positions of the Chairperson of the Board and the Managing Director (MD) and/or Chief Executive Officer (CEO) of the company shall be filled by different individuals;	√		
1 (4) (b)	The Managing Director (MD) and/or Chief Executive Officer (CEO) of a listed company shall not hold the same position in another listed company	√		
1 (4) (c)	The Chairperson of the Board shall be elected from among the non-executive directors of the company;	√		
1 (4) (d)	The Board shall clearly define respective roles and responsibilities of the Chairperson and the Managing Director and/or Chief Executive Officer;	√		
1 (4) (e)	In the absence of the Chairperson of the Board, the remaining members may elect one of themselves from non-executive directors as Chairperson for that particular Board's meeting; the reason of absence of the regular Chairperson shall be duly recorded in the minutes.	√		
1(5)	The Directors' Report to Shareholders			
1 (5) (i)	An industry outlook and possible future developments in the industry;	√		
1 (5) (ii)	The segment-wise or product-wise performance;	√		
1 (5) (iii)	Risks and concerns including internal and external risk factors, threat to sustainability and negative impact on environment, if any;	√		
1 (5) (iv)	A discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin, where applicable;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1 (5) (v)	A discussion on continuity of any extraordinary activities and their implications (gain or loss);	√		
1 (5) (vi)	A detailed discussion on related party transactions along with a statement showing amount, nature of related party, nature of transactions and basis of transactions of all related party transactions;	√		
1 (5) (vii)	A statement of utilization of proceeds raised through public issues, rights issues and/or any other instruments;			Not Applicable
1 (5) (viii)	An explanation if the financial results deteriorate after the company goes for Initial Public Offering (IPO), Repeat Public Offering (RPO), Rights Share Offer, Direct Listing, etc.;			Not Applicable
1 (5) (ix)	An explanation on any significant variance that occurs between Quarterly Financial performances and Annual Financial Statements;	√		
1 (5) (x)	A statement of remuneration paid to the directors including independent directors;	√		
1 (5) (xi)	A statement that the financial statements prepared by the management of the issuer company present fairly its state of affairs, the result of its operations, cash flows and changes in equity;	√		
1 (5) (xii)	A statement that proper books of account of the issuer company have been maintained;	√		
1 (5) (xiii)	A statement that appropriate accounting policies have been consistently applied in preparation of the financial statements and that the accounting estimates are based on reasonable and prudent judgment;	√		
1 (5) (xiv)	A statement that International Accounting Standards (IAS) or International Financial Reporting Standards (IFRS), as applicable in Bangladesh, have been followed in preparation of the financial statements and any departure there from has been adequately disclosed;	√		
1 (5) (xv)	A statement that the system of internal control is sound in design and has been effectively implemented and monitored;	√		
1 (5) (xvi)	A statement that minority shareholders have been protected from abuse actions by, or in the interest of controlling shareholders acting either directly or indirectly and have effective means of redress;	√		
1 (5) (xvii)	A statement that there is no significant doubt upon the issuer company's ability to continue as a going concern, if the issuer company is not considered to be a going concern, the fact along with reasons there of shall be disclosed;	√		
1 (5) (xviii)	An explanation that significant deviations from the last year's operating results of the issuer company shall be highlighted and the reasons thereof shall be explained;	√		
1 (5) (xix)	A statement where key operating and financial data of at least preceding 5 (five) years shall be summarized;	√		
1 (5) (xx)	An explanation on the reasons if the issuer company has not declared dividend (cash or stock) for the year;			Not Applicable
1(5) (xxi)	Board's statement to the effect that no bonus share or stock dividend has been or shall be declared as interim dividend;	√		
1(5) (xxii)	The total number of Board meetings held during the year and attendance by each director;	√		
1(5) (xxiii) (a)	Parent or Subsidiary or Associated Companies and other related parties (name-wise details);	√		
1(5) (xxiii) (b)	Directors, Chief Executive Officer, Company Secretary, Chief Financial Officer, Head of Internal Audit and Compliance and their spouses and minor children (name-wise details);	√		
1(5) (xxiii) (c)	Executives; and	√		
1(5) (xxiii) (d)	Shareholders holding ten percent (10%) or more voting interest in the company (name-wise details);	√		
1(5) (xxiv) (a)	a brief resume of the director;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
1(5) (xxiv) (b)	nature of his or her expertise in specific functional areas; and	√		
1(5) (xxiv) (c)	names of companies in which the person also holds the directorship and the membership of committees of the Board;	√		
1(5) (xxv) (a)	accounting policies and estimation for preparation of financial statements;	√		
1(5) (xxv) (b)	changes in accounting policies and estimation, if any, clearly describing the effect on financial performance or results and financial position as well as cash flows in absolute figure for such changes;	√		
1(5) (xxv) (c)	comparative analysis (including effects of inflation) of the financial performance or results and financial position as well as cash flows for current financial year with immediate preceding five years explaining reasons thereof;	√		
1(5) (xxv) (d)	compare such financial performance or results and financial position as well as cash flows with the peer industry scenario;	√		
1(5) (xxv) (e)	briefly explain the financial and economic scenario of the country and the globe;	√		
1(5) (xxv) (f)	risks and concerns issues related to the financial statements, explaining such risk and concerns mitigation plan of the company; and	√		
1(5) (xxv) (g)	future plan or projection or forecast for company's operation, performance and financial position, with justification thereof, i.e. actual position shall be explained to the shareholders in the next AGM;	√		
1(5) (xxvi)	Declaration or certification by the CEO and the CFO to the Board as required under condition No. 3 (3) shall be disclosed as per Annexure-A ; and	√		
1(5) (xxvii)	The report as well as certificate regarding compliance of conditions of this Code as required under condition No.9 shall be disclosed as per Annexure-B and Annexure-C .	√		
1(6)	Meetings of the Board of Directors The company shall conduct its Board meetings and record the minutes of the meetings as well as keep required books and records in line with the provisions of the relevant Bangladesh Secretarial Standards (BSS) as adopted by the Institute of Chartered Secretaries of Bangladesh (ICSB) in so far as those standards are not inconsistent with any condition of this Code.	√		
1(7)	Code of Conduct for the Chairperson, other Board members and Chief Executive Officer.-			
1(7) (a)	The Board shall lay down a code of conduct, based on the recommendation of the Nomination and Remuneration Committee (NRC) at condition No.6, for the Chairperson of the Board, other board members and Chief Executive Officer of the company;	√		
1(7) (b)	The code of conduct as determined by the NRC shall be posted on the website of the company including, among others, prudent conduct and behavior; confidentiality; conflict of interest; compliance with laws, rules and regulations; prohibition of insider trading; relationship with environment, employees, customers and suppliers; and independency.	√		
2	Governance of Board of Directors of Subsidiary Company.-			
2(a)	Provisions relating to the composition of the Board of the holding company shall be made applicable to the composition of the Board of the subsidiary company;	√		
2(b)	At least 1 (one) independent director on the Board of the holding company shall be a director on the Board of the subsidiary company;	√		
2(c)	The minutes of the Board meeting of the subsidiary company shall be placed for review at the following Board meeting of the holding company;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
2(d)	The minutes of the respective Board meeting of the holding company shall state that they have reviewed the affairs of the subsidiary company also;	√		
2(e)	The Audit Committee of the holding company shall also review the financial statements, in particular the investments made by the subsidiary company.	√		
3	Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HIAC) and Company Secretary (CS).-			
3(1) (a)	The Board shall appoint a Managing Director (MD) or Chief Executive Officer (CEO), a Company Secretary (CS), a Chief Financial Officer (CFO) and a Head of Internal Audit and Compliance (HIAC);	√		
3(1) (b)	The positions of the Managing Director (MD) or Chief Executive Officer (CEO), Company Secretary (CS), Chief Financial Officer (CFO) and Head of Internal Audit and Compliance (HIAC) shall be filled by different individuals;	√		
3(1) (c)	The MD or CEO, CS, CFO and HIAC of a listed company shall not hold any executive position in any other company at the same time;		√	In progress for compliance
3(1) (d)	The Board shall clearly define respective roles, responsibilities and duties of the CFO, the HIAC and the CS;	√		
3(1) (e)	The MD or CEO, CS, CFO and HIAC shall not be removed from their position without approval of the Board as well as immediate dissemination to the Commission and stock exchange (s).	√		
3(2)	Requirement to attend Board of Directors' Meetings The MD or CEO, CS, CFO and HIAC of the company shall attend the meetings of the Board: Provided that the CS, CFO and/or the HIAC shall not attend such part of a meeting of the Board which involves consideration of an agenda item relating to their personal matters.	√		
3 (3)	Duties of Managing Director (MD) or Chief Executive Officer (CEO) and chief financial officer (CFO)			
3 (3) (a)	The MD or CEO and CFO shall certify to the Board that they have reviewed financial statements for the year and that to the best of their knowledge and belief:	√		
3(3) (a) (i)	these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading; and	√		
3(3) (a) (ii)	these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards and applicable laws;	√		
3(3) (b)	The MD or CEO and CFO shall also certify that there are, to the best of knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or in violation of the code of conduct for the company's Board or its members;	√		
3(3) (c)	The certification of the MD or CEO and CFO shall be disclosed in the Annual Report.	√		
4	Board of Directors' Committee.-			
4(i)	Audit Committee; and	√		
4(ii)	Nomination and Remuneration Committee.	√		
5	Audit Committee.-			
5(1)	Responsibility to the Board of Directors.			
5(1) (a)	The company shall have an Audit Committee as a sub-committee of the Board;	√		
5(1) (b)	The Audit Committee shall assist the Board in ensuring that the financial statements reflect true and fair view of the state of affairs of the company and in ensuring a good monitoring system within the business;	√		
5(1) (c)	The Audit Committee shall be responsible to the Board; the duties of the Audit Committee shall be clearly set forth in writing.	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
5(2)	Constitution of the Audit Committee			
5(2) (a)	The Audit Committee shall be composed of at least 3 (three) members;	√		
5(2) (b)	The Board shall appoint members of the Audit Committee who shall be non-executive directors of the company excepting Chairperson of the Board and shall include at least 1 (one) independent director;	√		
5(2) (c)	All members of the Audit Committee should be “financially literate” and at least 1 (one) member shall have accounting or related financial management background and 10 (ten) years of such experience;	√		
5(2) (d)	When the term of service of any Committee member expires or there is any circumstances causing any Committee member to be unable to hold office before expiration of the term of service, thus making the number of the Committee members to be lower than the prescribed number of 3 (three) persons, the Board shall appoint the new Committee member to fill up the vacancy immediately or not later than 1 (one) month from the date of vacancy in the Committee to ensure continuity of the performance of work of the Audit Committee;	√		
5(2) (e)	The company secretary shall act as the secretary of the Committee;	√		
5(2) (f)	The quorum of the Audit Committee meeting shall not constitute without at least 1 (one) independent director.	√		
5(3)	Chairperson of the Audit Committee			
5(3) (a)	The Board shall select 1 (one) member of the Audit Committee to be Chairperson of the Audit Committee, who shall be an independent director;	√		
5(3) (b)	In the absence of the Chairperson of the Audit Committee, the remaining members may elect one of themselves as Chairperson for that particular meeting, in that case there shall be no problem of constituting a quorum as required under condition No. 5(4) (b) and the reason of absence of the regular Chairperson shall be duly recorded in the minutes.	√		
5(3) (c)	Chairperson of the Audit Committee shall remain present in the Annual General Meeting (AGM):	√		
5(4)	Meeting of the Audit Committee			
5(4) (a)	The Audit Committee shall conduct at least its four meetings in a financial year:	√		
5(4) (b)	The quorum of the meeting of the Audit Committee shall be constituted in presence of either two members or two third of the members of the Audit Committee, whichever is higher, where presence of an independent director is a must.	√		
5(5)	Role of Audit Committee			
5(5) (a)	Oversee the financial reporting process;	√		
5(5) (b)	monitor choice of accounting policies and principles;	√		
5(5) (c)	monitor Internal Audit and Compliance process to ensure that it is adequately resourced, including approval of the Internal Audit and Compliance Plan and review of the Internal Audit and Compliance Report;	√		
5(5) (d)	oversee hiring and performance of external auditors;	√		
5(5) (e)	hold meeting with the external or statutory auditors for review of the annual financial statements before submission to the Board for approval or adoption;	√		
5(5) (f)	review along with the management, the annual financial statements before submission to the Board for approval;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
5(5) (g)	review along with the management, the quarterly and half yearly financial statements before submission to the Board for approval;	√		
5(5) (h)	review the adequacy of internal audit function;	√		
5(5) (i)	review the Management's Discussion and Analysis before disclosing in the Annual Report;	√		
5(5) (j)	review statement of all related party transactions submitted by the management;	√		
5(5) (k)	review Management Letters or Letter of Internal Control weakness issued by statutory auditors;	√		
5(5) (l)	oversee the determination of audit fees based on scope and magnitude, level of expertise deployed and time required for effective audit and evaluate the performance of external auditors; and	√		
5(5) (m)	oversee whether the proceeds raised through Initial Public Offering (IPO) or Repeat Public Offering (RPO) or Rights Share Offer have been utilized as per the purposes stated in relevant offer document or prospectus approved by the Commission;			Not Applicable
5(6)	Reporting of the Audit Committee			
5(6) (a)	Reporting to the Board of Directors			
5(6) (a) (i)	The Audit Committee shall report on its activities to the Board	√		
5(6) (a) (ii) (a)	report on conflicts of interests;	√		
5(6) (a) (ii) (b)	suspected or presumed fraud or irregularity or material defect identified in the internal audit and compliance process or in the financial statements;	√		
5(6) (a) (ii) (c)	suspected infringement of laws, regulatory compliances including securities related laws, rules and regulations; and	√		
5(6) (a) (ii) (d)	any other matter which the Audit Committee deems necessary shall be disclosed to the Board immediately;	√		
5(6) (b)	Reporting to the Authorities			Not Applicable
5(7)	Reporting to the Shareholders and General Investors	√		
6	Nomination and Remuneration Committee (NRC).-			
6(1)	Responsibility to the Board of Directors			
6(1) (a)	The company shall have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board;	√		
6(1) (b)	The NRC shall assist the Board in formulation of the nomination criteria or policy for determining qualifications, positive attributes, experiences and independence of directors and top level executive as well as a policy for formal process of considering remuneration of directors, top level executive;	√		
6(1) (c)	The Terms of Reference (TOR) of the NRC shall be clearly set forth in writing covering the areas stated at the condition No.6(5)(b)	√		
6(2)	Constitution of the NRC			
6(2) (a)	The Committee shall comprise of at least three members including an independent director;	√		
6(2) (b)	All members of the Committee shall be non-executive directors;	√		
6(2) (c)	Members of the Committee shall be nominated and appointed by the Board;	√		
6(2) (d)	The Board shall have authority to remove and appoint any member of the Committee;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
6(2) (e)	In case of death, resignation, disqualification or removal of any member of the Committee or in any other cases of vacancies, the board shall fill the vacancy within 180 (one hundred eighty) days of occurring such vacancy in the Committee;	√		
6(2) (f)	The Chairperson of the Committee may appoint or co-opt any external expert and/or member(s) of staff to the Committee as adviser who shall be non-voting member, if the Chairperson feels that advice or suggestion from such external expert and/or member(s) of staff shall be required or valuable for the Committee;			Not Applicable
6(2) (g)	The company secretary shall act as the secretary of the Committee;	√		
6(2) (h)	The quorum of the NRC meeting shall not constitute without attendance of at least an independent director;	√		
6(2) (i)	No member of the NRC shall receive, either directly or indirectly, any remuneration for any advisory or consultancy role or otherwise, other than Director's fees or honorarium from the company.	√		
6(3)	Chairperson of the NRC			
6(3) (a)	The Board shall select 1 (one) member of the NRC to be Chairperson of the Committee, who shall be an independent director;	√		
6(3) (b)	In the absence of the Chairperson of the NRC, the remaining members may elect one of themselves as Chairperson for that particular meeting, the reason of absence of the regular Chairperson shall be duly recorded in the minutes;			Not Applicable
6(3) (c)	The Chairperson of the NRC shall attend the annual general meeting (AGM) to answer the queries of the shareholders:	√		
6(4)	Meeting of the NRC			
6(4) (a)	The NRC shall conduct at least one meeting in a financial year;	√		
6(4) (b)	The Chairperson of the NRC may convene any emergency meeting upon request by any member of the NRC;	√		
6(4) (c)	The quorum of the meeting of the NRC shall be constituted in presence of either two members or two third of the members of the Committee, whichever is higher, where presence of an independent director is must as required under condition No.6(2)(h);	√		
6(4) (d)	The proceedings of each meeting of the NRC shall duly be recorded in the minutes and such minutes shall be confirmed in the next meeting of the NRC.	√		
6(5)	Role of the NRC			
6(5) (a)	NRC shall be independent and responsible or accountable to the Board and to the shareholders;	√		
6(5) (b) (i) (a)	the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate suitable directors to run the company successfully;	√		
6(5) (b) (i) (b)	the relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and	√		
6(5) (b) (i) (c)	remuneration to directors, top level executive involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals;	√		
6(5) (b) (ii)	devising a policy on Board's diversity taking into consideration age, gender, experience, ethnicity, educational background and nationality;	√		
6(5) (b) (iii)	identifying persons who are qualified to become directors and who may be appointed in top level executive position in accordance with the criteria laid down, and recommend their appointment and removal to the Board;	√		

Condition No.	Title	Complied	Not Complied	Remarks (if any)
6(5) (b) (iv)	formulating the criteria for evaluation of performance of independent directors and the Board;	√		
6(5) (b) (v)	identifying the company's needs for employees at different levels and determine their selection, transfer or replacement and promotion criteria; and	√		
6(5) (b) (vi)	developing, recommending and reviewing annually the company's human resources and training policies;	√		
6(5) (c)	The company shall disclose the nomination and remuneration policy and the evaluation criteria and activities of NRC during the year at a glance in its annual report.	√		
7	External or Statutory Auditors.-			
7(1)	The issuer company shall not engage its external or statutory auditors to perform the following services of the company, namely:-			
7(1) (i)	appraisal or valuation services or fairness opinions;	√		
7(1) (ii)	financial information systems design and implementation;	√		
7(1) (iii)	book-keeping or other services related to the accounting records or financial statements;	√		
7(1) (iv)	broker-dealer services;	√		
7(1) (v)	actuarial services;	√		
7(1) (vi)	internal audit services or special audit services;	√		
7(1) (vii)	any service that the Audit Committee determines;	√		
7(1) (viii)	audit or certification services on compliance of corporate governance as required under condition No.9(1); and	√		
7(1) (ix)	any other service that creates conflict of interest.	√		
7(2)	No partner or employees of the external audit firms shall possess any share of the company they audit at least during the tenure of their audit assignment of that company; his or her family members also shall not hold any shares in the said company;	√		
7(3)	Representative of external or statutory auditors shall remain present in the Shareholders' Meeting (Annual General Meeting or Extraordinary General Meeting) to answer the queries of the shareholders.	√		
8	Maintaining a website by the Company.-			
8(1)	The company shall have an official website linked with the website of the stock exchange.	√		
8(2)	The company shall keep the website functional from the date of listing.	√		
8(3)	The company shall make available the detailed disclosures on its website as required under the listing regulations of the concerned stock exchange(s).	√		
9	Reporting and Compliance of Corporate Governance.-			
9(1)	The company shall obtain a certificate from a practicing Professional Accountant or Secretary (Chartered Accountant or Cost and Management Accountant or Chartered Secretary) other than its statutory auditors or audit firm on yearly basis regarding compliance of conditions of Corporate Governance Code of the Commission and shall such certificate shall be disclosed in the Annual Report	√		
9(2)	The professional who will provide the certificate on compliance of this Corporate Governance Code shall be appointed by the shareholders in the AGM	√		
9(3)	The directors of the company shall state, in accordance with the Annexure-C attached, in the directors' report whether the company has complied with these conditions or not	√		

AUDIT COMMITTEE REPORT

For the Year 2020-2021

Malek Spinning Mills Limited having an Audit Committee as a sub-committee of the Board of Directors in order to assist the Board of Directors in ensuring and fulfilling its oversight responsibilities.

The Audit Committee comprised by following Members of the Board of Directors:

Mr. Sultan Ahmed FCA, Independent Director	-Chairman
Dr. Shamim Matin Chowdhury, Director	-Member
Mr. Moshir Rahman, Director	-Member

Mr. Syed Saiful Haque, Company Secretary acts as the Secretary to the Committee.

Meetings of the Audit Committee:

- The Committee held four (04) meetings during the year.
- The Committee submits its report directly to the Board of Directors.
- Minutes of the Committee meeting are properly recorded.

The scope of Audit Committee was defined as under:

- a. Review with the management and recommend to the Board to approve the quarterly, half yearly and annual financial statements prepared for statutory purpose;
- b. Monitor and oversee choice of accounting policies and principles, internal control, risk management process, auditing matter, hiring and performance of external auditors;
- c. Meeting with the auditors for review of the annual financial statements before submission to the Board for approval;
- d. Review the adequacy of internal audit function, Management's Discussion and Analysis before disclosing in the Annual Report;
- e. Review statement of significant related party transactions submitted by the management;
- f. Carry on a supervision role to safeguard the system of governance and independence of statutory auditors; and
- g. Review and consider the report of internal auditors and statutory auditors' observations on internal control.

Activities carried out during the year 2020-21:

- The Committee examined and reviewed the fairness of the quarterly and annual financial statements and recommended to the Board for consideration.
- Overseen, reviewed and approved the procedure and task of the internal audit, financial report preparation and the external audit reports.
- Reviewed the Related Party Transactions, Loans, Guarantees and Investments.
- Reviewed the financial statements in particular the investments made by the subsidiary company.
- Considered and made recommendation to the Board on the appointment of Statutory Auditors and Corporate Governance Compliance Auditors.

The Committee found adequate arrangement to present a true and fair view of the activities on the financial statements of the company and an appropriate monitoring system within the business and didn't find any material deviation, discrepancies or any adverse finding/observation in the areas of reporting.



Sultan Ahmed FCA

Chairman

Audit Committee

Date: 25th October, 2021

[As per condition No. 6.(5) (c)]

Malek Spinning Mills Limited

Nomination and Remuneration Policy:

The Nomination and Remuneration Policy is prepared and adopted in compliance with Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission in view to formulate and recommend proper, fair, transparent and non-discriminatory nomination and remuneration for the Directors and Top Level Executives of Malek Spinning Mills Limited.

The Nomination and Remuneration Policy of Directors and Top Level Executives has been formulated by the Nomination and Remuneration Committee (NRC) and has been approved by the Board of Directors of Malek Spinning Mills Limited.

The Nomination and Remuneration Committee (NRC) has been constituted by the Board of Directors of the Company as a sub-committee to assist the Board under Condition No. 6 of the Corporate Governance Code 2018 of Bangladesh Securities and Exchange Commission. NRC is independent and responsible or accountable to the Board of Directors and the Shareholders of the Company.

The NRC consists of the following Non-Executive Directors of the Board:

Dr. Sultan Hafeez Rahman, Independent Director	-Chairman
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Dr. Shamim Matin Chowdhury, Director	-Member
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Mr. Moshir Rahman, Director	-Member
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The Terms of Reference of the NRC have been defined and adopted by the Board of Directors of the Company.

Objective:

The objective of the NRC is to oversee, assist and guide the Board of Directors:

- To formulate the criteria for determining qualifications, positive attributes and independence of a Director and recommend policy to the Board, relating to the remuneration of Directors and Top Level Executives.
- To devise policy on Board's diversity taking into consideration of age, gender, experience, ethnicity, educational background and nationality.
- To the appointment, fixation of remuneration and removal of Directors and Top Level Executives.
- To formulate the criteria in respect to evaluate performance of the Independent Director and the Board.
- To identify the company's needs for employees at different levels and determine their selection, transfer or replacement and promotion criteria.
- To develop, recommend and review the company's human resources and training policies.
- To recommend Code of Conduct for the Chairman and other Members of the Board and Managing Director.
- To implement and monitor policies and processes regarding principles of corporate governance.

Amendments to the Policy:

The Board preserves the rights to amend and review time to time the provisions of the policy depending on the legal and other requirements or for a bona fide purpose.

Evaluation of performance:

Evaluation of performance of Directors be carried out through completion of a preset confidential questionnaire and/or collective feedback or any other effective criteria adopted by the Board yearly or at such intervals of its work, function and performance as may be considered necessary in order to ascertain the effectiveness and to measure the contribution of the Directors as well as the Top Level Executives of the Company.

Activities of the NRC carried out during the reporting period:

The NRC carried out the following activities in line with Committee's Terms of Reference during the reporting period:

- (a) Reviewed the Code of Conduct for the Chairman, other Members of the Board and Managing Director.
- (b) Reviewed the Company's existing policy relating to the remuneration of Directors and Top Level Executives.
- (c) Discussed and decided in regard to formulate the criteria of evaluation of performance of the Board and Independent Directors.
- (d) Reviewed the Company's existing Human Resources and Training policies.

MALEK SPINNING MILLS LIMITED

Dividend Distribution Policy

Introduction

Bangladesh Securities and Exchange Commission (BSEC) issued a Directive No.BSEC/CMRRCD/2021-386/03 dated 14 January, 2021 for listed companies to formulate its Dividend Distribution Policy and disclose the policy in the company's annual report and official website. In compliance to this directive, Malek Spinning Mills Limited ("Malek Spinning" or the "Company") publishes this statement as a guiding framework for the shareholders with regards to the Company's Dividend Policy.

This statement provides a brief outlines of the legal and regulatory provisions relating to dividend, key issues in dividend considerations and the procedure for the declaration, approval and payment of dividend.

Relevant Laws and Regulations

Different legal and regulatory provisions have bearing on dividend policy decisions of the Company. The paragraphs below provide a brief overview of the current provisions relating to dividend policy by a Public Limited Company:

Companies Act

The Companies Act 1994, the primary legislation regulating the affairs of a company, gives power to the directors to recommend the dividend to be declared by the company which is to be approved by the shareholders in the Annual General Meeting (AGM). The shareholders however, cannot approve any dividend more than what has been recommended by the directors. It also authorizes the directors to pay from time to time, interim dividends to the shareholders if so appears to be justified by the profits of the company. The directors may, before recommending any dividend, set aside out of the profits of the company, such sums as they deem appropriate, as reserve or reserves for ploughing back for planned expansion and for meeting contingencies, or for equalizing dividends or for any other purpose of the company appropriate for utilization of such profits or may employ such profits in the business of the company or otherwise as they think fit. The law further provides that dividends are to be paid out of profits of the year or from any other free undistributed profits/reserves.

Listing Regulations of Stock Exchanges

There has been a number of listing regulations that have direct or indirect impact on dividend decisions of the company. Shares of a company is traded under different trading categories depending on payment or non-payment of dividend by a company. According to the regulations, a company shall be traded in the "Z Category" (a category with a longer trading settlement time and other restrictive conditions) if it fails to declare cash dividend for two consecutive years. Moreover, a company may among other reasons, be de-listed from the stock exchange if it fails to pay cash/stock dividend for a consecutive period of five years. The listing regulations also require a company to declare in its annual general meeting the reasons, if any for partial or non-distribution of profits as dividend and the plan for utilization of the undistributed profits if there be any.

Income Tax Law

Bangladesh Income Tax law, provides for additional tax charges to a listed company that retains more than 70% of its net after-tax profit earned in any year. According to the said provisions if a company retains or transfers more than 70% of its after tax profit to reserve or any other fund, an additional 10% tax shall be payable on such retained or transferred fund. Moreover, in order to encourage cash dividend, the tax law requires that if in any income year, the stock dividend declared by a company exceeds the cash dividend, an additional 10% tax shall be imposed on the whole amount of stock dividend declared or undistributed.

Key Considerations in dividend decisions

The company shall endeavor to maintain a consistent dividend over the year with appropriate consideration of factors relevant to such decisions. It is the Company's practice to declare dividend on annual basis based on

annual financial performance. However, the Board may also declare interim dividend based on periodic financial results. Historically the Company declared dividend in either cash or stock or in judicious combination of cash and stock. The company intends to pursue the same policy in future depending on the operating and financial context prevailing at that time.

Multiple internal and external factors might affect Company's dividend decisions. While recommending dividend the Board of Directors shall consider among others:

- World wide business situation/scope of investment at home/abroad
- Company's current net earnings, accumulated distributable reserves/surplus and availability of free cash flow
- Potential growth opportunities and investment requirements; assessment of benefits of retention vs pay-out
- Legal and Regulatory compulsion and tax implication of retention and payout
- Any debt/loan covenants restricting dividend announcement
- Persuasion of a target capital structure
- Cost of external finance
- Policy on consistency of the dividend over reasonable and foreseeable future years

Additionally, the Board may consider other factors or circumstances to decide on distribution of dividend for a particular year.

Eligibility of shareholders for dividend

Dividend is declared on the face value of each Equity Share. Unless otherwise stated, all holders of Equity Share and DR (Depository Receipts) whose names appear on the registrar of the Company on the Record Date declared by the Company for entitlement of dividend, are eligible to get the dividend.

Timing of Dividend Announcement and Payment

Annual dividend decision is taken in the Board Meeting to be held within 120 days from the date of closing of the financial year. Such decisions are based on the results of the audited financial statements. The dividend recommendations made by the directors are notified to the shareholders through stock exchanges, website and public announcements.

Dividend recommended by the Directors are to be placed in the Annual General Meeting (AGM) of the Company for the Shareholders' approval. Dividend are transferred to the respective shareholders' account within 30 days from the date of its approval. Interim Dividend if any declared by the Company, are paid within 30 days from the Record Date fixed by the Company for the entitlement of such dividend.

Policy Review and Amendment

Apart from mandatory revision, modification or amendment as necessitated by the legal and regulatory requirements, the company shall review this policy on periodic basis and make necessary revision or amendment to keep the policy relevant and up to date. The Board of Directors of the company shall approve the revision and/or amendment as it deems fit.

Disclaimer

The above Policy Statement neither gives a guarantee of dividend to be declared by the Company nor does it constitute a commitment for any future dividend and thus be read as a general guidance on different dividend related issues. The policy upholds the Board's absolute/complete liberty to recommend any dividend in deviation of the policy.



Malek Siddiqui Wali
CHARTERED ACCOUNTANTS
9-G, Motijheel C/A, 2nd Floor,
Dhaka-1000, Bangladesh.

মালেক সিদ্দিকী ওয়ালী, চার্টার্ড একাউন্টেন্টস

৯-জি, মতিঝিল বানিজ্যিক এলাকা, ঢাকা-১০০০

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**Independent Auditor's Report
To the Shareholders of Malek Spinning Mills Limited
Report on the Audit of the Consolidated and Separate Financial Statements**

Opinion

We have audited the Consolidated and Separate Financial Statements of **Malek Spinning Mills Limited** which comprise the Statement of Financial Position as at June 30, 2021, the Statement of Profit or Loss and Other Comprehensive Income, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and Notes to the Financial Statements, including a summary of significant accounting policies and other explanatory information for both the Consolidated and Separate Financial Statements.

In our opinion, the accompanying financial statements give true and fair view, in all material respects, of the financial position of the Company as at June 30, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the company act 1994, the Securities and Exchange Rules 1987 and other applicable law and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis Matter of Paragraph:

With reference to the no. 42, a contingent asset of Tk. 304,791,187 in respect of fire insurance claim as result of fire incident happened at subsidiary's (Salek Textile Limited) factory premises (Fabrics Unit). The effect of fire incident, some of Subsidiary's Inventory of Tk. 58,346,808 and Property, Plant & Equipment of Tk. 246,444,379 at carrying value/written down value has been destroyed. All of these assets (Inventory and Property, Plant & Equipment) are under the comprehensive insurance coverage. An inspection has been completed by surveyor. As per directors' assessment, the insurance claim recover through shall be at least equal to the carrying value. No other information come to our attention. Our report is not qualified in this respect.

Key Audit Matters

Risk	Our response
Revenue recognition	
At the year ended, the company's reported total revenue of Tk. 2,976,287,495 in the company's financial statements respectively. Revenue is measured net of trade discount and VAT. Time of revenue recognition is matter. The revenue may overstated for the early recognition of revenue to achieve the desire result.	We have tested the design and operating effectiveness of key controls focusing on the following: • Policy of revenue recognition; • Issuance of VAT challan; • Segregation of duties in invoice creation and modification; and • Timing of revenue recognition. Our substantive procedures in relation to the revenue recognition comprises the following: • Obtaining supporting documentation for sales transactions recorded either side of year end as well as credit notes issued after the year end date to determine whether revenue was recognized in the correct period; • VAT is correctly dealt with; • Critically assessing manual journals posted to revenue to identify unusual or irregular items; and • Finally assessed the appropriateness and presentation of disclosures against relevant accounting Standards.
Please see the note 19 in this financial statements.	

Risk	Our response
Valuation of Inventory	
The balance of inventory of the Company at the year-end was Tk. 2,197,140,142 respectively held in the company's warehouse. Inventories are carried at the lower of cost and net realizable value. As a result, the Directors apply judgment in determining the appropriate values for slow-moving or obsolete items.	We challenged the appropriateness of management's assumptions applied in calculating the value of the inventory and related provisions by: • evaluating the design and implementation of key inventory controls operating across the Company in respect of inventory management; • to attend the physical inventory counts and reconciling the count results to the inventory listings to test the completeness of data; • to review the inventory costing procedures and methodology. • comparing the net realizable value, obtained through a detailed review of sales subsequent to the year-end, to the cost price of a sample of inventories and comparison to the associated provision to assess whether inventory provisions are complete; • reviewing the historical accuracy of inventory provisioning, and the level of inventory write-offs during the year; and • Challenging the completeness of inventory provisions through assessing actual and forecast sales of inventory lines to assess whether provisions for slow- moving/obsolete stock are valid and complete.
Please see the note 4 in this financial statements.	
Measurement and recognition of deferred tax	
The balance of reported consolidated and separate deferred tax liability of the company was Tk. 267,931,811 respectively as on June 30, 2021. The risk for the financial statements is that these provisions are not properly measured for all types of temporary difference as per IAS 12: Income Tax.	We obtained an understanding, evaluated the design and tested the operational effectiveness of the Company's key controls over the recognition and measurement of deferred tax. We have assessed the appropriateness of the carrying amounts of net asset value as per tax base and accounting base. We have also assessed the rate of deferred for each temporary difference. Also, we examined the accounting treatment of deferred tax.
Please see the note 13 in these financial statements.	

Other Information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditor's report thereon. We have not been provided the Director's report and other information contained within the annual report except the financial statements to the date of our auditor's report. We expect to obtain the remaining reports of the Annual report after the date of our auditor's report. Management is responsible for the other information.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Our opinion on the financial statements does not cover other information and we do not express any form of assurance conclusion thereon.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as explained, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error. The Companies Act, 1994 require the Management to ensure effective internal audit, internal control and risk management functions of the Company.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994 and the Securities and Exchange Rules 1987, we also report the following:

- a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- b) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of these books;
- c) the statements of financial position and statement of profit or loss and other comprehensive income dealt with by the report are in agreement with the books of accounts and returns; and
- d) the expenditure incurred was for the purposes of the Company's business.

Malek Siddiqui Wali, Chartered Accountants


Md. Waliullah, FCA
Enrolment No: 0247
2110280247AS409982

Dated, Dhaka
October 27, 2021
Data Verification Code (DVC) No.

MALEK SPINNING MILLS LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2021

Particulars	Notes	JUNE'2021	Amount in Taka JUNE'20
ASSETS :			
Non-Current Assets :			
Property, Plant and Equipment	4	10,264,335,859	9,946,365,492
Capital Work-in-Progress	5	133,494,119	257,972,906
		10,397,829,978	10,204,338,398
Current Assets			
Inventories	6	6,134,466,331	4,519,993,908
Accounts Receivable	7	3,579,126,645	2,606,617,175
Insurance Claimed Receivable	8	304,791,187	-
Advances, Deposits and Pre-payments	9	756,851,805	1,063,258,376
Cash and Cash Equivalents	10	1,103,686,839	589,256,619
		11,878,922,807	8,779,126,078
TOTAL ASSETS :		22,276,752,785	18,983,464,476
SHAREHOLDER'S EQUITY AND LIABILITIES:			
Equity attributable to owners of the company			
Share Capital	11	1,936,000,000	1,936,000,000
Share Premium	12	1,500,000,000	1,500,000,000
Tax Holiday Reserve	13	210,883,871	210,883,871
Re-valuation Surplus	14	3,467,782,367	3,519,909,366
Retained Earnings	15	1,842,353,215	1,139,080,298
		8,957,019,453	8,305,873,535
Non Controlling Interest	16	55,533,970	53,137,291
Total Equity :		9,012,553,423	8,359,010,826
Non Current Liabilities:			
Long Term Loan	17	2,850,098,862	2,646,693,579
Deferred Tax Liabilities	18	479,117,771	470,565,566
		3,329,216,633	3,117,259,145
Current Liabilities :			
Short Term Loan	19	3,079,089,510	2,430,743,491
Current Portion of Long Term Loan	20	720,099,910	790,902,612
Loan from Director	21	34,000,000	34,000,000
Acceptance Liabilities	22	4,654,769,176	2,667,266,477
Unclaimed Dividend	23	39,229,338	39,242,687
Creditors, Accruals & Provisions	24	1,407,794,795	1,545,039,239
		9,934,982,729	7,507,194,505
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :		22,276,752,785	18,983,464,476
Net Assets Value Per Share (NAV)	37	46.27	42.90

Par Value Tk.10

The annexed notes are integral part of these financial statement

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
 Managing Director


Azizur Rahim Chowdhury
 Director


B.K. Chaki
 Chief Financial Officer


Syed Saiful Haque
 Company Secretary

As per our report of same date

Dhaka
 October 27, 2021


Malek Siddiqui Wali
 Chartered Accountants

MALEK SPINNING MILLS LIMITED
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2021

<u>Particulars</u>	<u>Notes</u>	<u>JUNE'21</u>	<u>Amount in Taka</u> <u>JUNE'20</u>
Sales	25	15,039,735,914	9,764,786,115
Cost of Goods Sold	26	(13,647,472,777)	(9,245,625,977)
Gross Profit :		1,392,263,137	519,160,138
Operating Expenses	27	(259,932,690)	(224,160,362)
Financial Expenses	28	(453,570,709)	(547,807,861)
Operating Profit/(Loss) :		678,759,737	(252,808,086)
Other Income/(Loss)	29	99,562,763	1,532,546
Net Operating Profit/(Loss) :		778,322,500	(251,275,540)
Contribution to WPPF	30	(20,075,894)	-
Profit/(Loss) before Tax :		758,246,606	(251,275,540)
Income Tax :		(105,835,210)	(80,970,952)
Current Tax	31	(97,283,005)	(62,749,913)
Deferred Tax	32	(8,552,205)	(18,221,039)
Net Profit/(Loss) after tax		652,411,396	(332,246,492)
Other Comprehensive Income		-	-
Total Comprehensive Income		652,411,396	(332,246,492)
Profit attributable to:			
Owners of the company		651,145,918	(326,116,527)
Non-controlling interest	33	1,265,479	(6,129,965)
		652,411,396	(332,246,492)
Total comprehensive income attributable to:			
Owners of the company		651,145,918	(326,116,527)
Non-controlling interest	33	1,265,479	(6,129,965)
		652,411,396	(332,246,492)
Earnings Per Share (EPS)	34	3.36	(1.68)
Par Value Tk.10			
Number of Shares used to compute EPS		193,600,000	193,600,000

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.



A. Matin Chowdhury
Managing Director



Azizur Rahim Chowdhury
Director



B.K. Chaki
Chief Financial Officer



Syed Saiful Haque
Company Secretary

As per our report of same date



Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

MALEK SPINNING MILLS LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH JUNE 2021

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Tax holiday Reserve	Retained Earnings	Non Controlling Interest	Total
Balance as at 1st July 2020	1,936,000,000	1,500,000,000	3,519,909,366	210,883,871	1,139,080,298	53,137,291	8,359,010,826
Total Comprehensive Income					651,145,918	1,265,479	652,411,396
Transfer of excess depreciation of Revalued Assets			(48,918,162)		48,918,162		-
Adjustment of Revaluation Surplus of Fixed Assets			(3,208,837)		3,208,837		-
Adjustment Non Controlling Interest						1,131,200	1,131,200
As at 30th June 2021	1,936,000,000	1,500,000,000	3,467,782,367	210,883,871	1,842,353,215	55,533,970	9,012,553,423

FOR THE YEAR ENDED 30TH JUNE 2020

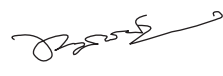
Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Tax holiday Reserve	Retained Earnings	Non Controlling Interest	Total
Balance as at 1st July 2019	1,936,000,000	1,500,000,000	3,574,135,334	210,883,871	1,515,526,057	59,267,257	8,795,812,519
Total Comprehensive Income					(326,116,527)	(6,129,965)	(332,246,492)
Transfer of excess depreciation of Revalued Assets			(54,225,968)		54,225,968		-
Declared Cash Dividend for 2018-2019 financial year					(104,555,200)		(104,555,200)
As at 30th June 2020	1,936,000,000	1,500,000,000	3,519,909,366	210,883,871	1,139,080,298	53,137,291	8,359,010,826

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
 Managing Director


Azizur Rahim Chowdhury
 Director


B.K. Chaki
 Chief Financial Officer


Syed Saiful Haque
 Company Secretary

As per our report of same date

Dhaka
 October 27, 2021


Malek Siddiqui Wali
 Chartered Accountants

MALEK SPINNING MILLS LIMITED
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30TH JUNE 2021

PARTICULARS	Amount in Taka	
	JUNE'21	JUNE'20
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Bills Receivable	14,067,226,444	9,652,117,277
Other Income	110,246,411	85,560,005
Payment for Raw Materials, Indirect Materials and other expenses	(12,994,882,669)	(8,520,700,204)
Foreign currency exchange Gain/(Loss) realized	485,412	(290,641)
Payment to Employee against contribution to WPPF	(10,211,279)	(105,593,338)
Payment for Operating Expenses	(250,793,693)	(213,677,985)
Payment for Financial Expenses	(443,635,812)	(499,803,407)
Payment for Income Tax	(90,842,182)	(59,791,307)
Net Cash provided/(used) by Operating Activities	387,592,631	337,820,400
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(417,073,655)	(491,933,656)
Acquisition of Capital work in progress	(242,926,432)	(415,566,873)
Disposal of Fixed Assets	4,771,223	11,310,000
Net cash provided/(used) in Investing Activities	(655,228,864)	(896,190,529)
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	780,948,601	962,216,058
Non Controlling Interest	1,131,200	-
Dividend Paid	(13,349)	(102,458,834)
Net cash provided/(used) in Financing Activities	782,066,453	859,757,224
Increase/(Decrease) in Cash and Cash Equivalents	514,430,220	301,387,095
Opening Cash & Cash Equivalents	589,256,619	287,606,061
Foreign Currency Bank deposit translation Gain/(Loss)	-	263,463
Closing Cash and Cash Equivalents	1,103,686,839	589,256,619
Net Operating Cash Flow Per Share (NOCFPS)	2.00	1.74
Par Value Tk.10		

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.



A. Matin Chowdhury
Managing Director



Azizur Rahim Chowdhury
Director



B.K. Chaki
Chief Financial Officer



Syed Saiful Haque
Company Secretary

As per our report of same date



Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

MALEK SPINNING MILLS LIMITED
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2021

1. COMPANY AND ITS ACTIVITIES:

Malek Spinning Mills Limited was incorporated vide registered no. C-19018 as a Private Limited Company on 2nd November, 1989 under Companies Act 1913. It was converted into Public Ltd. Company in the year 2008. The share of the company is denominated from Tk.100/- to Tk.10/- per share as on 14th September, 2008. Its subsidiary companies are Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited. Titas Spinning & Denim Company Ltd. one of the subsidiary company has been Merged and Amalgamated with another subsidiary company Salek Textile Ltd. as per order of the Hon'ble High Court Division of the Supreme Court of Bangladesh dated 05.03.2014 in the Company Matter No. 248 of 2013. All of the companies are incorporated with registrar of joint stock companies and firms, Dhaka, except J.M. Fabrics Limited which is registered with RJSC Chittagong, Bangladesh under Companies Act 1994. Registered office of the Companies are at 117/A, Tejgaon I/A, Dhaka-1208, while Factories are situated at Shafipur, Kaliakoir, Bhawal Mirzapur, Gazipur & Mahna Bhabanipur, Gazipur respectively.

1.01. NATURE OF BUSINESS:

The Company has got the capacity of 63,624 spindles to spin high quality Cotton hosiery yarns by using modern machinery including state-of-the-art yarn testing laboratory. Annual production capacity of the company is 12,600,000 Kgs.

2. SIGNIFICANT ACCOUNTING POLICIES:

2.01 Basis of Accounting/Statement of compliance:

The financial statements of the company under reporting have been prepared under historical cost convention, except land, Building and Machinery which is stated at revalued amount, in a going concern concept and on accrual basis other than Cash Incentive Income which is recognized on cash basis in accordance with generally accepted accounting principles and practice in Bangladesh in compliance with the Companies Act 1994, The Securities and Exchange Rules 1987, Listing Regulations of Dhaka Stock Exchange Ltd (DSE) & Chittagong Stock Exchange Ltd. (CSE) and in compliance with International Accounting Standards (IAS) and International Financial Reporting Standards (IFRS) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB).

2.02 Accrual basis accounting

The financial statements, except cash flows statements, have been prepared using the accrual basis of accounting. Under this concept, the company recognises items as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements as per related accounting standard and framework.

2.03 Going concern

The financial statements have been prepared in assuming that the company is going concern and it has ability to continue as going concern for foreseeable future.

2.04 Principal Accounting Policies:

Specific accounting policies were selected and applied by the company's management for significant transactions and events that have a material effect within the framework of IAS-1 "Preparation of Financial Statement" and IAS-27 preparation separate financial statements and presentation of financial statements. The previous year's figures were presented according to the same accounting principles.

2.05 Basis of Consolidation:

The consolidated financial statements incorporate the financial statements of the company and entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other member of the group.

All intra group transaction, balances, income and expenses are eliminated in full on consolidation. Minority interests in the net assets of consolidated subsidiaries are identified separately from the group equity therein. The consolidated financial statements are prepared as per guidance of IFRS-10: Consolidated Financial Statements.

These consolidate financial statements have been prepared in consolidation with the audited accounts of the company and the audited accounts of Salek Textile Limited, Newasia Synthetics Limited and J.M. Fabrics Limited for the period ended June 30, 2021, according to the relevant IFRS or IAS.

2.06 Percentage of Holding on Subsidiary Company:

Name of Company	Total No. Shares	Total Holding	Percentage of Holding
Salek Textile Ltd.	48,260,870	47,259,700	97.925%
Newasia Synthetics Ltd.	6,600,000	6,553,338	99.293%
J.M. Fabrics Ltd.	4,000,000	3,999,900	99.998%

2.07 Application of International Accounting Standards (IAS):

The following IAS are applicable for the financial statements for the year under review

- IAS – 1 Presentation of Financial Statement.
- IAS – 2 Inventories.
- IAS – 7 Statement of Cash Flows.
- IAS – 8 Accounting Policies, Changes in Accounting Estimates and Errors

IAS – 10	Events after the Balance Sheet Date.
IAS – 12	Income Tax.
IAS – 16	Property, Plant & Equipment.
IAS – 18	Revenue.
IAS – 20	Accounting for Government Grants and Disclosure of Government Assistance.
IAS – 21	The effect of changes in Foreign Exchange rate.
IAS – 23	Borrowing Cost.
IAS – 24	Related Party Disclosure.
IAS – 27	Separate Financial Statements.
IAS – 33	Earnings per share.
IAS – 36	Impairment of Assets.
IAS – 37	Provisions, Contingent Liabilities and Contingent Assets.
IAS – 38	Intangible Assets.
IFRS –3	Business Combination.
IFRS –8	Operating Segments
IFRS –10	Consolidated Financial Statements.
IFRS –16	Leases.

3. Significant accounting policy

3.01 Recognition of Property, Plant & Equipment and Depreciation:

Property, Plant & Equipment are stated at cost less accumulated depreciation in accordance with IAS-16 “Property, Plant & Equipment”. Cost represents cost of acquisition or construction and include purchase price and other directly attributable cost of bringing the assets to working conditions for its intended use. Revaluation of Land, Building, Plant & Machineries were made by registered renowned Company Asian Surveyors Ltd. as on 30.06.2012. Depreciation on all fixed assets except J.M. Fabrics Limited is computed using the reducing balance method in amount sufficient to write-off depreciable assets over their estimated useful life. Depreciation on fixed assets of J.M. Fabrics Limited is computed using straight line method. Depreciation on Current year addition is charged as and when the assets are ready for operation.

The annual depreciation rates applicable to the principal categories are:

Building	3.37% - 5%
Plant & Machinery	5% - 10.85%
Generator	10% - 15%
Furniture & Fixture	10% - 20%
Motor Vehicles	10% - 20%
Office Equipment	15% - 20%
Electrical Installation	10% - 19.75%
Gas Line Installation	15%
Fire Installation	15%
Loose Tools	10% - 15%

3.02 Inventories:

Inventories comprise of Raw Materials, Raw Materials in Transit, Work-In-Process, Finished Goods and Stores and Spare Parts. They are stated in accordance with the Para of 21 & 25 of IAS-2 “Inventories”. Basis of valuation is as under:

- Raw Material in hand (imported) lower of cost and net realizable value (NRV).
- Raw Material in hand (local) lower cost (weighted average) and NRV.
- Raw Material in transit Cost incurred to date accumulated to balance sheet date of course cost incurred to date is less than or equal to fair value.
- Work-in-process lower of cost (weighted average) and NRV (market value less cost to finish).
- Finished Goods lower of cost and NRV.
- Waste NRV.

Cost in relation to work-in-process and finished goods represents annual average manufacturing cost which consists of prime cost and apportionate manufacturing overheads.

Net realizable value signifies the estimated selling price in the ordinary course of business less estimated cost of completion and estimated cost necessary to be incurred to affect such sale.

3.03 Accounts Receivable:

Accounts Receivable represents the amounts due from export sales both to local and foreign buyers. All transaction related to export sales is performed through letter of credit, they are secured and collectible. The credit party, under confirmed LC of sold goods is between 90 days to 130 days. Receivable are recognised, when goods are sold to customers and subsequently measured at amortise cost.

3.04 Cash and Cash Equivalents:

According to IAS-7 ‘Statement of Cash flows’ cash comprises of cash-in-hand and demand deposits. IAS-1 ‘Presentation of Financial Statements’ provides that cash and cash equivalents are not restricted in use. Considering the provisions of IAS-7 and IAS-1, Cash in hand and Bank balances have been considered as cash and cash equivalents.

3.05 Creditors and Accruals:

Liabilities are recognized under accrual basis accounting, amounts to be paid in the future for goods and services received. After final recognition the creditors and accruals are accounted for under amortised cost.

3.06 Income Tax:

a) Current Tax: The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported is the statement of Profit or Loss and other Comprehensive income because it excludes items of income or

expenses that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted on date of Statement of Financial Position.

b) Deferred Tax: The Company has recognized deferred tax using balance sheet method in compliance with the provisions of IAS-12 "Income Taxes". The company's policy of recognition of deferred tax assets/liabilities is based on temporary difference (Taxable or deductible) between the carrying amount (Book Value) of assets and liabilities for Financial Reporting purpose and its tax base, and accordingly, deferred tax income/expenses has been considered to determine net profit after tax and earnings per share (EPS).

3.07 Statement of Cash Flows:

Statement of Cash Flows is prepared in accordance with IAS-7 under direct method as outlined in the "Securities and Exchange Rules 1987".

3.08 Risk and Uncertainties for use of Estimates in Preparation of Financial Statements:

The preparation of financial statements in conformity with the international accounting standards requires management to make estimates and assumption that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of affecting financial statements and revenues and expenses during the reported year. Actual results could differ from those estimates. Estimates are used for accounting of certain items such as long-term contracts; depreciation and employees benefit plans, taxes, reserves and contingencies.

3.09 Compliance with International Accounting Standards:

The financial statements have been prepared in compliance with requirement of IAS as adopted by The Institute of Chartered Accountants of Bangladesh (ICAB) and applicable in Bangladesh.

3.10 Contingent Liabilities and Assets

Current or possible obligations or assets arising from past events and whose existence is due to the occurrence or non-occurrence of one or more uncertain events which are not within the control of the group.

3.11 Reporting Year:

Financial statements of the company cover from 1st July 2020 to 30th June 2021.

3.12 Reporting Currency and Level of Precision:

The figures in the financial statements represent Bangladesh Currency (Taka), which have been rounded off to the nearest Taka except where indicates otherwise.

3.13 Comparative Information:

Comparative information have been disclosed in respect of year June 2020 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current years financial statements. Figures of the year 2020 have been rearranged whenever considered necessary to ensure comparability with the current year.

3.14 Foreign Currency Transaction:

Transactions in foreign currencies are translated into Bangladeshi taka in accordance with IAS-21 "The Effects of Changes in Foreign Exchange Rate." Foreign Currencies are converted into taka at the rates ruling on the transaction dates. Monetary assets and liabilities are converted at the rates prevailing at the balance sheet date, non-monitory assets and liabilities are reported using the exchange rate at the date of transaction. Exchange currency difference if any in the comprehensive income.

3.15 Revenue Recognition:

The Company recognizes revenue when risk and rewards associated with ownership has been transferred to buyer, which satisfied all the condition for the revenue recognition as provided in IAS-18 'Revenue Recognition.'

3.16 Accounting for Government Grants and Disclosure of Government Assistance:

Cash Incentive recognize as per IAS-20 as other income.

3.17 Responsibility for Preparation and Presentation of Financial Statements:

The Board of Directors is responsible for the preparation and presentation of Financial Statements under Section 183 of the Companies Act 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements' issued by the International Accounting Standards Board (IASB).

3.18 Components of the Financial Statements:

According to the International Accounting Standard IAS-1 'Presentation of Financial Statements' the complete set of Financial Statements includes the following components:

- (i) Statement of Financial Position as at 30th June 2021.
- (ii) Statement of Profit or Loss and other Comprehensive Income for the period from 1st July 2020 to 30th June 2021
- (iii) Statement of Cash flows for the period from 1st July 2020 to 30th June 2021.
- (iv) Statement of changes in Equity for the period from 1st July 2020 to 30th June 2021.
- (v) Accounting Policies and Explanatory Notes.

3.19 Earnings per Share:

Earnings per share (EPS) is calculated in accordance with the International Accounting Standard IAS-33 "Earnings per share".

3.20 Basic Earnings per Share:

Basic Earnings per share is calculated by dividing the net profit or loss for the year attributable to ordinary shareholders by the number of ordinary shares outstanding during the year.

3.21 Share Premium:

The balance in share premium account shall be utilized in accordance with provisions of the Companies Act 1994 and as directed by the Bangladesh Securities and Exchange Commission in this respect.

3.22 Lease Assets:

In Compliance with the IFRS-16, Changes to the company's accounting policies have been made as required, in accordance with the transitional provisions in the respective IFRS 16 Lease.

IFRS 16 supersedes IAS 17 Leases. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to recognise most leases on the balance sheet.

The company adopted IFRS 16 using the modified retrospective method of adoption with the date of initial application of 1 January 2019. Under this method, the standard is applied retrospectively with the cumulative effect of initially applying the standard recognised at the date of initial application. The company elected to use the transition practical expedient to not reassess whether a contract is, or contains a lease at 1 January 2019. Instead, the company applied the standard only to contracts that were previously identified as leases applying IAS 17 at the date of initial application.

The IFRS 16 requires to recognise the present value of minimum lease payment under the lease agreement as asset and Liability namely "Right to Use of Asset" and "Lease Liability" respectively. The Right to Use of Asset is added by the balance of advance payment at initial application of IFRS 16, which was January 01, 2019. However, IFRS 16 also allows the company to recognise the lease payment as expenses in respect of short term lease agreement and lease for which the underlying asset is of short term (temporary) lease and low value. One lease agreement of the company are fallen in second category. As such, lease (rental) payment was recognised as expenses in the Profit or Loss statement, when they incurred, for short term (temporary) lease and low value lease agreement.

Subsequent Measurement:

The lease liability:

Upon initial recognition, the lease liability is being accounted for using amortised cost. Meaning that the initial liability is added by finance charge at company's incremental borrowing cost less subsequent rental payment on monthly basis.

Right to Use of assets:

The leased assets (Right to Use of Asset) are depreciated over its useful life on monthly basis using straight line depreciation method

3.23 Impairment of Assets:

The company reviews the recoverable amount of its assets at each reporting date. If there exist any indication that the carrying amount of assets exceeds the recoverable amount, the company recognizes such impairment loss in accordance with IAS-36 "Impairment of Assets".

3.24 Credit Facility Not Availed:

There was no credit facility available to the company under any contract, other than trade credit available in the ordinary course of business.

3.25 Segment Reporting:

As there is a single business and geographic segment within the company operates as such no segment reporting is felt necessary for Malek Spinning Mills Ltd. But its subsidiaries Salek Textile Ltd. has geographic and product segment by Spinning, Fabrics & RMG unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8. The disclosure of segment reporting is also disclosed in financial of Salek Textile Ltd.

3.26 General Comments & Observations:

- a) Previous year's figures is regrouped/reclassified wherever considered necessary to confirm to current year's presentation. There has no such effect during year. Figures have been rounded off to the nearest taka, as the currency represented in this financial statement.
- b) All shares have been fully called and paid up.
- c) There was no preference share issued by the company.
- d) The company has not incurred any expenditure in foreign currency against royalties and technical fees.
- e) Auditors are paid only statutory audit fees.
- f) No foreign exchange remitted to the relevant shareholders during the year under audit.
- g) No amount of money was expended by the company for compensating any members of the Board for special service rendered.
- h) No brokerage was paid against sales during the year under audit.
- i) There was no bank guarantee issued by the company on behalf of directors.

3.27 Contribution to Worker's Profit Participation Fund:

The contribution for Worker's Profit Participation Fund is provided in the Accounts but approved while approving the Accounts in the Annual General Meeting and payable accordingly. The company is making provision of WPPF at the rate of 5% of company's operating profit as per the Labour Law Act-2006 (amendment 2013).

3.28 Effect of exchange rate changes on cash and cash equivalent:

We have shown the effect of currency Exchange Rate Changes separately in the Cash Flows Statement.

MALEK SPINNING MILLS LIMITED
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2021

	JUNE'21	JUNE'20
4. CONSOLIDATED PROPERTY, PLANT AND EQUIPMENT:		
COST:		
Opening Balance	10,426,808,834	9,430,799,466
Addition during the year	1,110,109,925	1,297,055,848
	11,536,918,759	10,727,855,314
Sales/Adjustment during the year	605,703,715	301,046,480
Closing Balance	10,931,215,044	10,426,808,834
Accumulated Depreciation:		
Opening Balance	4,225,768,966	3,997,395,268
Adjustments during the year	346,527,890	205,736,199
Depreciation during the year	462,820,444	434,109,898
Closing Balance	4,342,061,520	4,225,768,966
Written Down Value at cost:	6,589,153,524	6,201,039,868
REVALUATION:		
Opening Balance	4,814,879,388	4,814,879,388
Addition of Revaluated Assets	-	-
Adjustment during the year	13,951,064	-
Total Revaluated Assets:	4,800,928,324	4,814,879,388
Accumulated Depreciation:		
Opening Balance	1,069,553,764	995,340,970
Depreciation during the year	66,934,452	74,212,794
Adjustments during the year	10,742,227	-
Closing Balance	1,125,745,989	1,069,553,764
Written Down Value of Revaluated Assets:	3,675,182,335	3,745,325,624
Total Written Down Value:	10,264,335,859	9,946,365,492
Allocation of depreciation charges for the year has been made in the accounts as follows:		
Factory Overhead	520,615,898	497,840,314
Administrative Overhead	9,138,998	10,482,378
	529,754,896	508,322,691
Details of Fixed Assets and Depreciation are shown in the Annexure-1		
5. CONSOLIDATED CAPITAL WORK-IN-PROGRESS:	133,494,119	257,972,906
Opening Balance	257,972,906	742,177,768
Addition for the year	578,475,819	415,566,873
Less: Transferred to Assets Schedule	702,954,607	899,771,735
Closing Balance	133,494,119	257,972,906
6. CONSOLIDATED INVENTORIES :		
Raw Materials	1,622,063,187	1,996,488,196
Stock-in-Transit	1,319,515,688	3,416,268
Work-in-Process	1,353,604,778	648,228,673
Finished Goods	1,491,398,445	1,522,642,684
Stores & Accessories:	347,884,232	349,218,087
Total:	6,134,466,331	4,519,993,908
(i) The inventory counting was taken place at the year end in the presence of company management and auditors.		
(ii) Inventories are valued at lower of cost and net realizable value. Net realizable value is based on estimated selling price less any other cost anticipated to be incurred to make the sale. Any obsolete stock or abnormal losses, if any, are recognized as expenses.		
7. CONSOLIDATED ACCOUNTS RECEIVABLE :		
i) Malek Spinning Mills Limited	1,249,627,547	1,114,245,430
ii) Salek Textile Limited	1,551,091,902	1,285,416,244
iii) J.M. Fabrics Limited	1,023,193,148	446,946,351
	3,823,912,597	2,846,608,025
Less: Inter Company Receivable	244,785,953	239,990,850
Total:	3,579,126,645	2,606,617,175
(i) A/C Receivable occurred in the ordinary course of business by selling of company's product. As per assessment of directors, the above receivable is considered as good & realizable within due course of business.		
(ii) The A/C Receivable are secured against confirmed Export L/C (Deferred period is 120 days).		
(iii) <u>Aging of the Receivables:</u>		
Invoiced at 90 days L.C tenor:	357,912,665	260,661,718
Invoiced at 120 days L.C tenor:	2,863,301,316.26	2,345,955,458
Invoiced at 121 - 180 days L.C tenor:	357,912,664.53	-
Invoiced at 181 - 360 days L.C tenor:	-	-
Invoiced at above 360 days L.C tenor:	-	-
Total:	3,579,126,645	2,606,617,175

**8. CONSOLIDATED FIRE INSURANCE CLAIMED RECEIVABLE:
(Contingent Asset)****304,791,187****-**

Please see the note no. 42 of these financial statements for detail of contingent assets.

9. CONSOLIDATED ADVANCE, DEPOSIT & PRE-PAYMENTS:

Advance against construction materials, Suppliers & Others

277,168,421

627,061,960

Security Deposit to REB

1,178,875

1,178,875

Security Deposit to Titas Gas T & D Co.

49,001,852

41,907,552

Advance against Income Tax (Note: 9-A)

335,112,275

359,447,316

Security Deposit to CDBL

500,000

500,000

Security deposit to Peoples Insurance Company Ltd.

-

500,000

Security deposit to Eastern Insurance Company Ltd.

500,000

-

Advance to M/S Maznu Traders(For Land purchase)

73,073

136,843

Advance to M/S Sowa Enterprise

500,000

-

Advance to WASO Engineers & Consultants (BD) Ltd.

600,000

-

Security Deposit to EBL

34,000,000

-

Security Deposit to OBL

12,500,000

-

Security Deposit to TBL

9,000,000

-

Advance against Office/Factory Rent

31,725,948

31,725,948

Security Deposit against LC margin/ Bank Guarantee

1,991,360

799,880

Advance to M/S MR Traders (Land purchase-Ashugonj)

3,000,000

-

Total:**756,851,805****1,063,258,375****9-A. CONSOLIDATED ADVANCE INCOME TAX:**

Opening Balance

359,447,316

318,067,115

Advance Income Tax paid (Against Export Proceeds)

72,679,216

52,057,446

Advance Income Tax paid (Against Import)

1,668,600

292,414

Advance Income Tax paid (Against Interest Income)

81,803

187,722

Advance Income Tax paid (Against Cash Incentive)

10,479,235

6,806,725

Advance Income Tax paid (Against Yearly Income)

5,468,828

-

Advance Income Tax paid (Against Vehicle)

464,500

447,000

Total AIT paid for the year:**90,842,182****59,791,307**

Payment/Adjustment for prior year Income

115,177,223

18,411,106

Total:**335,112,275****359,447,316**

a) All the advances & deposits amount is considered good and recoverable within the ordinary course of business.

b) In the opinion of Directors, all current assets, investments, loans and advance have on realization in the ordinary course of business, a value at least equal to the amount at which they are stated in the Financial Position.

MATURITY ANALYSIS OF ADVANCES, DEPOSITS & PREPAYMENTS:

(i) Realizable/Adjustable within 1 year:

541,793,906

818,561,960

(ii) Realizable/Adjustable after 1 year:

215,057,899

244,696,416

Total:**756,851,805****1,063,258,376****10. CONSOLIDATED CASH AND CASH EQUIVALENTS:****Cash in Hand:****2,567,349****1,335,208****Cash at Banks :**

AB Bank Ltd. STD A/C: 4005-767482-430 (MSML)

256,269

248,930

Brac Bank STD A/C: 150510 (MSML)

42,811

43,762

Brac Bank A/C: 150120 (MSML)

10,336,539

2,814,081

The City Bank Ltd.-CD A/C: (JM)

858,155

146,149

The City Bank Ltd.-FBPAR A/C: (JM)

153,900,486

178,226,492

The City Bank Ltd.-ERQ A/C: (JM)

1,082,859

4,239,778

Dhaka Bank Ltd A/C: 207.100.6276 (STL)

71,423,629

1,285,372

Dhaka Bank USD Margin A/C:0032 (STL)

39,720,752

230,419

Dhaka Bank Ltd A/C: 207.100.6643 (NSL)

25,904,830

168,927

Dhaka Bank Ltd. CD A/C: 207-175000000023(MSML)

28,536,940

-

Dhaka Bank Ltd. STD A/C: 207-150000000806(MSML)

28,892,799

9,527,606

Dhaka Bank Ltd.- Margin A/C: (MSML)

122,520,591

39,885,838

Dutch Bangla Bank Ltd. CD A/C: (MSML)

474,754

349,813

Dutch Bangla Bank Ltd. CD A/C: (STL)

442,575

394,961

Dutch Bangla Bank Ltd. CD A/C: (JMF)

1,298,387

524,908

Eastern Bank CD A/C: 5745 (NSL)

86,116

86,806

Eastern Bank Ltd.- Margin A/C: USD (MSML)

22,010,428

8,069,740

Eastern Bank Margin A/C:0311738 (STL)

102,576

1,300,974

Eastern Bank CD A/C: 01011060020990 (STL)

-

189,078

Eastern Bank Ltd. ERQ A/C:1043100255781(STL)

48,691

134,975

Eastern Bank FC A/C: (Deposit-NRB IPO) MSML

1,210,823

1,213,250

Eastern Bank STD A/C: BDT (Deposit IPO) MSML

3,378,153

3,361,648

HSBC Bank CD A/C: 001-241389-011 (STL)

-

127,145,682

HSBC Bank USD Margin A/C: 091 (STL)

-

3,089,020

HSBC Bank USD Margin A/C: 047 (STL)

203,438

4,600,168

HSBC Bank-Margin A/C:091 USD (MSML)

7,471,658

13,789,112

Meghna Bank Ltd. CD A/C:1039(STL)

56,107

-

Meghna Bank Ltd. CD A/C:0007(STL)

355,119,467

-

Islami Bank-CD A/C: 010049410(STL)

24,951

26,101

Islami Bank-CD A/C: 0100222810(STL)

2,761

28,450

Islami Bank-FDR A/C: 228312(STL)

-

13,760,907

Islami Bank-FDR A/C: 3301(STL)

1,618,445

1,553,315

One Bank- USD A/C:(MSML)

887,395

7,007,262

Pubali Bank-CD A/C: 3311-901-12209 (STL)
Shahjalal Islami Bank A/C: 11100000252 8 (MSML)
Trust Bank CD A/C: 0003-0210006613 (MSML)
Trust Bank Ltd A/C: 0003-0210009816 (STL)
Trust Bank Ltd - Margin A/C: 5025000082 (MSML)
Trust Bank Ltd - Margin A/C: 5025000028 (STL)
Trust Bank Ltd. SND A/C: 003-0320001302 (STL)
Trust Bank Ltd. ERQ A/C: 003-5101000526
Trust Bank Ltd.- CD A/C: (NSL)
Eastern Bank Limited FC- Margin (JM)
Eastern Bank Ltd. CD A/C: 64055 (JM)
Eastern Bank Ltd. ERQ A/C: (JM)
Prime Bank Ltd. CD A/C (JM)
Prime Bank Ltd. Margin A/C
Prime Bank Ltd. ERQ A/C
UCBL- FC Margin: (JM)
UCBL- Banani Branch (JM)
UCBL- ERQ A/C: (JM)

Cash at Bank Total:
Total:

-	1,110,342
8,868	9,558
-	163,969
65,324,884	-
150,531	150,531
9,965,222	13,254,081
23,623,654	5,591,094
3,239,442	-
531,828	533,018
-	78
270,859	4,675
50	50
-	403,396
20,058,806	-
527,104	-
97,966,912	140,941,482
222,857	-
1,315,087	2,315,609
1,101,119,490	587,921,411
1,103,686,839	589,256,619

a) Cash balance was physically counted at the year ended and Bank balances were reconciled and found in order.

11. CONSOLIDATED SHARE CAPITAL: **1,936,000,000** **1,936,000,000**
It represents 19,36,00,000 ordinary shares of Tk.10 each.

12. CONSOLIDATED SHARE PREMIUM: **1,500,000,000** **1,500,000,000**
It represents premium of 100,000,000 ordinary shares of Tk.15 each.

13. CONSOLIDATED TAX HOLIDAY RESERVE:
Opening Balance 210,883,871 210,883,871
Add: Adjustment Minority Interest of Tax Holiday Reserve - -
Add: Provided during the year - -
Closing Balance **210,883,871** **210,883,871**

14. CONSOLIDATED RE-VALUATION SURPLUS:
Opening Balance 3,519,909,366 3,574,135,334
Less: Adjustment of Revaluated Assets 3,208,837 -
Less: Transfer to Retained Earnings of excess depreciation 48,918,162 54,225,968
Net Written Down Value:- **3,467,782,367** **3,519,909,366**

Detail of Re-valuation Surplus of Fixed Assets is given in the annexed **Annexure-1**

Calculation of deferred tax adjusted balance which has been transferred from revaluation surplus to retained earnings and changes in equity:

Total depreciation of revalued asset	100%	57,550,779
Deferred tax adjustment	15%	8,632,617
Deferred tax adjusted balance of excess depreciation:	85%	48,918,162

15. CONSOLIDATED RETAINED EARNINGS:
Opening Balance 1,139,080,298 1,515,526,057
Add: Net Profit/(Loss) during the year 651,145,918 (326,116,527)
1,790,226,216 **1,189,409,530**
Add: Transfer of excess depreciation of revaluated assets 48,918,162 54,225,968
Add: Adjustment of Revaluation Surplus of Fixed Assets 3,208,837 -
Less: Declared Cash Dividend - 104,555,200
Total: **1,842,353,215** **1,139,080,298**

16. NON CONTROLLING INTEREST:
Non Controlling Interest details as follows:

Paid-up Capital-

(i) Salek Textile Ltd.	2.0745%	10,011,700	10,011,700
(ii) Newasia Synthetics Ltd.	0.7070%	4,666,200	3,535,000
(iii) J.M Fabrics Ltd.	0.0025%	10,000	10,000
Total:		14,687,900	13,556,700

Retained Earnings-

(i) Salek Textile Ltd.	2.0745%	19,424,432	17,885,421
(ii) Newasia Synthetics Ltd.	0.7070%	(159,339)	(153,842)
(iii) J.M Fabrics Ltd.	0.0025%	19,248	10,651
Total:		19,284,341	17,742,230

Tax Holiday reserve-

(i) Salek Textile Ltd.	2.0745%	4,470,368	4,470,368
Total:		4,470,368	4,470,368

Revaluation Surplus-

(i) Salek Textile Ltd.	2.0745%	7,602,409	7,878,997
(ii) Newasia Synthetics Ltd.	0.7070%	9,485,468	9,485,468
(iii) J.M Fabrics Ltd.	0.0025%	3,484	3,528
Total:		17,091,361	17,367,993

Total Non Controlling Interest: **55,533,970** **53,137,291**

This represents non controlling interest of Salek Textile Limited, Newasia Synthetics Limited, J.M. Fabrics Limited

17. CONSOLIDATED LONG TERM LOAN:

Eastern Bank Limited
Trust Bank Limited
Meghna Bank Ltd.
HSBC Limited
One Bank Limited
The City Bank Ltd.
IDLC Finance Ltd.
Prime Bank Ltd.
United Commercial Bank Ltd.
United Leasing Co. Ltd.
Lease Liability

-	319,538,602
1,528,174,578	1,373,127,000
162,500,000	-
331,996,364	96,785,194
285,364,486	310,687,684
10,775,822	179,427,455
115,729,338	250,648,391
262,254,580	-
752,794,521	746,599,066
406,476	2,415,181
120,202,607	158,367,617
3,570,198,772	3,437,596,190
720,099,910	790,902,612
2,850,098,862	2,646,693,579

Less: Current Portion of Long Term Loan Note: 20

Total Long Term Loan:**18. DEFERRED TAX LIABILITIES:**

Opening Balance
Add: Provision for the year
Total:

470,565,565	452,344,526
8,552,205	18,221,039
479,117,771	470,565,565

Deferred Tax Calculation:

Particulars	Accounts Base (WDV)	Tax Base (WDV)	Temporary difference	Temporary difference
Written Down Value of Fixed Assets at cost	6,589,153,524	5,707,753,659	881,399,865	743,940,357
WDV of Revaluation Surplus of Fixed Assets	3,675,182,335	1,341,650,365	2,333,531,970	2,403,675,259
Lease Contract	(2,213,330)	12,300,000	(14,513,330)	(9,332,362)
Total	10,262,122,529	7,061,704,024	3,200,418,504	3,138,283,254
Deferred tax rate			12% - 15%	12% - 15%
Closing Deferred Tax Liability			479,117,771	470,565,565

19. CONSOLIDATED SHORT TERM LOAN:**Import Loan & Working Capital:**

Dhaka Bank Ltd.
Dutch-Bangla Bank Ltd.
Eastern Bank Ltd.
HSBC Ltd.
Meghna Bank Ltd.
Trust Bank Ltd.
IDLC Finance Ltd.
Prime Bank Ltd.
One Bank Ltd.
The City Bank Ltd.
United Commercial Bank Ltd.

-	75,000,000
400,000,000	-
76,300,042	36,570,862
151,793,029	418,000,000
355,000,000	-
132,304,991	53,952,180
150,755,208	-
55,606,153	-
12,500,000	-
456,295,116	388,398,334
588,690,673	804,312,495
2,379,245,212	1,776,233,871

Sub-total:**Bank Overdraft:**

Eastern Bank Ltd A/C: 01012050000180 & 11 (MSML)
Eastern Bank Ltd A/C: 01012040000780 (STL)
Eastern Bank Ltd A/C:(JML)
Dhaka Bank Ltd A/C: 207.175.23 (MSML)
The city Bank Ltd. A/C:(JM)
Prime Bank Ltd. (JM)
United Commercial Bank Ltd.(JM)
Pubali Bank Ltd.(STL)
Trust Bank Ltd. A/C: 0210009816 (STL)
Trust Bank Ltd. A/C: 0136000171 (STL)
Meghna Bank Ltd.(STL)
One Bank Ltd A/C: 16426 008 (MSML)
TBL OD A/C:003- 0136000153 (MSML)
TBL CD/OD A/C: 0210006613 (MSML)
HSBC OD A/C : 001-007475-011(MSML)
HSBC A/C: 001-241389-011 (STL)

76,489,043	43,740,068
154,385	16,934,908
-	27,353,889
-	30,685,556
4,973,153	34,400,756
44,842,349	-
20,705,361	4,687,859
714,884	-
-	810,375
823,560	92,198,661
50,077,777	-
30,312,249	20,469,561
29,594,503	77,905,230
8,989,600	-
43,101,442	20,027,072
8,383,140	-
319,161,445	369,213,934

Sub-total:**Liability for Bill discounted**

Dhaka Bank Ltd.
Eastern Bank Ltd
HSBC Ltd.
Trust Bank Ltd.

119,111,477	126,975,630
178,732,898	60,195,043
2,586,307	98,125,013
80,252,172	-
380,682,854	285,295,686
3,079,089,510	2,430,743,491

Sub-total:**Total:**

The above Import Loan and Overdraft loans are secured against hypothecation of Stocks and Book Debts.

Particulars	EBL	DBL	HSBC	OBL
Saction facility (Overdraft)	121,000,000	30,000,000	50,000,000	20,000,000
Interest paid this year (OD)	6,661,156	1,708,095	4,293,015	5,035,974
Repayment Terms	N/A	N/A	N/A	N/A
Installment Size	N/A	N/A	N/A	N/A
Tenor	1 year renewable	1 year renewable	1 year renewable	1 year renewable
Interest Rate	9% - 11%	9% - 11%	9% - 11%	9% - 11%
Security	Pari-passue security of Stock & Book Debts sharing agreement.			

Particulars	TBL	TCBL
Saction facility (Overdraft)	70,000,000	40,000,000
Interest paid this year (OD)	8,376,631	-
Repayment Terms	N/A	N/A
Installment Size	N/A	N/A
Tenor	1 year renewable	1 year renewable
Interest Rate	9% - 11%	9% - 11%
Security	Pari-passue security of Stock & Book Debts sharing agreement.	

20. CONSOLIDATED CURRENT PORTION OF LONG TERM LOAN :

Eastern Bank Ltd.	-	123,974,434
HSBC Ltd.	86,955,528	25,326,210
One Bank Ltd.	82,708,656	79,287,276
Trust Bank Ltd.	190,750,508	233,356,987
The City Bank Ltd.	-	101,961,498
IDLC Finance Ltd.	34,241,919	39,187,275
Prime Bank Ltd.	131,966,598	-
United Commercial Bank Ltd.	151,408,435	143,492,328
Lease Liability	42,068,267	44,316,604
Total:	720,099,910	790,902,612

According to International Accounting Standard (IAS) 1 "Preparation of Financial Statements", Current portion of Long Term Loan that are due for settlement within twelve month after the balance sheet date are current liabilities, therefore, the above amount has been shown in current liabilities.

21. CONSOLIDATED LOAN FROM DIRECTOR:

34,000,000	34,000,000
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22. CONSOLIDATED ACCEPTANCE LIABILITIES:

Raw Materials:

Eastern Bank Limited	1,123,798,278	416,420,641
HSBC Ltd.	343,854,507	994,036,790
The City Bank Ltd.	359,277,853	34,392,968
One Bank Ltd.	274,339,376	80,893,325
Trust Bank Ltd.	659,144,278	315,856,120
Prime Bank Ltd.	35,013,575	-
United Commercial Bank Ltd.	632,889,583	28,864,016
Dhaka Bank Limited	656,673,592	552,655,532
Sub-total:	4,084,991,041	2,423,119,392

Machinery:

Dhaka Bank Limited	-	9,918,337
Sub-total:	-	9,918,337
Capital Work-in-progress	569,778,135	234,228,748
Total:	4,654,769,176	2,667,266,477

23. UNCLAIMED DIVIDEND WITH INTEREST:

Bankwise Details as follows:

Brac Bank (Principal):	10,209,155	10,210,505
Brac Bank (Interest):	127,384	-
Dhaka Bank (Principal):	28,470,956	29,032,181
Dhaka Bank (Interest):	421,843	-
Total-	39,229,338	39,242,687

24. CONSOLIDATED CREDITORS, ACCRUALS & PROVISIONS:

Gas Bill Payable	65,216,014	76,374,179
Electricity Bill Payable	1,390,261	3,123,163
Audit Fee Payable	417,450	417,450
Tax Deduction at Source	12,660,568	6,396,456
Vat Deduction at Source	2,753,641	2,046,978
Income Tax Payable (Note: 24-A)	314,830,022	345,382,933
Salary & Wages Payable	206,693,109	146,244,854
Contribution to WPPF Payable	103,497,133	93,632,519
Director's Remuneration Payable	979,792	979,792
Payable for Goods Suppliers & Others	366,383,290	644,063,108
Payable for Waste Cotton Purchase	527,945,301	405,475,543
Interest accrued (Note: 24-B)	36,925,506	48,004,454
Refundable IPO Share money with Interest	12,888,661	12,888,661
	1,652,580,748	1,785,030,090
Less: Inter Company Payable	244,785,953	239,990,850
Total:	1,407,794,795	1,545,039,240

- a) Payable for Goods Supplies and others represents regular suppliers of packing materials, Bearing, belts, fuel & lubricants, stationery items and others.
- b) Factory Salary and Wages payable for the month of 30th June 2021.

24-A. CONSOLIDATED TAX PAYABLE:

Opening Balance	345,382,933	301,044,126
Provision for the year (Current Tax): (Note: 31)	97,283,005	62,749,913
	442,665,938	363,794,040
Payment/Adjustment for prior year balance:	127,835,916	18,411,106
Total Payment/Adjustment for last year Income:	127,835,916	18,411,106
Total Payable-	314,830,022	345,382,933

24-B. INTEREST ACCRUED:

Eastern Bank Limited
Meghna Bank Ltd.
One Bank Limited
Trust Bank Limited
HSBC Ltd.

Total:

-
450,902
36,331,678
-
142,926
36,925,506

1,408,923
-
27,191,108
19,404,424
-
48,004,454

25. CONSOLIDATED SALES:

Export Sales
Less: Inter Co. Sales

Total:

15,537,992,557
498,256,643
15,039,735,914

10,062,465,134
297,679,019
9,764,786,115

26. CONSOLIDATED COST OF GOODS SOLD:

Raw Material Consumed (Note: 26-A)
Direct Expenses (Note: 26-B)
Factory Overhead (Note: 26-C)

Total Manufacturing Cost

Add: Work-in-Process- Opening

Cost of Goods available for use

Less: Work-in-Process- Closing

Cost of Production

Add: Finished Goods- Opening

Cost of Goods Available for Sales

Less: Finished Goods- Closing

Less: Finished Goods Closing- Inter Company

Less: Goods destroyed by fire {Note-29.A(ii)}

Cost of Goods Sold:

10,647,623,965
2,328,457,985
1,902,126,145
14,878,208,095
648,228,673
15,526,436,768
1,353,604,778
14,172,831,989
1,522,642,684
15,695,474,674
1,491,398,445
498,256,643
58,346,808
13,647,472,777

7,060,297,066
1,294,520,072
1,754,287,558
10,109,104,696
405,180,837
10,514,285,532
648,228,673
9,866,056,860
1,199,890,821
11,065,947,680
1,522,642,684
297,679,019
-
9,245,625,977

26-A. CONSOLIDATED RAW MATERIALS CONSUMED:

Opening Inventory of Raw Materials
Add: Purchase of Raw Materials
Less: Closing Stock of Raw Materials

Total Raw Materials Consumption:

1,996,488,196
10,273,198,957
1,622,063,187
10,647,623,965

1,599,486,055
7,457,299,206
1,996,488,196
7,060,297,066

26-B. CONSOLIDATED DIRECT LABOUR:

2,328,457,985

1,294,520,072

26-C. CONSOLIDATED FACTORY OVERHEAD:

Factory Salary and Allowances
Overtime Wages for Worker
Festival Bonus
Electricity Charges
Gas Charges
Gardening Expenses
Repairs & Maintenance
Air Freight, Courier charges
Packing Materials
Fuel, Oil & Lubricant
Insurance Premium- Fire
Insurance Premium- (Group)
Stores & Accessories consumption
Entertainment
Telephone, Mobile & Fax
Stationery expenses
Printing Charges
Other Carrying Charges
Factory Office Expenses others
C&F and others expenses
Lab test & Inspection charges
Security Service charges
Factory Rent
Vehicles Maintenance
Medical Expenses
Uniform & Leverage
Central Fund expenses for RMG sector
Miscellaneous
Conveyances
Accommodation Facility for worker
Depreciation

Total:

360,375,969
28,645,511
65,958,073
30,623,177
403,887,010
40,135
91,144,575
76,020
76,728,431
38,111,793
14,997,655
75,390
169,083,519
20,020,770
3,291,222
9,094,848
58,086
686,455
1,989,551
14,040,013
22,483,665
1,006,598
-
12,800,495
1,625,010
354,048
2,744,692
3,933,780
5,473,936
2,159,820
520,615,898
1,902,126,145

343,672,354
43,068,695
53,302,958
34,149,886
376,538,711
32,235
80,752,728
63,040
85,167,146
41,016,187
25,102,529
238,830
89,723,818
10,130,315
2,681,390
9,112,347
20,810
8,694,586
793,163
7,454,189
18,931,084
365,851
3,803,015
7,597,680
1,014,702
202,830
1,576,632
3,981,794
4,872,511
2,385,228
497,840,314
1,754,287,558

27. CONSOLIDATED OPERATING EXPENSES:

Salaries & Allowances
Festival Bonus
Director's Remuneration
Fees, Forms & Others
Audit Fees
Printing & Stationery
Telephone, Mobile & Internet Expenses
Postage & Stamp

90,007,345
7,104,923
15,000,000
8,493,855
417,450
1,568,732
2,593,555
894,722

78,938,483
5,814,608
12,500,000
8,667,251
417,450
1,359,987
3,059,363
2,153,619

Vehicle Maintenance
Miscellaneous Expenses
Office Rent
Rates & Taxes
Carriage Outward, Selling & Distribution, C&F, Sample expense
Travelling & Conveyance
Entertainments
Advertisement/ Publicity Expenses
AGM Expenses
Marketing Expenses
Security Charges
Uniform & Leverage Security
Repairs & Maintenance
Medical Expenses
Donation & Subscription
Software Maintenance Expenditure
Credit Rating Charges
Depreciation

Total:

14,361,307
7,060,709
38,228,950
680,706
19,858,200
2,492,044
2,725,650
694,778
1,305,416
9,926,209
20,000
90,505
6,704,661
106,440
20,237,596
112,440
107,500
9,138,998

259,932,690

11,338,174
6,913,954
36,749,429
1,110,697
21,591,644
3,543,818
4,248,799
625,397
1,490,071
4,249,818
451,000
238,391
7,996,370
18,437
2,300
83,925
115,000
10,482,378

224,160,362

28. CONSOLIDATED FINANCIAL EXPENSES :

EASTERN BANK LTD.:

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount

Total:

8,659,901
2,801,834
6,661,156
3,008,679
2,184,269
6,219,295

29,535,135

45,721,309
11,594,282
6,986,729
1,279,812
4,283,475
9,820,631

79,686,237

HSBC LTD.:

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount

Total:

35,383,187
21,591,565
4,293,015
8,789,814
5,111,029
6,659,820

81,828,429

5,695,607
29,984,338
4,357,738
14,568,050
9,650,086
27,785,500

92,041,320

DHAKA BANK LTD.:

Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount

Total:

1,469,316
1,708,095
1,705,526
2,571,935
3,067,892

10,522,764

19,597,788
3,293,524
1,948,767
956,299
3,661,402

29,457,779

MEGHNA BANK LTD.:

Interest on Short Term Loan
Interest on Long Term Loan
Bank Charges and Commission
Interest on Overdraft

Total-

251,458
199,444
294,237
77,778

822,917

-
-
-
-

-

ONE BANK LTD.:

Interest on Long Term Loan
Interest on Short Term Loan
Interest on Overdraft
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Bill Discount

Total:

13,386,546
2,031,348
5,035,974
427,458
144,391
35,039

21,060,757

32,547,212
-
2,614,069
867,660
2,535
-

36,031,476

TRUST BANK LTD.:

Interest on Long Term Loan
Interest on Short Term Loan
Bank Charges & Commission
Export L/C Negotiation Commission
Interest on Overdraft
Interest on Bill Discount

Total:

132,970,311
1,389,122
5,793,330
3,881,562
8,376,631
5,638,566

158,049,522

160,312,736
-
1,984,086
2,507,538
6,774,595
603,544

172,182,499

SHAHJALAL ISLAMI BANK LTD.:

Bank Charges & Commission

Total:

690
690

690
690

ISLAMI BANK BANGLADESH LTD.:

Bank Charges & Commission

Total:

246,791
246,791

15,915
15,915

DUTCH BANGLA BANK LTD.:

Interest on Short Term Loan
Bank Charges & Commission

Total:

2,103,082
138,960
2,242,042

-
15,861
15,861

AB BANK LTD. :		
Bank Charges & Commission	1,300	-
Total:	1,300	-
BRAC BANK LTD. :		
Bank Charges & Commission	1,150	4,110
Total:	1,150	4,110
THE CITY BANK LTD. :		
Bank Charges and Commission	1,106,247	1,082,251
Interest on Long Term Loan	8,028,310	24,088,995
Interest on Short Term Loan	16,203,674	8,681,918
Total:	25,338,231	33,853,164
PUBALI BANK LTD. :		
Bank Charges & Commission	7,159	4,225
Total:	7,159	4,225
IDLC FINANCE LTD. :		
Interest on Long Term Loan	20,036,434	21,978,080
Total:	20,036,434	21,978,080
PRIME BANK LTD.		
Interest on Long Term Loan	14,562,843	-
Bank Charges and Commission	961,422	300
Total:	15,524,265	300
UCBL. :		
Interest on Short Term Loan	15,284,865	26,864,698
Interest on Term Loan	59,552,462	38,844,806
Bank Charges & Commission	811,534	984,860
Total:	75,648,861	66,694,364
FINANCIAL EXPENSES ON LEASE LIABILITY	12,704,263	15,841,841
TOTAL FINANCIAL EXPENSES:	453,570,709	547,807,861
29. OTHER INCOME/(LOSS):	105,984,451	84,189,847
CASH INCENTIVE:		
OTHER INCOME/(LOSS):		
Interest Received from Dividend A/C with BRAC Bank Ltd.	-	84,247
Interest Received from Dividend A/C with Dhaka Bank Ltd.	-	322,024
Interest Income from STD A/C with AB Bank Ltd.	4,626	-
Interest Income from STD A/C with BRAC Bank Ltd.	221	411
Interest Income from STD A/C with Eastern Bank Ltd.	16,505	33,599
Interest Received from FDR A/C-Islami Bank	330,429	929,877
Interest Received from CD A/C-Islami Bank	921,635	-
Interest Received from SND A/C	131,206	-
	1,404,621	1,370,158
Income from Agriculture/Rent	2,857,339	-
	2,857,339	-
Foreign currency exchange Gain/(Loss) against Import LC payment	(234,354)	(706,431)
Foreign currency exchange Gain/(Loss) against export realization	719,766	415,789
Foreign currency translation Gain/(Loss)	-	263,463
Gain/(Loss) on Sale of Assets	(11,169,060)	(84,000,281)
	(10,683,648)	(84,027,459)
Other Income/(Loss)	(6,421,688)	(82,657,301)
Total Non-operating Income/(Loss)	99,562,763	1,532,546
29.A(i). LOSS ON FIRE OF ASSETS:		
Fire Insurance claimed	246,444,379	-
Written down value	246,444,379	-
Loss on fire of Assets	-	-
29.A(ii). LOSS ON FIRE OF GOODS:		
Fire Insurance claimed	58,346,808	-
Goods destroyed by fire	58,346,808	-
Loss on fire of Goods	-	-
30. CONSOLIDATED WORKER'S PROFIT PARTICIPATION FUND:		
Provision for Contribution to WPPF(MSML)	14,713,545	-
Provision for Contribution to WPPF(STL)	5,362,349	-
Total:	20,075,894	-
31. CONSOLIDATED CURRENT TAX EXPENSES:		
On Operating Income:		
Malek Spinning Mills Ltd.	48,044,286	15,504,547
Salek Textile Ltd.	614,002	23,273,091
J.M Fabrics Ltd.	36,973,141	16,553,816
Sub-total:	85,631,429	55,331,454
On Cash Incentive:		
Salek Textile Ltd.	4,261,225	2,296,220
J.M Fabrics Ltd.	6,218,010	4,510,505
Sub-total:	10,479,235	6,806,725

On Other Income:

Malek Spinning Mills Ltd.
 Salek Textile Ltd.
 J.M Fabrics Ltd.

Sub-total:**Total:**

Prior year under provision

Grand Total:

-	126,277
217,198	360,239
955,143	125,219
1,172,341	611,735
97,283,005	62,749,913
-	-
97,283,005	62,749,913

32. CONSOLIDATED DEFERRED TAX:

Malek Spinning Mills Limited
 Salek Textile Limited
 J.M Fabrics Limited

Total:

(4,003,368)	(3,152,787)
21,817,477	2,678,677
(9,261,903)	18,695,149
8,552,205	18,221,039

33. NON CONTROLLING INTEREST:

On Net Profit/(Loss) after tax:

Salek Textile Limited 2.0745%
 Newasia Synthetics Limited 0.7070%
 J.M. Fabrics Limited 0.0025%

Total:

1,262,423	(6,112,602)
(5,497)	(18,315)
8,553	952
1,265,479	(6,129,965)

34. CONSOLIDATED BASIC EARNINGS PER SHARE (EPS):

(a) Consolidated Net Profit/(Loss) after tax

(b) Less: Non Controlling Interest

Consolidated Net Profit/(Loss): (a-b)

(c) Number of total share

Basic Earnings per Share (EPS): [(a-b)/c]

652,411,396	(332,246,492)
1,265,479	(6,129,965)
651,145,918	(326,116,527)
193,600,000	193,600,000
3.36	(1.68)

35. CASH FLOW FROM OPERATING ACTIVITIES ON INDIRECT METHOD:

PARTICULARS	JUNE'21	JUNE'20
Operating Profit/(Loss)	678,759,737	(252,808,086)
Depreciation	529,754,896	508,322,691
Other Income/(Loss)	110,246,411	85,560,005
Foreign currency exchange Gain/(Loss)	485,412	(290,641)
Accounts Receivable (Increase)/Decrease	(972,509,470)	(112,668,838)
Inventories (Increase)/Decrease	(1,672,819,231)	(915,011,004)
Advance, Deposit & Prepaid expenses (Increase)/Decrease	269,412,835	(104,046,002)
Accounts Payable Increase/(Decrease)	1,545,315,503	1,294,146,920
Payment to Employee against contribution to WPPF	(10,211,279)	(105,593,338)
Payment for Income Tax	(90,842,182)	(59,791,307)
Net Cash provided/(used) by Operating Activities	387,592,631	337,820,400

36. NET OPERATING CASH FLOW PER SHARE (NOCFPS):**Calculation of Net Operating Cash Flow per Share (NOCFPS):**

	JUNE'21	JUNE'20
NOCFPS		
a) Net Cash provided/(used) by Operating Activities	387,592,631	337,820,400
b) Number of total Shares	193,600,000	193,600,000

Net Operating Cash Flow Per Share (NOCFPS) { a/b }**2.00****1.74****Net Operating Cash Flow per Share significantly decreased due to as follows:**

- a) Collection against turnover are increased Tk. 4,415.10 million at the financial year 2020-2021 compared to the financial year 2019-2020 and other income increased Tk. 24.68 million for the financial year 2020-2021 compared to the financial year 2019-2020.
- b) Payment to Material suppliers and other supplier is increased Tk. 4,474.18 million, payment for operating expenses increased Tk. 37.11 million, payment for financial expenses decreased Tk. 56.16 million, payment for income tax increased Tk. 31.05 million at the financial year 2020-2021 compared to the financial year 2019-2020.

CASH FLOW FROM OPERATING ACTIVITIES :	JUNE'21	JUNE'20	DEFERENCE
Collection from Turnover & Bills Receivable	14,067,226,444	9,652,117,277	4,415,109,167
Other Income	110,246,411	85,560,005	24,686,406
Payment for Raw Materials, Indirect Materials and other expenses	(12,994,882,669)	(8,520,700,204)	(4,474,182,465)
Foreign currency exchange Gain/(Loss) realized	485,412	(290,641)	776,053
Payment to Employee against contribution to WPPF	(10,211,279)	(105,593,338)	95,382,058
Payment for Operating Expenses	(250,793,693)	(213,677,985)	(37,115,708)
Payment for Financial Expenses	(443,635,812)	(499,803,407)	56,167,595
Payment for Income Tax	(90,842,182)	(59,791,307)	(31,050,875)
Net Cash provided by Operating Activities	387,592,631	337,820,400	49,772,231

37. NET ASSET VALUE (NAV) PER SHARE:

	JUNE'21	JUNE'20
NAV calculation		
a) Equity attributable to owners of the company	8,957,019,453	8,305,873,535
b) Number of total Shares	193,600,000	193,600,000
Net Assets Value Per Share (NAV) { a/b }	46.27	42.90

MALEK SPINNING MILLS LIMITED
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2021

38. RELATED PARTY DISCLOSURE:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of transactions with related parties and balances with them as at 30th June 2021 were as follows:

Related Party	Nature of Relationship	Nature of Transaction	Transaction during this period		Balance as	Balance as
			Dr. (Sales or Advance)	Cr. (Realised)	at 30.06.2021	at 30.06.2020
Knit Asia Limited	Common Director	Sales	635,904,893	687,818,394	84,551,468	136,464,969
Salek Textile Limited	Subsidiary	Sales	7,444,142	9,309,536	56,626,969	58,492,363
Newasia Synthetics Limited	Subsidiary	Advance	500,000	129,700,000	-	129,200,000
J.M. Fabrics Limited	Subsidiary	Sales	490,812,501	484,152,004	188,158,984	181,498,487
Hejaz Publication Ltd.	Common Director	Office Rent	12,348,358	-	-	-

39. KEY MANAGEMENT PERSONNEL COMPENSATION:

Company has established following personnel compensation to the employee:

a) Short-term employee benefits: Company provide the following short-term benefit.

Particulars	2020-2021		2019-2020	
	Directors	Executives	Directors	Executives
Remuneration/ Salary	2,600,000	11,393,429	2,100,000	6,190,965
i) Basic	1,371,360	5,945,073	1,142,800	1,142,800
ii) House Rent	685,680	2,972,537	571,400	2,738,329
iii) Conveyance	205,824	892,281	171,520	821,978
iv) Medical Allowance	137,136	594,507	114,280	547,666
v) Bonus	200,000	989,031	100,000	940,192
Number of Person:	1	4	1	4

b) Post-employment benefits: Company provide contributory Provident fund and Worker's Profit Participation Fund to the employee.

c) Other long-term benefits: Company provide Gratuity Benefit to the employee under which an employee is entitle to the benefit depending on length of service. The cost for Gratuity is accounted on cash basis.

d) Share-based payment: Company does not provide any share-based payment facilities to the employee.

40 DISCUSSION ON SIGNIFICANT DEVIATION OF COST OF GOODS SOLD, EXPORT, GROSS PROFIT MARGIN, NET PROFIT MARGIN AND EARNINGS PER SHARE (EPS):

(a) Cost of Goods Sold: The cost of goods sold was 90.74% on sales during the year 2020-2021 compared to 94.68% for the year 2019-2020 on sales, a significant decreased of 3.94% this financial year was due to increased of Sales price for this financial year compared to the financial year 2019-2020.

(b) Export or Turnover: The company had achieved an export turnover of Tk.15,039.73 million during the year 2020-2021. Last year's export turnover was Tk.9,764.78 million. The turnover had increased by 54.02% this financial year compared to financial year 2019-2020 due to increase of Sales quantity and Sales price also.

(c) Gross Profit: Gross Profit earned during the year 2020-2021 by 9.26% on sales as compared to 5.32% during the year 2019-2020. It was increased by 3.94% on sales due to cost of goods sold was decreased this year compared to the last year.

(d) Net Profit/(Loss): The company had incurred a Net Profit of Tk.652.41 million during the year 2020-2021 compared to the last year 2019-2020, was Net loss Tk. (332.24) million. The Net Profit was increased the year 2020-2021 due to increase of Sales, Gross Profit, Other Income and decrease of Financial Expenses.

(e) Earnings Per Share (EPS): EPS is increased from Tk. (1.68) to Tk. 3.36 during the financial year 2020-2021 compared to the financial year 2019-2020 due to increase of Net Profit this financial year Net Loss (332.24) million to Net Profit 652.41 million.

41. INVESTMENT IN SUBSIDIARY COMPANY:

Salek Textile Limited (3,900,100 Shares @Tk.100 and 825,870 Share of Tk. 460 each including Premium Tk.360)
Newasia Synthetics Limited (6,553,338 Shares of Tk.100/- each)
J.M. Fabrics Limited (3,999,900 Shares of Tk.100/- each)

Total:

769,910,000
655,333,800
399,990,000
1,825,233,800

769,910,000
496,465,000
399,990,000
1,666,365,000

Share holding position in Subsidiary Company 97.926% of Salek Textile Ltd., 99.293% of Newasia Synthetics Ltd. & 99.998% of J.M Fabrics Ltd.

As per decision of the Board of Directors Meeting of the company held on 24/11/2020 which was desiminated as price sensitive information the company invested Tk. 158,868,800 to its subsidiary company Newasia Synthetics Limited.

42. CONTINGENT ASSET DISCLOSURE:

During the year, a fire incident has been happened in one of the company's subsidiary factory premises (Salek Textile Limited-Fabrics unit). As a result, some of goods (inventory) of TK 58,346,808 and some Property, Plant and Equipment of TK 246,444,379 of said susidiary company has been destroyed by fire. Whole of these assets (inventory and Property, Plant and Equipment) are under comprehensive insurance coverage with Pioneer Insurance Company Limited. Till date of reporting an inspection has been done by surveyor. As per director's assessment, the insurance claim recovery shall not be less than that carrying amount.

MALEK SPINNING MILLS LIMITED

CONSOLIDATED FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2021

ANNEXURE : 1

PARTICULARS		COST				RATE	DEPRECIATION				WRITTEN DOWN
		As at 01.07.2020	Addition	Adjustment	As at 30.06.2021		As at 01.07.2020	This year	Adjustment	As at 30.06.2021	VALUE AS AT 30.06.2021
A. Malek Spinning Mills Ltd., Salek Textile, Newasia Synthetics Ltd. & JM Fabrics Ltd.											
1	Land and Land Development	1,145,698,888	926,682	-	1,146,625,570	0%	-	-	-	-	1,146,625,570
2	Factory Building	1,758,274,959	27,946,224	53,141,011	1,733,080,172	3.37%-5%	552,473,220	47,273,877	19,632,394	580,114,703	1,152,965,469
3	Plant and Machinery	6,370,403,758	995,556,006	522,741,429	6,843,218,336	5%-10.85%	3,049,216,051	310,650,812	299,597,260	3,060,269,603	3,782,948,732
4	Equipment/Electrical Installation	386,747,703	26,235,141	-	412,982,844	10%-19.75%	207,503,004	34,173,191	-	241,676,195	171,306,649
5	Tubewell and Water Pump	12,672,308	-	-	12,672,308	15%	9,729,536	441,416	-	10,170,952	2,501,356
6	Furniture and Fixtures	59,649,541	17,603,130	-	77,252,671	10%-20%	31,746,573	5,151,501	-	36,898,074	40,354,597
7	Office Equipments	42,576,134	24,499,729	-	67,075,863	15%-20%	23,095,696	3,034,951	-	26,130,647	40,945,216
8	Gas Line Installation	71,707,596	5,500,000	-	77,207,596	15%	31,857,443	6,108,773	-	37,966,216	39,241,380
9	Loose Tools and Equipment	26,828,013	-	-	26,828,013	10%-15%	8,607,698	2,733,047	-	11,340,745	15,487,268
10	Motor Vehicle	96,135,911	6,038,372	14,666,025	87,508,258	10%-20%	65,094,463	4,115,927	12,459,821	56,750,569	30,757,689
11	Telephone (PABX) Installation	801,975	-	-	801,975	15%	661,753	21,033	-	682,786	119,188
12	Crockaries and Cutlaries	50,777	-	-	50,777	15%	47,067	557	-	47,623	3,154
13	Generator	236,629,429	-	15,155,250	221,474,179	10%-15%	196,044,623	3,428,320	14,838,415	184,634,529	36,839,650
14	Fire Installation	12,150,609	5,804,640	-	17,955,249	15%	5,445,859	1,441,060	-	6,886,920	11,068,329
15	Right to use of Asset	206,481,234	-	-	206,481,234	56 month	44,245,979	44,245,979	-	88,491,957	117,989,277
	Total (A) as at 30.06.2021	10,426,808,834	1,110,109,925	605,703,715	10,931,215,044		4,225,768,966	462,820,444	346,527,890	4,342,061,520	6,589,153,524
	Total (A) as at 30.06.2020	9,430,799,466	1,297,055,848	301,046,480	10,426,808,834		3,997,395,268	434,109,898	205,736,199	4,225,768,966	6,201,039,868

CONSOLIDATED REVALUED ASSETS SCHEDULE AS AT 30TH JUNE 2021

PARTICULARS	RE-VALUED COST				RATE	DEPRECIATION				WRITTEN DOWN
	As at 01.07.2020	Addition	Adjustment	As at 30.06.2021		As at 01.07.2020	This year	Adjustment	As at 30.06.2021	VALUE AS AT 30.06.2021
B. Malek Spinning Mills Ltd., Salek Textile, Newasia Synthetics Ltd. & JM Fabrics Ltd.										
1 Land and Land Development	2,859,354,760	-	-	2,859,354,760	0%	-	-	-	-	2,859,354,760
2 Factory Building	348,907,426	-	-	348,907,426	3.37%-5%	135,220,032	10,578,031	-	145,798,062	203,109,364
3 Machinery	1,448,886,907	-	772,664	1,448,114,243	7.5%-10%	830,103,375	51,975,703	551,741	881,527,337	566,586,906
4 Generator	157,730,295	-	13,178,400	144,551,895	10%-15%	104,230,357	4,380,718	10,190,486	98,420,589	46,131,305
Total (B) as at 30.06.2021	4,814,879,388	-	13,951,064	4,800,928,324	-	1,069,553,764	66,934,452	10,742,227	1,125,745,989	3,675,182,335
Total (B) as at 30.06.2020	4,814,879,388	-	-	4,814,879,388	-	995,340,970	74,212,794	-	1,069,553,764	3,745,325,624
Total (A+B) as at 30.06.2021	15,241,688,222	1,110,109,925	619,654,779	15,732,143,368		5,295,322,730	529,754,896	357,270,117	5,467,807,509	10,264,335,859
Total (A+B) as at 30.06.2020	14,245,678,854	1,297,055,848	301,046,480	15,241,688,222		4,992,736,237	508,322,691	205,736,199	5,295,322,730	9,946,365,492

Depreciation Charges to:

Factory Overhead:	520,615,898
Operating Expenses:	9,138,998
Tk.	529,754,896

MALEK SPINNING MILLS LIMITED

STATEMENT OF FINANCIAL POSITION

AS AT 30TH JUNE 2021

Particulars	Notes	Amount in Taka	
		JUNE'21	JUNE'20
ASSETS :			
Non-Current Assets:			
Property, Plant and Equipment	1.1	2,148,334,220	2,222,870,289
Capital Work-in-Progress	2.1	-	18,967,377
Investment in Subsidiary Company	3.1	1,825,233,800	1,666,365,000
		3,973,568,020	3,908,202,666
Current Assets :			
Inventories	4.1	2,197,140,142	1,610,867,790
Accounts Receivable	5.1	1,249,627,547	1,114,245,430
Advances, Deposits and Pre-payments	6.1	170,930,084	319,985,811
Cash and Cash Equivalents	7.1	226,418,040	86,818,406
		3,844,115,813	3,131,917,437
TOTAL ASSETS :		7,817,683,833	7,040,120,103
SHAREHOLDER'S EQUITY AND LIABILITIES :			
Shareholder's Equity :			
Share Capital	8.1	1,936,000,000	1,936,000,000
Share Premium	9.1	1,500,000,000	1,500,000,000
Re-valuation Surplus	10.1	1,173,581,963	1,210,590,720
Retained Earnings	11.1	505,766,912	218,528,177
		5,115,348,875	4,865,118,897
Non-Current Liabilities:			
Long Term Loan	12.1	202,655,830	231,400,408
Deferred Tax Liabilities	13.1	267,931,811	271,935,179
		470,587,641	503,335,587
Current Liabilities :			
Short Term Loan	14.1	475,499,066	478,123,173
Current Portion of Long Term Loan	15.1	82,708,656	80,418,802
Acceptance Liabilities	16.1	1,313,728,331	701,556,557
Unclaimed Dividend with Interest	17.1	39,229,338	39,242,687
Creditors, Accruals & Provisions	18.1	320,581,926	372,324,401
		2,231,747,317	1,671,665,619
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :		7,817,683,833	7,040,120,103
Net Assets Value Per Share (NAV)	28.1	26.42	25.13
Par Value Tk.10			

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
 Managing Director


Azizur Rahim Chowdhury
 Director


B.K. Chaki
 Chief Financial Officer


Syed Saiful Haque
 Company Secretary

As per our report of same date


Malek Siddiqui Wali
 Chartered Accountants

Dhaka
 October 27, 2021

MALEK SPINNING MILLS LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2021

Particulars	Notes	Amount in Taka	
		JUNE'21	JUNE'20
Sales	19.1	2,976,287,495	2,584,091,145
Cost of Goods Sold	20.1	(2,525,429,772)	(2,458,679,386)
Gross Profit/(Loss) :		450,857,723	125,411,759
Operating Expenses	21.1	(89,649,767)	(86,962,662)
Financial Expenses	22.1	(49,616,520)	(99,544,370)
Operating Profit/(Loss) :		311,591,435	(61,095,273)
Other Income/(Loss)	23.1	(2,606,995)	505,109
Net Operating Profit/(Loss) :		308,984,441	(60,590,164)
Contribution to WPPF	24.1	(14,713,545)	-
Profit/(Loss) before Tax :		294,270,896	(60,590,164)
Income Tax :		(44,040,918)	(12,478,037)
Current Tax	25.1	(48,044,286)	(15,630,824)
Deferred Tax	26.1	4,003,368	3,152,787
Net Profit/(Loss) after Tax		250,229,978	(73,068,201)
Other Comprehensive Income		-	-
Total Comprehensive Income		250,229,978	(73,068,201)
Earnings Per Share (EPS)	27.1	1.29	(0.38)
Par Value Tk.10			
Number of Shares used to compute EPS		193,600,000	193,600,000

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
 Managing Director


Azizur Rahim Chowdhury
 Director


B.K. Chaki
 Chief Financial Officer


Syed Saiful Haque
 Company Secretary

As per our report of same date

Dhaka
 October 27, 2021


Malek Siddiqui Wali
 Chartered Accountants

MALEK SPINNING MILLS LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30TH JUNE 2021

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2020	1,936,000,000	1,500,000,000	1,210,590,720	218,528,177	4,865,118,897
Net Profit/(Loss) during the year				250,229,978	250,229,978
Adjustment of Revaluation Surplus of Fixed Assets			(2,987,914)	2,987,914	-
Transfer of excess depreciation of Revalued Assets			(34,020,844)	34,020,844	-
As at 30th June 2021	1,936,000,000	1,500,000,000	1,173,581,963	505,766,912	5,115,348,875

FOR THE YEAR ENDED 30TH JUNE 2020

Particulars	Share Capital	Share Premium	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2019	1,936,000,000	1,500,000,000	1,248,545,665	358,196,633	5,042,742,298
Net Profit/(Loss) during the year				(73,068,201)	(73,068,201)
Transfer of excess depreciation of Revalued Assets			(37,954,944)	37,954,944	-
Declared Cash Dividend for 2018-2019 financial year				(104,555,200)	(104,555,200)
As at 30th June 2020	1,936,000,000	1,500,000,000	1,210,590,720	218,528,177	4,865,118,897

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.



A. Matin Chowdhury
Managing Director



Azizur Rahim Chowdhury
Director



B.K. Chaki
Chief Financial Officer



Syed Saiful Haque
Company Secretary

As per our report of same date



Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

MALEK SPINNING MILLS LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30TH JUNE 2021

PARTICULARS	Amount in Taka	
	JUNE'21	JUNE'20
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Accounts Receivable	2,840,905,378	2,607,169,106
Payment for Raw Materials, Indirect Materials and other expenses	(2,353,612,199)	(2,431,307,190)
Foreign currency exchange Gain/(Loss) realized	376,403	(13,727)
Other Income	21,351	440,281
Payment to Employee against contribution to WPPF	-	(46,792,240)
Payment for Operating Expenses	(87,857,190)	(85,104,594)
Payment for Financial Expenses	(40,275,451)	(72,343,786)
Payment for Income Tax	(20,180,504)	(15,633,952)
Net Cash provided/(used) by Operating Activities	339,377,789	(43,586,103)
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(12,117,176)	(6,651,410)
Acquisition of Capital work in progress	(0)	(22,548)
Disposal of Fixed Assets	300,000	650,000
Investment to Subsidiary Company	(158,868,800)	-
Net cash used in Investing Activities	(170,685,976)	(6,023,958)
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	(29,078,831)	201,926,745
Dividend Paid	(13,349)	(102,458,834)
Net Cash provided/(used) by Financing Activities	(29,092,179)	99,467,911
Increase/(Decrease) in Cash and Cash Equivalents	139,599,634	49,857,850
Opening Cash & Cash Equivalents	86,818,406	36,830,503
Foreign Currency Bank deposit translation Gain/(Loss)	-	130,053
Closing Cash and Cash Equivalents	226,418,040	86,818,406
Net Operating Cash Flow Per Share (NOCFPS)	1.75	(0.23)
Par Value Tk.10		

The annexed notes are integral part of these financial statement.

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.



A. Matin Chowdhury
Managing Director



Azizur Rahim Chowdhury
Director



B.K. Chaki
Chief Financial Officer



Syed Saiful Haque
Company Secretary

As per our report of same date



Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

MALEK SPINNING MILLS LIMITED
NOTES TO THE FINANCIAL STATEMENT
FOR THE YEAR ENDED 30TH JUNE 2021

FOR THE YEAR ENDED 30 JUNE 2021

Amount in Taka

	JUNE'21	JUNE'20		
1.1 PROPERTY, PLANT AND EQUIPMENT:				
COST:				
Opening Balance	2,220,065,707	2,205,333,412		
Addition during the year	21,166,216	16,592,295		
	2,241,231,923	2,221,925,707		
Sales/Adjustment during the year	15,155,250	1,860,000		
Closing Balance	2,226,076,673	2,220,065,707		
Accumulated Depreciation:				
Opening Balance	1,421,419,794	1,365,329,391		
Depreciation during the year	52,373,015	57,248,905		
Adjustment during the year	14,838,415	1,158,502		
Closing Balance	1,458,954,394	1,421,419,794		
Written Down Value at cost:	767,122,279	798,645,913		
REVALUATION:				
Opening Balance	2,148,818,646	2,148,818,646		
Addition of Revaluated Assets	-	-		
Adjustment during the year	13,178,400	-		
Total Revaluated Assets	2,135,640,246	2,148,818,646		
Accumulated Depreciation:				
Opening Balance	724,594,269	679,941,394		
Depreciation during the year	40,024,522	44,652,876		
Adjustment during the year	10,190,486	-		
Closing Balance	754,428,305	724,594,269		
Written Down Value of Revaluated Assets:	1,381,211,940	1,424,224,376		
Total Written Down Value:	2,148,334,220	2,222,870,289		
Allocation of depreciation charges for the year has been made in the accounts as follows:				
i) Factory Overhead	90,604,960	100,043,713		
ii) Administrative Overhead	1,792,577	1,858,068		
Total	92,397,537	101,901,781		
Land, Building, Plant & Machinery are registered Mortgage (Pari Passu charges among the existing lender Bank, Eastern Bank Ltd., HSBC, Dhaka Bank Ltd. & One Bank Ltd.)				
Details of Fixed Assets and Depreciation are shown in the Annexure- 1.1				
2.1 CAPITAL WORK-IN-PROGRESS:				
Opening Balance	18,967,377	18,967,377		
Addition during the year	-	22,548		
Less: Transferred to Assets Schedule	18,967,377	22,548		
Closing Balance	-	18,967,377		
3.1 INVESTMENT IN SHARE OF SUBSIDIARY COMPANY:				
Salek Textile Limited (3,900,100 Shares @Tk.100 and 825,870 Share of Tk.460 each including Premium Tk.360)	42%	769,910,000	769,910,000	
Newasia Synthetics Limited (6,553,338 Shares of Tk.100/- each)	36%	655,333,800	496,465,000	
J.M. Fabrics Limited (3,999,900 Shares of Tk.100/- each)	22%	399,990,000	399,990,000	
Total:		1,825,233,800	1,666,365,000	
Share holding position in Subsidiary Company 97.926% of Salek Textile Ltd., 99.293% of Newasia Synthetics Ltd. & 99.998% of J.M Fabrics Ltd.				
4.1 INVENTORIES:				
	June'21	June'20	June'21	June'20
Raw Materials	Kg 1,486,392	3,801,094	273,998,501	575,012,776
Stock-in-Transit	Kg 4,841,383	-	892,450,774	3,219,423
Work-in-Process	Kg 178,596	185,596	36,886,861	32,080,830
Finished Goods	Kg 2,622,684	3,608,432	821,003,426	829,461,631
Stores & Accessories: (Note: 4.1-A)			172,800,580	171,093,130
Total:			2,197,140,142	1,610,867,790
(i) The inventory counting was taken place at the year end in the presence of company management.				
(ii) Inventories were hyphothecated to Dhaka Bank Ltd., HSBC Ltd., Eastern Bank Ltd., Trust Bank Ltd. and One Bank Ltd. as security of workings capital loan.				
(iii) LC value in transit Tk.889,043,633 and LC opening and other charges in transit: Tk.3,407,141				
(iv) Inventories are valued at lower of cost and net realizable value. Net realizable value is based on estimated selling price less any other cost anticipated to be incurred to make the sale. Any obsolete stock or abnormal losses, if any, are recognized as expenses.				
4.1-A STORES & ACCESSORIES:				
Stores & Spares {Note: 4.1-A(i)}			136,616,509	141,828,678
Repairs and Maintenance Material {Note: 4.1-A(ii)}			24,131,313	24,819,008
Packing Material {Note: 4.1-A(iii)}			8,628,125	2,990,089
Fuel, Oil and Lubricant {Note: 4.1-A(iv)}			3,424,633	1,455,354
Total:			172,800,580	171,093,130

4.1-A(i) STORES & SPARES:

Opening Balance	141,828,678	122,480,428
Add: Purchase during the year	41,140,244	48,964,062
Less: Consumed	46,352,413	29,615,812
Closing Balance	136,616,509	141,828,678

4.1-A(ii) REPAIRS AND MAINTENANCE MATERIALS:

Opening Balance	24,819,008	7,813,589
Add: Purchase during the year	10,814,606	43,146,493
Less: Consumed	11,502,302	26,141,074
Closing Balance	24,131,313	24,819,008

4.1-A(iii) PACKING MATERIALS:

Opening Balance	2,990,089	2,373,804
Add: Purchase during the year	25,078,065	25,858,321
Less: Consumed	19,440,029	25,242,036
Closing Balance	8,628,125	2,990,089

4.1-A(iv) FUEL, OIL AND LUBRICANT:

Opening Balance	1,455,354	5,491,832
Add: Purchase during the year	11,507,806	6,901,006
Less: Consumed	9,538,527	10,937,484
Closing Balance	3,424,633	1,455,354

5.1 ACCOUNTS RECEIVABLE:

1,249,627,547	1,114,245,430
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(i) A/C Receivable occurred in the ordinary course of business by selling of company's product. As per assessment of directors, the above receivable is considered as good & realizable within due course of business.

(ii) The A/C Receivable are secured against confirmed Export L/C (Deferred period is 120 days at the date of acceptance).

(iii) Aging of the Receivables:

Invoiced at 90 days L.C tenor:	124,962,755	111,424,543
Invoiced at 120 days L.C tenor:	999,702,038	1,002,820,887
Invoiced at 121 - 180 days L.C tenor:	124,962,755	-
Invoiced at 181 - 360 days L.C tenor:	-	-
Invoiced at above 360 days L.C tenor:	-	-
Total:	1,249,627,547	1,114,245,430

Diclosure as per Company Act-1994, Para (cho 4.5), Schedule-11

(iv) Receivable from other company:

Receivable from related party:-

Knit Asia Ltd:	84,551,468	136,464,969
Salek Textile Ltd.:	56,626,969	58,492,363
J.M. Fabrics Ltd.:	188,158,984	181,498,487
Total:	1,249,627,547	1,114,245,430

6.1 ADVANCES, DEPOSITS & PRE-PAYMENTS:

Advance against materials, suppliers and others	34,964,964	36,513,511
Advance to Newasia Synthatics Ltd.	-	129,200,000
Security Deposit to EBL	34,000,000	-
Security Deposit to OBL	12,500,000	-
Security Deposit to TBL	9,000,000	-
Security Deposit to REB	178,875	178,875
Security Deposit to Titas Gas T&D Co.	7,038,761	7,038,761
Advance Income Tax (Note-6.1-A)	72,747,485	146,554,664
Security Deposit to CDBL	500,000	500,000
Total:	170,930,084	319,985,811

6.1-A. ADVANCE INCOME TAX:

Opening Balance	146,554,664	130,920,712
Advance Income Tax paid (Against Export Proceeds)	14,204,533	15,306,943
Advance Income Tax paid (Against Import)	314,158	74,269
Advance Income Tax paid (Against Vehicle)	192,500	204,500
Advance Income Tax paid (Against F.Y 2016-2017)	5,468,828	-
Advance Income Tax paid (Against Interest Income)	485	48,241
Total AIT paid for the year:	20,180,504	15,633,952
Payment/Adjustment for prior year Income	93,987,683	-
Closing Balance	72,747,485	146,554,664

a) All the advances & deposits amount is considered good and recoverable within the ordinary course of business.

b) In the opinion of Directors, all current assets, investments, loans and advance have on realization in the ordinary course of business, a value at least equal to the amount at which they are stated in the Financial Position.

c) There is no amount due from Directors or officers of the Company.

MATURITY ANALYSIS OF ADVANCES, DEPOSITS & PREPAYMENTS:

(i) Realizable/Adjustable within 1 year:	107,712,448	36,513,511
(ii) Realizable/Adjustable after 1 year:	63,217,636	283,472,300
Total:	170,930,084	319,985,811

7.1 CASH AND CASH EQUIVALENTS:**Cash in Hand:****239,481****183,304****Cash at Banks:**

AB Bank Ltd.-STD A/C: 4005-767482-430
 BRAC Bank- STD A/C: 1505-101-762043001
 BRAC Bank- CD A/C: 1501-201-762043001 (Dividend)
 Dhaka Bank Ltd.- CD A/C: 207-175000000023
 Dhaka Bank Ltd.- STD A/C: 207-150000000806 (Dividend)
 Dhaka Bank Ltd.- Margin A/C: 207-130000000013
 Dutch-Banla Bank- CD A/C: 227.110.0012931
 Eastern Bank Ltd.-Margin A/C: 101-0100611
 Eastern Bank Ltd.- FC A/C: (NRB IPO)
 Eastern Bank Ltd.-STD A/C: 101-12300000068: BDT-(IPO)
 HSBC Ltd.-Margin A/C: 001-007475-091
 One Bank Ltd.- Margin A/C: 0016426-091
 Shahjalal Islami Bank Ltd.-CD A/C: 4005 1110000252 8
 Trust Bank Ltd.-CD A/C: 0003-0210006613
 Trust Bank Ltd.-Margin A/C: 003-5025000082

256,269	248,930
42,811	43,762
10,336,539	2,814,081
28,536,940	-
28,892,799	9,527,606
122,520,591	39,885,838
474,754	349,813
22,010,428	8,069,740
1,210,823	1,213,250
3,378,153	3,361,648
7,471,658	13,789,112
887,395	7,007,262
8,868	9,558
-	163,969
150,531	150,531
226,178,559	86,635,102
226,418,040	86,818,406

Sub-total:**Total:**

a) It include Foreign Currency deposit amounting of US\$ 1,821,911.95 (2020: US\$ 820,267.66) equivalent to BDT 153,040,604 (2020: BDT 68,902,483).

b) Cash balance was physically counted at the year ended and Bank balances were reconciled and found in order.

c) Export proceeds are realised in the Margin A/C and is utilized for Payment of Deferred L/C Payment.

8.1 SHARE CAPITAL:**8.1(A) AUTHORISED CAPITAL:****3,000,000,000****3,000,000,000**

300,000,000 Shares @ Tk. 10/- each

8.1(B) ISSUED, SUBSCRIBED AND PAID-UP CAPITAL:**1,936,000,000****1,936,000,000**

193,600,000 Ordinary Shares @ Tk.10/- each issued and paid-up.

8.1(B).(i) Yearwise break-up of Paid-up Capital:

Year	Status	% of Bonus Share	Addition of Share	Paid-up Share	Paid-up Capital (Tk)
2009- 2010	After IPO			160,000,000	1,600,000,000
2010- 2011	Bonus	10%	16,000,000	176,000,000	1,760,000,000
2011- 2012	Bonus	10%	17,600,000	193,600,000	1,936,000,000

8.1(B).(ii) Share Holding Composition of Malek Spinning Mills Ltd. as at 30.06.2021 are as follows:

Shareholder's Group	No. of Shares held	% of Shares	No. of Shareholders
Sponsors & Directors	91,644,800	47.34%	6
Government	-	0.00%	0
Institutions	45,228,252	23.36%	329
Foreign Shareholders	-	0.00%	0
General Public	56,726,948	29.30%	13030
Total	193,600,000	100%	13,365

8.1(B).(iii) Classification of shareholders by holding:

Distribution schedule of each class of equity security setting out the number of holders and percentage as at 30.06.2021

Range of Holdings	No. of Holders	Holdings	Percentage
Less than 500 shares	3,415	610,994	0.32%
500 to 5,000 shares	8,371	10,225,170	5.28%
5,001 to 10,000 shares	611	4,850,465	2.51%
10,001 to 20,000 shares	403	6,070,941	3.14%
20,001 to 30,000 shares	177	4,532,704	2.34%
30,001 to 40,000 shares	81	2,878,956	1.49%
40,001 to 50,000 shares	74	3,491,065	1.80%
50,001 to 100,000 shares	113	8,789,475	4.54%
100,001 to 1,000,000 shares	100	27,027,988	13.96%
Over 1,000,000 shares	20	125,122,242	64.63%
Total	13,365	193,600,000	100%

9.1 SHARE PREMIUM:**1,500,000,000****1,500,000,000**

This represents issuance of 10,000,000 ordinary shares in September 2008 for Tk.25 each including premium of Tk. 15/- each in compliance with The Securities and Exchange Commission (SEC) consent No.SEC/CI/CPLC (PVT.)-95/06/337 dated on 30.06.2008 and further Placement issuance of 50,000,000 ordinary shares in October 2009 for Tk.25/- each including premium of Tk.15 each in compliance with The Securities and Exchange Commission (SEC) consent No. SEC/CI/CPLC(PVT.)-95/ dated on June 03, 2009 and further issuance of IPO of 40,000,000 ordinary shares on July 2010 for Tk. 25/- each including Premium of Tk. 15/- each in compliance with the Securities and Exchange Commission (SEC) consent No. SEC/CI/IPO-118/2010/462 dated April 15, 2010

10.1 RE-VALUATION SURPLUS:

Opening Balance
 Less: Adjustment of Revaluated Assets
 Less: Transfer to Retained Earnings 85% of excess depreciation

1,210,590,720	1,248,545,665
2,987,914	-
34,020,844	37,954,944
1,173,581,963	1,210,590,720

Written Down Value:

Details of Re-valuation Surplus of Fixed Assets is given in the **Annexure-1.1**

Calculation of deferred tax adjusted balance which has been transferred from revaluation surplus to retained earnings and changes in equity:

Total depreciation of revalued asset	100%	40,024,522
Deferred tax adjustment	15%	6,003,678
Deferred tax adjusted balance of excess depreciation:	85%	34,020,844

a) Name of Revaluer: ASIAN SURVEYORS LTD.

b) Last date of Revaluation: 30.06.2012

c) **Methodology use for revaluation:**

(i) **Valuation of Land:** Surveyors Physically examined the land and surroundings. The present value of the land have been taken into consideration according to the location, importance and convenience of the locality in terms of industrial, commercial and other related factors.

(ii) **Valuation of building:** Surveyors taken into consideration the nature and quality of construction of the buildings, examined the present condition of the buildings as well as nature of maintenance. Relevant papers, documents and records were scrutinized and verified. Considering all allied factors they determined the correct present value.

(iii) **Valuation of Machineries:** The value of the machineries of the project were assessed as a running concern. They have taken into account the practical utility of a machine in terms of present performance of the particular machine in working out the present value. They also taken into consideration erection or installation cost and other related details to determine the present value of the machineries. Copies of invoice and other related documents were scrutinised and verified accurately.

d) **Total revaluation amount:** Revaluation amount as on 30.06.2012 is Tk. 2,148,818,646

e) **Independency of valuation:** The surveyor and valuer was independent from the company and its management and employees.

11.1 RETAINED EARNINGS:

Opening Balance	218,528,177	358,196,633
Add: Net Profit/(Loss) during the year	250,229,978	(73,068,201)
Add: Disposal of Revaluation Surplus of Fixed Assets	2,987,914	-
Add: Transfer 85% of excess depreciation of revalued assets	34,020,844	37,954,944
Less: Declared Cash Dividend	-	104,555,200
Total:	505,766,912	218,528,177

12.1 LONG TERM LOAN:

Eastern Bank Limited	-	1,131,526
One Bank Limited	285,364,486	310,687,684
Total	285,364,486	311,819,210
Less: Current Portion of Long Term Loan (Note-15.1)	82,708,656	80,418,802
Total Long Term Loan:	202,655,830	231,400,408

12.1(i) Other information:

Particulars	JUNE' 2021		JUNE' 2020	
	EBL	OBL	EBL	OBL
Opening Loan facility	1,131,526	310,687,684	3,089,353	309,403,236
Addition Loan	-	-	-	6,000,000
Interest Charged	228,061	13,386,546	702,628	32,547,212
Loan Repayment:	1,131,526	25,323,198	2,660,454	37,262,764
Loan Balance:	-	285,364,486	1,131,526	310,687,684
Repayment Terms	Quarterly Installment	Quarterly Installment	Quarterly Installment	Quarterly Installment
Installment Size	565,762	20,677,164	565,762	23,010,500
Tenor	5 years	5 years	5 years	5 years
Interest Rate	8% - 9%	8% - 9%	8% - 9%	8% - 9%
Security	Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.		Pari-passue security of Land, Building, Stock & Book Debts sharing agreement.	

13.1 DEFERRED TAX LIABILITIES:

Opening Balance	271,935,179	275,087,967
Add: Provision for the year	(4,003,368)	(3,152,787)
Total Liabilities:	267,931,811	271,935,179

Deferred Tax Calculation:

Particulars	Accounts Base (WDV)	Tax Base (WDV)	Temporary difference	Temporary difference
Written Down Value of Fixed Assets at cost	767,122,279	362,122,145	405,000,134	388,676,820
WDV of Revaluation Surplus of Fixed Assets	1,381,211,940	-	1,381,211,940	1,424,224,376
Total	2,148,334,220	362,122,145	1,786,212,074	1,812,901,196
Deferred tax rate			15%	15%
Deferred Tax Liability			267,931,811	271,935,179

14.1 SHORT TERM LOAN:

Working Capital Loan:

Eastern Bank Ltd (Stimulus)	33,459,865	-
Trust Bank Ltd. (Stimulus)	9,204,818	-
One Bank Ltd. (Stimulus)	12,500,000	-
Sub-total:	55,164,683	-

Bank Overdraft:

Eastern Bank Ltd A/C:180, 011	76,489,043	43,740,068
Dhaka Bank Ltd OD A/C: 207.175.23	-	30,685,556
One Bank Ltd OD A/C: 0010016426008	30,312,249	20,469,561
HSBC OD A/C: 001-007475-011	43,101,442	20,027,072
TBL OD A/C:003- 0136000153	29,594,503	77,905,230
TBL CD A/C:003- 0210006613	8,989,600	-
Sub-total:	188,486,836	192,827,487

Amount in Taka

Liability for Bill discounted:

Dhaka Bank Ltd.
Eastern Bank Ltd
HSBC Ltd.

50,528,342	126,975,630
178,732,898	60,195,043
2,586,307	98,125,013
231,847,546	285,295,686
475,499,066	478,123,173

Sub-total:

Total:

The above Short Term loans are secured against hypothecation of Stocks and Book Debts.

Particulars	EBL	OBL	DBL	HSBC
Saction facility (W.C.)			-	
Saction facility (Overdraft)	45,000,000	20,000,000	30,000,000	20,000,000
Interest paid this year (OD)	5,117,357	5,035,974	1,708,095	3,577,735
Repayment Terms (W.C.)				
Repayment Terms (OD)	N/A	N/A	N/A	N/A
Installment Size (W.C.)				
Installment Size (OD)	N/A	N/A	N/A	N/A
Tenor	One year renewable	One year renewable	One year renewable	One year renewable
Interest Rate	8% - 9%	8% - 9%	8% - 9%	8% - 9%
Security	Pari-passue security of Stock & Book Debts sharing agreement.			

Particulars	TBL
Saction facility (W.C.)	
Saction facility (Overdraft)	30,000,000
Interest paid this year (OD)	3,220,999
Repayment Terms (W.C.)	
Repayment Terms (OD)	N/A
Installment Size (W.C.)	
Installment Size (OD)	N/A
Tenor	One year renewable
Interest Rate	8% - 9%
Security	Pari-passue security of Stock & Book Debts sharing agreement.

15.1 CURRENT PORTION OF LONG TERM LOAN:

Eastern Bank Limited
One Bank Limited

-	1,131,526
82,708,656	79,287,276
82,708,656	80,418,802

Total:

16.1 ACCEPTANCE LIABILITIES:

Raw Cotton:

Eastern Bank Limited
Dhaka Bank Limited
One Bank Limited
HSBC Limited

723,427,936	164,976,822
315,961,020	185,133,921
274,339,376	80,893,325
-	260,634,152
1,313,728,331	691,638,220

Machinery:

Dhaka Bank Limited

-	9,918,337
-	9,918,337
1,313,728,331	701,556,557

Total:

Acceptance liability represents the deferred payment of L/C for Imported Raw Materials for the period of 180 Days.

17.1 UNCLAIMED DIVIDEND WITH INTEREST:

Bankwise Details as follows:

Brac Bank (Principal):
Brac Bank (Interest):
Dhaka Bank (Principal):
Dhaka Bank (Interest):

39,229,338	39,242,687
10,209,155	10,210,505
127,384	-
28,470,956	29,032,181
421,843	-
39,229,338	39,242,687

Total-

18.1 CREDITORS, ACCRUALS & PROVISIONS:

Gas Bill Payable
Electricity Bill Payable
Audit Fees Payable
Salary, Wages & Other allowance Payable
Tax Deduction at Source Payable
Vat Deduction at Source Payable
Income Tax Payable (Note:18.1-A)
Contribution to WPPF Payable
Directors Remuneration Payable
Payable for Goods Supplies & Others
Accrued Interest (Note:18.1-B)
Refundable IPO Share money (Note-18.1-C)

46,049,951	58,313,860
76,831	133,487
189,750	189,750
16,972,304	16,281,271
1,113,428	956,750
1,031,603	1,166,517
100,995,890	159,597,980
85,083,059	70,369,514
173,125	173,125
19,675,645	25,052,902
36,331,678	27,200,584
12,888,661	12,888,661
320,581,926	372,324,401

Total:

- Payable for Goods Supplies and others represents regular suppliers of packing materials, Bearing, belts, fuel & lubricants, stationery items and others.
- Factory Salary and Wages payable for the month of 30th June 2021.
- Due to not having assesment of Income Tax is sattled by NBR 2017-2018, 2018-2019, 2019-2020 the above Income Tax payable is not adjusted with the advance income tax.

18.1-A. INCOME TAX PAYABLE:

Opening Balance
Provision for the year (Current Tax): (Note-25.1)

159,597,980	143,967,156
48,044,286	15,630,824
207,642,266	159,597,980
106,646,376	-
106,646,376	-
100,995,890	159,597,980

Payment/Adjustment for prior year balance:

Total Payment/Adjustment for prior year income:

Total Payable-

18.1-B. ACCRUED INTEREST:

Eastern Bank Ltd.
One Bank Ltd.

Total:

-	9,477
36,331,678	27,191,108
36,331,678	27,200,584

18.1-C. REFUNDABLE IPO SHARE MONEY:

Eastern Bank Ltd. NRB A/C (Principal):
Eastern Bank Ltd. STD A/C: (Principal):

Total-

1,218,777	1,218,777
11,669,885	11,669,885
12,888,661	12,888,661

19.1 SALES:

Sales to other Customer
Sales to Related Party

Total Sales

For the financial year 2020-2021 Finished Yarn sales 10,721,632 Kg.

1,842,125,959	1,716,503,513
1,134,161,536	867,587,632
2,976,287,495	2,584,091,145

20.1 COST OF GOODS SOLD:

Quantity in Kg

	2020-21	2019-20		
Raw Material Consumed (Note:20.1-A)	12,388,193	12,013,174	1,952,053,279	2,025,632,120
Direct Labour (Note:20.1-B)			123,377,126	118,056,645
Factory Overhead (Note:20.1-C)			446,347,193	444,801,705
Total Manufacturing Cost			2,521,777,598	2,588,490,470
Add: Work-in-Process- Opening	185,596	181,241	32,080,830	33,908,527
Cost of Goods available for use			2,553,858,428	2,622,398,997
Less: Work-in-Process- Closing	178,596	185,596	36,886,861	32,080,830
Cost of Production			2,516,971,567	2,590,318,167
Add: Finished Goods- Opening	3,608,432	3,034,304	829,461,631	697,822,850
Cost of Goods Available for Sales			3,346,433,198	3,288,141,017
Less: Finished Goods- Closing	2,622,684	3,608,432	821,003,426	829,461,631
Cost of Goods Sold:			2,525,429,772	2,458,679,386

20.1-(A) RAW MATERIALS CONSUMED:

Opening Inventory Raw Materials
Add: Purchase during the year
Less: Closing Inventory of Raw Materials

Raw Materials Consumed

575,012,776	329,749,072
1,651,039,004	2,270,895,824
273,998,501	575,012,776
1,952,053,279	2,025,632,120
123,377,126	118,056,645

20.1-(B) DIRECT LABOUR:**20.1-(C) FACTORY OVERHEAD:**

Factory Salary and Allowances
Overtime Wages for Worker
Festival Bonus Factory
Electricity Charges
Gas Charges
Repairs & Maintenance
Packing Materials
Fuel, Oil & Lubricant
Insurance Premium (Fire)
Insurance Premium (Group)
Stores & Accessories consumption
Entertainment Factory
Telephone, Mobile & Fax exp.
Stationery Charges
Printing Charges
Other Carrying Charges
Factory Office Expenses other
Vehicles Maintenance
Conveyances Factory Employee
Accommodation Facility for worker
Medical Expenses
Uniform & Leverage
Miscellaneous Exp.
Depreciation

Total Factory Overhead-

49,966,717	46,268,334
459,746	1,914,436
15,733,355	15,293,365
811,832	793,352
177,211,979	180,138,766
31,746,490	26,141,074
19,465,809	25,242,036
9,787,900	10,937,484
2,745,106	3,766,093
-	113,600
43,126,506	29,615,812
422,861	635,369
242,588	79,597
833,740	646,018
58,086	20,810
75,190	149,830
16,331	45,414
1,667,191	1,584,195
151,250	104,435
805,740	796,040
86,794	150,052
46,913	62,850
280,110	259,030
90,604,960	100,043,713
446,347,193	444,801,705

21.1 OPERATING EXPENSES:

Salaries & Allowances
Festival Bonus
Director's Remuneration
Fees, Forms & Others
Audit Fees

39,616,788	36,705,314
3,590,133	3,341,626
2,400,000	2,000,000
2,877,183	4,371,360
189,750	189,750

Printing & Stationery
 Telephone, Mobile & Internet Expenses
 Postage & Stamp
 Vehicle Maintenance
 Miscellaneous Expenses
 Office Rent
 Rate & Taxes
 Carriage Outwards, Selling & Distribution exp.
 Entertainment
 Advertisement & Publicity Expenses
 AGM Expenses
 Security Service Charges
 Travelling & Conveyance
 Uniform & Leverages Security
 Repairs & Maintenance
 Donation & Subscription
 Medical Expenses
 Credit Rating Charges
 Software Maintenance Expenditure
 Depreciation
Total Operating expenses:

631,679	508,979
1,228,243	1,642,711
25,524	25,870
7,774,615	5,325,014
2,288,655	2,355,231
12,348,358	11,067,408
261,500	190,755
5,508,050	6,235,520
909,778	975,219
691,804	625,397
1,305,416	1,490,071
20,000	451,000
1,403,420	2,006,229
54,855	35,110
4,272,413	5,418,793
186,396	2,300
106,440	18,437
53,750	57,500
112,440	65,000
1,792,577	1,858,068
89,649,767	86,962,662

22.1 FINANCIAL EXPENSES:

EASTERN BANK LTD.:

Interest on Long Term Loan
 Interest on Short Term Loan
 Interest on Overdraft
 Bank Charges & Commission
 Export L/C Negotiation Commission
 Interest on Bill Discount
Total:

228,061	702,628
116,903	-
5,117,357	4,795,663
1,038,128	491,066
1,759,979	1,264,469
5,349,453	7,877,263
13,609,882	15,131,088

HSBC LTD.:

Bank Charges & Commission
 Export L/C Negotiation Commission
 Interest on Overdraft
 Interest on Bill Discount
Total:

1,010,167	3,809,139
1,048,631	2,412,638
3,577,735	238,876
2,848,883	15,053,322
8,485,415	21,513,976

DHAKA BANK LTD.:

Interest on Short Term Loan
 Interest on Overdraft
 Bank Charges and Commission
 Export L/C Negotiation Commission
 Interest on Bill Discount
Total:

-	19,597,788
1,708,095	3,293,524
622,671	1,222,709
565,079	69,312
236,624	94,009
3,132,468	24,277,341

ONE BANK LTD.:

Interest on Long Term Loan
 Interest on Short Term Loan
 Interest on Overdraft
 Bank Charges & Commission
 Export L/C Negotiation Commission
 Interest on Bill Discount
Total:

13,386,546	32,547,212
2,031,348	-
5,035,974	2,614,069
427,458	867,660
144,391	2,535
35,039	-
21,060,757	36,031,476

TRUST BANK LTD.:

Interest on Short Term Loan
 Bank Charges and Commission
 Interest on Overdraft
Total:

66,991	-
32,775	14,550
3,220,999	2,570,267
3,320,766	2,584,817

DUTCH-BANGLA BANK LTD.

Bank Charges and Commission
Total:

4,093	873
4,093	873

SHAHJALAL ISLAMI BANK LTD.:

Bank Charge and Commission
Total:

690	690
690	690

AB BANK LTD.

Bank Charges and Commission
Total:

1,300	-
1,300	-

BRAC BANK LTD.

Bank Charges and Commission
Total:

1,150	4,110
1,150	4,110

Total Financial Expenses-

49,616,520	99,544,370
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23.1 OTHER INCOME/(LOSS):**CASH INCENTIVE:****OTHER INCOME/(LOSS):**

Interest Received from BRAC Bank Ltd., STD A/C (1501201 762043001)
Interest Received from Dhaka Bank Ltd., STD A/C (0207-150000000806)
Interest Received from AB Bank Ltd., STD A/C (4005-767482-430)
Interest Received from BRAC Bank Ltd., STD A/C (1505101 762043001)
Interest Received from Eastern Bank Ltd., STD A/C (101-1230000068)

Foreign currency exchange Gain/(Loss) against Import LC payment
Foreign currency exchange Gain/(Loss) against export realization
Foreign currency translation Gain/(Loss)
Gain/(Loss) on Sale of Assets {Note: 23.1(B)}

Other Income/(Loss)**Total Other Income/(Loss) including Cash Incentive:****23.1(B). GAIN/(LOSS) ON SALE OF ASSETS:**

Sales Price

Less: Written down value of Motor Vehicle:

Gain/(Loss) on Sale of Motor Vehicle

Sales Price

Less: Written down value of Old Machine

Gain/(Loss) on Sale of Machine**Total Gain/(Loss) on Sale of Assets:****24.1 WORKER'S PROFIT PARTICIPATION FUND:**

Contribution to WPPF for this period

This represents 5% of net profit before tax of the company and is payable to workers as per provision defined in the Labour Law Act-2006 (amendment 2013).

25.1 CURRENT TAX EXPENSES:

i) On Operating Income 15%

ii) On Other Income 22.50%

Sub-Total

Prior year under provision

Total**Taxable Operating Income Calculation:**

Operating Profit/(Loss)

Less: Contribution to WPPF

Net Operating Profit/(Loss) before Tax

Add: Accounting Depreciation

Less: Tax Depreciation

Taxable Operating Income:**26.1 DEFERRED TAX:**

Details calculation of deferred tax is shown in the note no. 13.1

27.1 BASIC EARNINGS PER SHARE (EPS):

EPS calculation	(a) Earning attributable to ordinary shareholders	250,229,978	(73,068,201)
	(b) Weighted average number of Shares	193,600,000	193,600,000
	Basic Earnings per Share (a / b):	1.29	(0.38)

Net Profit was increased the financial year 2020-2021 due to (a) Sales price is increased compared to previous year and as a result Sales Volume also increased. (b) Percentage of COGS is decreased compared to previous year due to Raw Material price is decreased and efficient utilisation overhead cost in this year. (c) As such EPS for the year is increased compared to previous year.

28.1 NET ASSET VALUE (NAV) PER SHARE:

NAV calculation	a) Equity attributable to owners of the company	5,115,348,875	4,865,118,897
	b) Number of Shares outstanding this period end	193,600,000	193,600,000
	Net Assets Value Per Share (NAV) { a / b }:	26.42	25.13

29.1 CASH FLOW FROM OPERATING ACTIVITIES (INDIRECT METHOD):

Operating Profit/(Loss)	311,591,435	(61,095,273)
Depreciation	92,397,537	101,901,781
Other Income/(Loss)	21,351	440,281
Foreign currency exchange Gain/(Loss)	376,403	(13,727)
Accounts Receivable (Increase)/Decrease	(135,382,117)	23,077,961
Inventories (Increase)/Decrease	(586,272,352)	(309,548,781)
Advance, Deposit & Prepaid expenses (Increase)/Decrease	62,589,854	(6,182,779)
Accounts Payable Increase/(Decrease)	614,236,181	270,260,627
Payment to Employee against contribution to WPPF	-	(46,792,240)
Payment for Income Tax	(20,180,504)	(15,633,952)
Net Cash provided/(used) by Operating Activities	339,377,789	(43,586,103)

30.1 CALCULATION OF NET OPERATING CASH FLOW PER SHARE (NOCFPS):

NOCFPS calculation	a) Net Cash provided/(used) by Operating Activities	339,377,789	(43,586,103)
	b) Number of Shares outstanding this period end	193,600,000	193,600,000
Net Operating Cash Flow Per Share (NOCFPS) { a/b }:		1.75	(0.23)

Net Operating Cash Flow Per Shares (NOCFPS) is increased due to increased of Collection from Turnover & Accounts Receivable and decrease payment of raw materials and decreased of financial expenses at the financial year 2020-2021 compared to the financial year 2019-2020.

31.1 CONTINGENT LIABILITIES:

The following Letter of Credit is outstanding due to the goods not shipped and no liabilities has made against the same as at 30th June 2021 but the said L.C goods still in transit as at 30th September 2021.

Serial No.	L/C No.	L/C Date	L/C Amount(US\$)
1	141421230003	09.02.2021	\$36,818.93
2	235421230039	07.06.2021	\$11,945.73

32.1 RELATED PARTY DISCLOSURE:

The company, in normal course of business, carried out a number of transactions with other entities that fall within the definition of related party contained in International Accounting Standard 24: Related Party Disclosures. All transactions involving related parties arising in normal course of business are conducted on an arm's length basis at commercial rates, on the same terms and conditions as applicable to the third parties. Details of transactions with related parties and balances with them as at 30th June 2021 were as follows:

Related Party	Nature of Relationship	Nature of Transaction	Transaction during the year		Balance as at 30.06.2021	Balance as at 30.06.2020
			Dr. (Sales or Advance)	Cr. (Realised)		
Knit Asia Limited	Common Director	Sales	635,904,893	687,818,394	84,551,468	136,464,969
Salek Textile Limited	Subsidiary	Sales	7,444,142	9,309,536	56,626,969	58,492,363
Newasia Synthetics Limited	Subsidiary	Advance	500,000	129,700,000	-	129,200,000
J.M. Fabrics Limited	Subsidiary	Sales	490,812,501	484,152,004	188,158,984	181,498,487
Hejaz Publication Ltd.	Common Director	Office Rent	12,348,358	12,348,358	-	-

33.1 PRODUCTION CAPACITY:

Production capacity of Malek Spinning Mills Ltd. is 35,000kg per day and annual production capacity is 1,26,00,000Kg. During this period produced 1,03,23,494 Kg and Capacity utilized 81.93%.

Particulars	%	Quantity in Kg (2020-21)	%	Quantity in Kg (2019-20)
Capacity	100	12,600,000	100	12,600,000
Production	81.93	10,323,494	81.49	10,267,670
Difference		2,276,506		2,332,330

34.1 WPPF:

Provision for contribution to WPPF was made as per Section-234 of Labour Law-2013. The due amount is under process of payment.

35.1 EVENTS AFTER THE REPORTING PERIOD:

The board of directors of the company has approved the financial statements as on 27th October 2021 and recommended 10% Cash dividend for the financial year ended June 2021.

As per Bangladesh Securities and Exchange Commission (BSEC) Directive No. BSEC/CMRRCD/2021-386/03 dated 14 January 2021 and Letter No. SEC/SRMIC/165-2020/part-1/182 dated 19 July 2021 the company transferred the Un-claimed Cash Dividend Tk. 35,675,286.76 up to 2016-2017 and Non-refunded public subscription money against IPO Tk. 11,669,885.00 to the Capital Market Stabilization Fund (CMSF) on 13.09.2021.

Except the fact stated above, no circumstances have arisen that to be disclosed as note or adjusted in the financial statements.

36.1 ATTENDANCE STATUS OF BOARD MEETING OF DIRECTORS:

During the year 2020-2021 eight Board Meetings were held. The attendance status of all the meetings is as follows:

Name of Directors	Position	Meeting Held	Attended
1) Mr. A.F.M Zubair	Chairman	8	6
2) Mr. A. Matin Chowdhury	Managing Director	8	8
3) Dr. Shamim Matin Chowdhury	Director	8	8
4) Mr. Azizur Rahim Chowdhury	Director	8	8
5) Ms. Saima Matin Chowdhury	Director	8	3
6) Mr. Moshir Rahman	Director	8	8
7) Mr. Sultan Ahmed FCA	Independent Director	8	7
8) Dr. Sultan Hafeez Rahman	Independent Director	8	5

37.1 EMPLOYEES SALARY STATUS & POSITION (AS PER 30TH JUNE 2021)

Salary Range	Officer & Staff		Worker	Total Employee
	Head Office	Factory		
Below 4,500	-	-	-	-
Above 4,500	62	127	1,025	1,214
Total	62	127	1,025	1,214

38.1 BENEFITS TO DIRECTORS:

Mr. A. Matin Chowdhury	2020-2021	2019-2020
i) Basic	1,371,360	1,142,800
ii) House Rent	685,680	571,400
iii) Conveyance	205,824	171,520
iv) Medical Allowance	137,136	114,280
v) Bonus	200,000	100,000
Total:	2,600,000	2,100,000

In the financial year 2019-2020 Mr. A. Matin Chowdhury could not take 2 (Two) months Remuneration including Festival Bonus due to COVID-19 effect. As such, his remuneration was not increased during the financial year 2020-2021.

39.1 PURCHASE IN FOREIGN CURRENCY:

Particulars	2020-21		2019-20	
	In Foreign Currency	In BDT	In Foreign Currency	In BDT
Raw Cotton	\$ 19,655,226	1,651,039,004	\$ 27,034,474	2,270,895,824
Spare Parts	\$ 489,765	41,140,244	\$ 582,905	48,964,062
Capital Machinery	\$ -	-	\$ 119,653	10,050,857
Total	\$ 20,144,991	1,692,179,248	\$ 27,737,033	2,329,910,743

40.1 KEY MANAGEMENT PERSONNEL COMPENSATION:

Company has established following personnel compensation to the employee:

a) Short-term employee benefits: Company provide the following short-term benefit.

Particulars	2020-2021		2019-2020	
	Directors	Executives	Directors	Executives
Remuneration/ Salary	2,600,000	11,393,429	2,100,000	10,524,823
i) Basic	1,371,360	5,945,073	1,142,800	5,476,658
ii) House Rent	685,680	2,972,537	571,400	2,738,329
iii) Conveyance	205,824	892,281	171,520	821,978
iv) Medical Allowance	137,136	594,507	114,280	547,666
v) Bonus	200,000	989,031	100,000	940,192
Number of Person:	1	4	1	4

b) Post-employment benefits: Company provide contributory Provident fund and other benefits.

c) Other long-term benefits: Company provide the employee under which an employee is entitle to the benefit depending on length of service. The cost for Gratuity is accounted on cash basis.

d) Share-based payment: Company does not provide any share-based payment facilities to the employee.

41.1 FINANCIAL RISK MANAGEMENT:

The Board of Directors has overall responsibility for the establishment and oversight of the Company's financial risk management. The responsibility also includes developing and monitoring the Company's risk management policy. To assist the Board in discharging its oversight responsibility, management has been made responsible for identifying, monitoring and managing the company's financial risk exposure. The Company's exposure to the risks associated with the financial instruments and the risk management policies and procedures and summarized as follows.

CREDIT RISK:

Credit risk is the risk of financial loss to the company if a buyer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivable from customers and investment securities. The Company's sales are made to renowned RMG exporting company. Sales made to the entity are fully secured by Letter of Credit issued by local scheduled banks.

Credit risk of the Company arises principally from trade debts, loans and advances, and bank balances. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date is as follows:

	2020-2021	2019-2020
Consolidated Accounts Receivable:	3,579,126,645	2,606,617,175
Consolidated Loans and Advances:	756,851,805	1,063,258,376
Consolidated Bank Balances:	1,101,119,490	587,921,411
	5,437,097,941	4,257,796,962

LIQUIDITY RISK: Liquidity risk is the risk that the company unable to meet its financial obligations as the fall due. The Company's approach to managing liquidity is to ensure, as far as possible' that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation. In general, management ensures that it has sufficient cash and cash equivalent to meet expected operation expenses, including the servicing of financial obligation through preparation of cash forecast, prepared based on timeline of payment of the financial obligation and accordingly arranged for sufficient liquidity/fund to make the expected payment within due date. Moreover, the company seeks to maintain short term lines of credit with scheduled commercial banks to ensure payments of obligations in the events that there is sufficient cash to make the required payment. The requirement is determined in advance through cash flows projections and credit lines facilities with banks are negotiated accordingly. Seeks to maintain a balance between the higher returns that might be possible with the higher levels of borrowings and the advantages and security afforded by a sound capital position. The board also monitors dividend trend to ordinary shareholders.

MARKET RISK: Market risk is the risk that changes in market prices such as foreign exchange rates and interest rates will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

PRICE RISK: Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The company does not have any financial instrument that expose the price risk.

INTEREST RISK: Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate risk arises from long and short-term borrowings from financial institutions. At the reporting date, the company does not hold any interest bearing financial instrument.

CURRENCY RISK: Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly where receivables and payables exist due to transactions entered in foreign currencies. The Company is exposed to foreign currency risk on sales, purchases and Foreign Currency loan, which, are entered in a currency other than BDT. The foreign currency transactions are mainly occurred in USD and conversion rate of USD into BDT does not fluctuate materially.

CAPITAL RISK MANAGEMENT: The objective of the Company when managing capital, i.e., its shareholders' equity is to safeguard its ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustained development of its businesses. The Company manages its capital structure by monitoring return on net assets and makes adjustments to it in the light of changes in economic conditions. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividend paid to shareholders or issue new shares.

MALEK SPINNING MILLS LIMITED

FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2021

Annexure: 1.1

PARTICULARS	COST				RATE	DEPRECIATION				WRITTEN DOWN
	As at 01.07.2020	Addition	Adjustment	As at 30.06.2021		As at 01.07.2020	This year	Adjustment	As at 30.06.2021	VALUE AS AT 30.06.2021
(A)										
1 Land and Land Development	84,647,187	-		84,647,187	0%	-	-		-	84,647,187
2 Factory Building	364,063,124	1,950,929		366,014,053	5%	252,163,163	5,594,998		257,758,161	108,255,892
3 Plant and Machinery	1,514,599,303	-		1,514,599,303	7.5%	970,044,104	40,841,640		1,010,885,744	503,713,559
4 Electrical Installation	47,925,076	-		47,925,076	15%	43,953,129	595,792		44,548,921	3,376,155
5 Tubewell and Water Pump	2,463,406	-		2,463,406	15%	2,335,597	19,171		2,354,768	108,638
6 Furniture and Fixtures	3,471,554	-		3,471,554	10%	2,583,598	88,796		2,672,394	799,160
7 Office Equipments	14,633,405	19,215,287		33,848,692	15%	10,689,156	600,278		11,289,434	22,559,258
8 Gas Line Installation	10,618,384	-		10,618,384	15%	9,117,104	225,192		9,342,296	1,276,089
9 Loose Tools and Equipment	24,501,813	-		24,501,813	15%	7,644,182	2,528,645		10,172,827	14,328,986
10 Motor Vehicle	25,644,992	-		25,644,992	15%	18,342,212	1,095,417		19,437,629	6,207,363
11 Telephone (PABX) Installation	501,000	-		501,000	15%	450,797	7,530		458,327	42,673
12 Crockaries and Cutlaries	50,777	-		50,777	15%	47,067	557		47,623	3,154
13 Generator	126,692,586	-	15,155,250	111,537,336	10%	103,815,074	772,226	14,838,415	89,748,885	21,788,451
14 Fire Installation	253,100	-		253,100	15%	234,612	2,773		237,385	15,715
Total (A) as at 30.06.2021	2,220,065,707	21,166,216	15,155,250	2,226,076,673		1,421,419,794	52,373,015	14,838,415	1,458,954,394	767,122,279
Total (A) as at 30.06.2020	2,205,333,412	16,592,295	1,860,000	2,220,065,707		1,365,329,391	57,248,905	1,158,502	1,421,419,794	798,645,913

REVALUATED FIXED ASSETS SCHEDULE AS AT 30TH JUNE 2021

PARTICULARS	Re-valued cost				RATE	DEPRECIATION				WRITTEN DOWN
	As at 01.07.2020	Addition	Adjustment	As at 30.06.2021		As at 01.07.2020	This year	Adjustment	As at 30.06.2021	VALUE AS AT 30.06.2021
(B)- Revaluation of fixed assets :										
1 Land and Land Development	846,018,824		-	846,018,824	-	-	-	-	-	846,018,824
2 Factory Building	219,355,567		-	219,355,567	5%	91,904,750	6,372,541	-	98,277,291	121,078,277
3 Plant and Machinery	951,297,577		-	951,297,577	7.5%	547,071,486	30,316,957	-	577,388,443	373,909,134
4 Generator	132,146,678		13,178,400	118,968,278	10%	85,618,033	3,335,024	10,190,486	78,762,571	40,205,706
Total (B) as at 30.06.2021	2,148,818,646	-	13,178,400	2,135,640,246	-	724,594,269	40,024,522	10,190,486	754,428,305	1,381,211,940
Total (B) as at 30.06.2020	2,148,818,646	-	-	2,148,818,646	-	679,941,394	44,652,876	-	724,594,269	1,424,224,376
Total (A+B) as at 30.06.2021	4,368,884,353	21,166,216	28,333,650	4,361,716,919		2,146,014,063	92,397,537	25,028,901	2,213,382,699	2,148,334,220
Total (A+B) as at 30.06.2020	4,354,152,058	16,592,295	1,860,000	4,368,884,353		2,045,270,784	101,901,781	1,158,502	2,146,014,063	2,222,870,289

Depreciation Charged to:

Operating Expenses: 1,792,577

Factory Overhead: 90,604,960

Tk. 92,397,537

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SALEK TEXTILE LIMITED

DIRECTORS' REPORT

TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2021

Dear Shareholders,

In terms of provisions of section 184 of the Companies Act'1994 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), the Board of Directors is pleased to submit its Report to the Shareholders together with Audited Accounts and Auditors' Report thereon, containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2021.

BACKGROUND:

The Company was incorporated with RJSC on 9th day of September 2007 as a Private Limited Company. The Authorized Share Capital of the company was increased from Tk.500,000,000.00 divided into 5,000,000 ordinary shares of Tk.100.00 each to Tk.3,000,000,000.00 divided into 30,000,000 ordinary shares of Tk.100.00 each on 14th August, 2013. Subsequently the par value of share has been changed from Tk.100.00 per share to Tk.10.00 per share. The paid-up capital as on 30th June, 2021 stood at Tk.482,608,700.00 consisting of 48,260,870 ordinary shares of Tk.10.00 each.

The Company obtained Consent for raising of Paid-up Capital from Bangladesh Securities and Exchange Commission (BSEC) vide their letter No. BSEC/CI/CPLC (Pvt)-333/2011/446 dated June 24, 2014. To comply the condition No. 9 of the Consent Letter of Bangladesh Securities and Exchange Commission (BSEC) dated June 24, 2014 and to comply the provisions of the Commission's Notification No.SEC/CMRRCD/2006-159/Admin/03-44 dated 05-05-2010 published in the Bangladesh Gazette dated 01-06-2010 though the paid up capital of the company exceeds Tk.400,000,000.00 (Forty crore) the status of the Company has been converted from Private Limited Company to Public Limited Company on 23rd August, 2014 and the face value of per share of the Company also changed from Tk.100.00 each to Tk.10.00 each per share.

The Company is a subsidiary company of Malek Spinning Mills Limited which holds 97.925% share & other sponsors of Malek Spinning Mills Ltd. hold 2.08% share of the company as on 30th June 2021.

Mr. A. F. M. Zubair has been elected as Chairman by the Board of Directors and Mr. A. Matin Chowdhury has been retained as the Managing Director of the company. Mr. Sultan Ahmed FCA, Independent Director of Malek Spinning Mills Limited has been appointed as Independent Director (Non Shareholding).

COMMERCIAL OPERATION:

Salek Textile Limited started its commercial operation on 1st day of April 2009. The production capacity of the project is 14,621,000 kgs of yarn, 9,600,000 yards fabric and 6,600,000 Pcs RMG products per annum. The Company manufactures open end yarn for denim and home textile markets and denim RMG.

SEGMENT REPORTING:

Salek Textile Limited has geographic and product segment by Spinning, Fabrics & RMG unit and the financial statement has reported showing result and Financial Position each segment according to IFRS-8.

COMPANY'S OPERATIONS:

The position of its operating performance for the year ended 30th June, 2021 compared to previous year are given below:

Sl. No. Description	2020-2021 (Kg.)	2019-2020 (Kg.)
01 Production capacity (Yarn)	14,621,000	14,621,000
02 Production capacity (Fabric) yds	9,600,000	9,600,000
03 Production capacity (RMG) Pcs	6,600,000	6,600,000
04 Actual Production (Yarn)	10,184,475	6,526,379
05 Actual Production (Fabric) yds	8,232,314	9,161,793
06 Actual Production (RMG) Pcs	4,206,571	3,897,231
07 Capacity Utilization (Yarn)	69.66%	44.64%

08 Capacity Utilization (Fabric)	85.75%	95.44%
09 Capacity Utilization (RMG)	63.73%	59.05%
10 Quantity Sold (kg) Yarn	10,682,160	6,056,121
11 Quantity Sold (yds) Fabric	7,608,628	9,189,466
12 Quantity Sold (RMG) Pcs	3,932,075	3,677,868
13 Sales Revenue (Tk.) Yarn	2,156,254,099	1,051,014,087
14 Sales Revenue (Tk.) Fabric	1,373,548,572	1,562,855,002
15 Sales Revenue (Tk.) RMG	1,985,649,745	1,875,248,659
16 Average selling price (Tk.) Yarn	201.87	173.55
17 Average selling price (Tk.) Fab.	180.53	170.07
18 Average selling price (Tk.) RMG	504.99	509.87

- RMG production capacity included 2 shift operation

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the last two years:

Description	2020-2021 (Tk.)	2019-2020 (Tk.)
Land and Land Development	--	--
Factory Building	25,995,295	93,067,151
Plant and Machinery	360,349,596	605,347,161
Motor Vehicle	--	--
Office Equipments	5,284,442	2,927,173
Furniture & Fixtures	253,740	4,548,449
Electrical Installation	9,116,047	5,036,745
Gas Line Installation	5,500,000	12,286,942
Fire Installation	5,804,640	374,000
Tools and Equipment	--	261,200
Right to use of Asset	--	206,481,234
Total	412,303,761	930,330,055

SHAREHOLDING:

The Shareholding Position of different shareholders as at 30th June 2021 are as follows:

Name of Shareholders	No. of share hold	% of Holding
Malek Spinning Mills Limited	47,259,700 shares	97.9255%
Mr. A. Matin Chowdhury	489,780 shares	1.0149%
Dr. Shamim Matin Chowdhury	339,340 shares	0.7031%
Mr. A.F.M. Zubair	169,830 shares	0.3519%
Ms. Saima Matin Chowdhury	410 shares	0.0008%
Mr. Azizur R. Chowdhury	510 shares	0.0011%
Mr. Moshir Rahman	650 shares	0.0013%
Mr. Shyan Zubair	650 shares	0.0013%
Total	48,260,870 shares	100%

FINANCIAL RESULTS:

The company's operating financial results, as compared to the previous year are summarized as follows:

Tk. in million

Description	2020-2021	2019-2020
Sales	4,565.98	3,878.85
Cost of goods sold	4,142.31	3,721.02
Gross profit	423.67	157.82
Operating expenses	118.69	94.64
Financial Expenses	255.19	279.44
Operating profit	49.79	(216.25)
Contribution to WPPF	5.36	--
Provision for Income Tax	26.91	28.61
Net profit	60.85	(294.65)
Gross Margin Ratio	9.28%	4.07%
Net Margin Ratio	1.33%	(7.60%)
Earnings per share (Tk.)	1.26	(6.11)

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Net Profit during the year 2020-2021	Tk. 60,854,435
Add: Balance of profit B/F from previous year	Tk. 862,157,251
Add: Transfer of excess depreciation of revalued assets	Tk. 13,332,760
Total net free surplus available for appropriation	Tk. 936,344,446
Appropriation Proposed:	
Proposed Dividend	Nil
Balance carried forward to Balance Sheet as Retained Earnings	Tk. 936,344,446

DECLARATION OF DIVIDEND:

In order to strengthen the financial position of the company during the year 2020-2021 no dividend be and is recommended by the Board of Directors. The entire net profit will be transferred to general reserves and the balance of general reserve amounting Tk.936,344,446.00 be and is transferred as Retained Earnings in the Statement of Financial Position.

APPOINTMENT OF DIRECTORS:**Rotation of Directors:**

Pursuant to Article 117 of the Articles of Association of the Company Dr. Shamim Matin Chowdhury, Director and Mr. Azizur R. Chowdhury, Director will retire by rotation and being eligible as per Article 119 of the Articles of Association of the Company they offered themselves for re-election.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s Malek Siddiqui Wali, Chartered Accountants would retire at the 14th Annual General Meeting and being eligible, they offered themselves for re-appointment as Auditors for the year 2021-2022 with re-fixation of their remuneration.

BOARD MEETINGS:

During the period 2020-2021, Seven (07) Board meetings were held. The attendance record of the Directors are as follows:

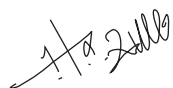
Name of Directors	Position	Meeting held	Attended
Mr. A.F.M. Zubair	Chairman	07	05
Mr. A. Matin Chowdhury	Managing Director	07	07
Dr. Shamim Matin Chowdhury	Director	07	07
Mr. Azizur R. Chowdhury	Director	07	07
Ms. Saima Matin Chowdhury	Director	07	03
Mr. Shyan Zubair	Director	07	03
Mr. Moshir Rahman	Director	07	07
Mr. Sultan Ahmed FCA	Independent Director (Non Shareholding)	07	06

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Suppliers, Workers and Employees of the company without whose active support the result would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,



A.F.M. Zubair
Chairman



Malek Siddiqui Wali
CHARTERED ACCOUNTANTS
9-G, Motijheel C/A, 2nd Floor,
Dhaka-1000, Bangladesh.

মালেক সিদ্দিকী ওয়ালী, চার্টার্ড একাউন্টেন্টস

৯-জি, মতিঝিল বানিজ্যিক এলাকা, ঢাকা-১০০০

Phone : 9513471, 9569867
PABX : 9576118-9, 9576128
Fax : +88-02-9516236
E-mail : wali@satcombd.com
Web : www.msw-bd.com

Independent Auditors' Report **To the shareholders of Salek Textile Limited** **Report on the Audit of the Financial Statements**

Opinion

We have audited the financial statements of **Salek Textile Limited** which comprise the financial position as at June 30, 2021, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, of the financial position of the company as at June 30, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis Matter of Paragraph:

With reference to the no. 34.2, a contingent asset of Tk. 304,791,187 in respect of fire insurance claim as result of fire incident happened at company's factory premises (Fabrics Unit). The effect of fire incident, some of company's Inventory of Tk. 58,346,808 and Property, Plant & Equipment of Tk. 246,444,379 at carrying value/written down value has been destroyed. All of these assets (Inventory and Property, Plant & Equipment) are under the comprehensive insurance coverage. An inspection has been completed by surveyor. As per directors' assessment, the insurance claim recover through shall be at least equal to the carrying value. No other information come to our attention. Our report is not qualified in this respect.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls:

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements:

In accordance with the Companies Act 1994, we also report that:

- a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- b) In our opinion, proper books of accounts, records and other statutory books as required by law have been kept by the Company so far as it appeared from our examinations of those books;
- c) The Statement of Financial Position and Statement of profit and loss and other comprehensive Income, of the Company dealt with by the report are in agreement with the books of account and returns; and
- d) The expenditures incurred and payments made were for the purpose of the company's business.

Malek Siddiqui Wali, Chartered Accountants

Dated, Dhaka
October 27, 2021

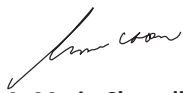

Md. Waliullah, FCA
Enrolment No: 0247
2110280247AS501334

Data Verification Code (DVC) No.

SALEK TEXTILE LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2021

Particulars	Amount in Taka	
	JUNE'21	JUNE'20
ASSETS :		
Non-Current Assets:		
Property, Plant and Equipment	3,423,599,553	3,509,690,830
Capital Work-in-Progress	-	3,414,308
Goodwill	168,600,020	168,600,020
	3,592,199,573	3,681,705,158
Current Assets :		
Inventories	1,996,816,179	1,957,768,818
Advance, Deposit and Pre-Payments	623,391,835	579,234,375
Accounts Receivable	1,551,091,902	1,285,416,244
Fire Insurance Claimed Receivable	304,791,187	-
Cash and Cash Equivalents	571,758,986	174,110,740
	5,047,850,089	3,996,530,177
TOTAL ASSETS :	8,640,049,662	7,678,235,335
SHAREHOLDER'S EQUITY AND LIABILITIES:		
Shareholder's Equity :		
Share Capital	482,608,700	482,608,700
Share Premium	601,754,814	601,754,814
Re-valuation Surplus	366,470,108	379,802,868
Tax Holiday Reserve	215,491,736	215,491,736
Retained Earnings	936,344,446	862,157,251
	2,602,669,804	2,541,815,369
Non-Current Liabilities:		
Long Term Loan	1,823,505,722	1,369,290,722
Deferred Tax Liabilities	150,664,478	128,847,001
	1,974,170,200	1,498,137,723
Current Liabilities :		
Short Term Loan	1,074,628,132	664,420,041
Current Portion of Long Term Loan	319,774,303	317,628,423
Acceptance Liabilities	1,744,081,698	1,668,224,189
Creditors, Accruals & Provisions	924,725,525	988,009,590
	4,063,209,658	3,638,282,243
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :	8,640,049,662	7,678,235,335
Net Assets Value Per Share (NAV)	53.93	52.67
Par Value Tk.10		

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.



A. Matin Chowdhury
Managing Director



Azizur R. Chowdhury
Director



B.K. Chaki
Chief Financial Officer



Syed Saiful Haque
Company Secretary

As per our report of same date



Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

SALEK TEXTILE LIMITED
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2021

Amount in Taka

Particulars	Spinning Unit	Fabrics Unit	RMG Unit	JUNE'21	JUNE'20
Sales	2,156,254,099	1,373,548,572	1,985,649,745	4,565,984,130	3,878,848,444
Cost of Goods Sold	(1,948,379,721)	(1,234,112,550)	(1,909,284,936)	(4,142,308,921)	(3,721,020,413)
Gross Profit/(Loss) :	207,874,378	139,436,022	76,364,809	423,675,209	157,828,030
Operating Expenses	(55,893,333)	(32,117,457)	(30,681,262)	(118,692,052)	(94,640,378)
Financial Expenses	(45,611,751)	(125,653,869)	(83,927,098)	(255,192,718)	(279,436,627)
Operating Profit/(Loss) :	106,369,294	(18,335,304)	(38,243,551)	49,790,439	(216,248,974)
Other Income/(Loss)	(498,342)	25,073,681	18,760,907	43,336,246	(49,797,561)
Net Operating Profit/(Loss) :	105,870,952	6,738,377	(19,482,644)	93,126,685	(266,046,535)
Contribution to WPPF	(5,041,474)	(320,875)	-	(5,362,349)	-
Profit/(Loss) before Tax :	100,829,478	6,417,502	(19,482,644)	87,764,336	(266,046,535)
Income Tax :	(15,130,202)	(6,829,366)	(4,950,332)	(26,909,901)	(28,608,226)
Current Tax	(614,002)	(2,600,411)	(1,878,012)	(5,092,424)	(25,929,549)
Deferred Tax	(14,516,201)	(4,228,956)	(3,072,320)	(21,817,477)	(2,678,677)
Net Profit/(Loss) after tax	85,699,275	(411,864)	(24,432,976)	60,854,435	(294,654,761)
Other Comprehensive Income	-	-	-	-	-
Total Comprehensive Income	85,699,275	(411,864)	(24,432,976)	60,854,435	(294,654,761)
Earnings Per Share (EPS)				1.26	(6.11)
Par Value Tk.10					
Number of Shares used to compute EPS				48,260,870	48,260,870

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.



A. Matin Chowdhury
Managing Director



Azizur R. Chowdhury
Director



B.K. Chaki
Chief Financial Officer



Syed Saiful Haque
Company Secretary

As per our report of same date



Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

SALEK TEXTILE LIMITED
STATEMENT OF CHANGES IN EQUITY

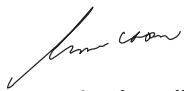
FOR THE YEAR ENDED 30TH JUNE 2021

Particulars	Share Capital	Share Premium	Tax Holiday Reserve	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2020	482,608,700	601,754,814	215,491,736	379,802,868	862,157,251	2,541,815,369
Net Profit/(Loss) during the year					60,854,435	60,854,435
Transfer of excess depreciation of Revalued Assets				(13,332,760)	13,332,760	-
As at 30th June 2021	482,608,700	601,754,814	215,491,736	366,470,108	936,344,446	2,602,669,804

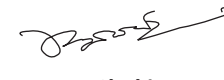
FOR THE YEAR ENDED 30TH JUNE 2020

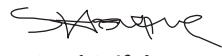
Particulars	Share Capital	Share Premium	Tax Holiday Reserve	Revaluation Surplus of Fixed Assets	Retained Earnings	Total
Balance as at 1st July 2019	482,608,700	601,754,814	215,491,736	394,496,839	1,142,118,041	2,836,470,130
Net Profit/(Loss) during the year					(294,654,761)	(294,654,761)
Transfer of excess depreciation of Revalued Assets				(14,693,971)	14,693,971	-
As at 30th June 2020	482,608,700	601,754,814	215,491,736	379,802,868	862,157,251	2,541,815,369

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on its behalf by.


A. Matin Chowdhury
Managing Director


Azizur R. Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary

As per our report of same date


Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

SALEK TEXTILE LIMITED
STATEMENT OF CASH FLOWS

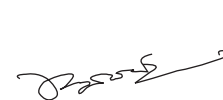
FOR THE YEAR ENDED 30TH JUNE 2021

PARTICULARS	Amount in Taka	
	JUNE'21	JUNE'20
CASH FLOW FROM OPERATING ACTIVITIES :		
Collection from Turnover & Bills Receivable	4,300,308,472	3,955,536,543
Payment for Raw Materials, Indirect Materials and other expenses	(4,010,879,802)	(3,440,798,381)
Foreign currency exchange Gain/(Loss) realized	125,723	(48,161)
Other Income	43,864,315	31,346,170
Payment to Employee against contribution to WPPF	-	(51,911,736)
Payment for Operating Expenses	(112,810,706)	(87,504,580)
Payment of Financial Expenses	(254,598,890)	(258,632,757)
Payment for Income Tax	(26,440,384)	(22,967,815)
Net Cash provided/(used) by Operating Activities	(60,431,272)	125,019,284
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(384,385,741)	(394,748,138)
Acquisition of Capital work in progress	(24,503,711)	(36,851,468)
Disposal of Fixed Assets	400,000	10,000,000
Net cash used in Investing Activities	(408,489,452)	(421,599,606)
CASH FLOW FROM FINANCING ACTIVITIES :		
Bank Loan Increase/(Decrease)	866,568,971	291,857,269
Net cash provided/(used) by Financing Activities	866,568,971	291,857,269
Increase/(Decrease) in Cash and Cash Equivalents	397,648,246	(4,723,053)
Opening Cash and Cash Equivalents	174,110,740	178,700,383
Foreign Currency Bank deposit translation Gain/(Loss)	-	133,410
Closing Cash and Cash Equivalents	571,758,986	174,110,740
Net Operating Cash Flow Per Share (NOCFPS)	(1.25)	2.59
Par Value Tk.10		

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
Managing Director


Azizur R. Chowdhury
Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary

As per our report of same date

Dhaka
October 27, 2021


Malek Siddiqui Wali
Chartered Accountants

NEWASIA SYNTHETICS LIMITED

DIRECTORS' REPORT TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2021

Dear Shareholders,

The directors are pleased to present their report on the activities of the company together with the Audited Accounts and Auditors' Report thereon containing Statement of Financial Position, Statement of Profit or Loss and other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2021.

REFERRAL:

In terms of the provisions of section 184 of the Companies Act'1994 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), it is the pleasure of the Board of Directors to submit its report to the Shareholders for the year ended 30 June 2021 in the following paragraphs:

BACKGROUND:

The Company was incorporated with RJSC on 30th day of July 2008 as a Private Limited Company and subsequently on October 24, 2009 it was converted into a Public Limited Company. The Authorized Share Capital of the company has also been increased from Tk. 500,000,000.00 to Tk.5,000,000,000.00 divided into 50,000,000 ordinary shares of Tk.100.00 each. The paid-up capital as on 30th June, 2021 stood at Tk.660,000,000.00 consisting of 6,600,000 ordinary shares of Tk.100.00 each. The company had increased its paid up capital from Tk.500,000,000.00 to Tk.660,000,000.00 on 20th December 2020.

The Company is a subsidiary company of Malek Spinning Mills Limited which holds 99.293% share & other sponsors of Malek Spinning Mills Ltd. hold 0.707% share of the company.

Mr. A. Matin Chowdhury is the Chairman of the Company and Dr. Shamim Matin Chowdhury is the Managing Director of the Company. Mr. Sultan Ahmed FCA, Independent Director of Malek Spinning Mills Limited has been appointed as Independent Director (Non Shareholding) of the Company.

COMPANY'S OPERATION AND FINANCIAL RESULTS:

The following capital expenditure was incurred in the year 2020-2021 & 2019-2020.

Description	2020-2021 (Tk.)	2019-2020 (Tk.)
Land and Land Development	926,682	24,798,369
Total	926,682	24,798,369

IMPLEMENTATION SCHEDULE:

The project was undertaken to set up a PET Granule (Bottle grade & Industrial grade) and Polyester Staple Fibre manufacturing unit in the name of Newasia Synthetics Ltd. As on 30th June 2021, MSML is the holder of 99.293% shares of Newasia Synthetics Limited i.e. 6,553,338 shares of Tk.100.00 each total Tk.655,333,800.00 out of 6,600,000 shares of Tk.100.00 each total Tk.660,000,000.00. The project could not started due to failure of Gas connection by Titas Gas Transmission & Distribution Company Ltd., the project has been shelved until the Gas connection is provided.

APPOINTMENT OF DIRECTORS:

Rotation of Directors:

Pursuant to Article 117 of the Articles of Association of the Company Dr. Shamim Matin Chowdhury, Director and Mr. Moshir Rahman, Director will retire by rotation and being eligible as per Article 119 of the Articles of Association of the Company they offered themselves for re-election.

APPOINTMENT OF AUDITORS:

The existing Auditor, M/s. Malek Siddiqui Wali, Chartered Accountants would retire at the 13th Annual General Meeting and being eligible, have offered themselves for re-appointment as Auditors for the year 2021-2022 with re-fixation of their remuneration.

BOARD MEETINGS:

During the year 2020-2021, Seven (07) Board meetings were held. The attendance record of the Directors are as follows:

Name of Directors	Position	Meeting held	Attended
Mr. A. Matin Chowdhury	Chairman	07	07
Dr. Shamim Matin Chowdhury	Managing Director	07	07
Mr. A. F. M. Zubair	Director	07	05
Mr. Moshir Rahman	Director	07	07
Mr. Sultan Ahmed FCA	Independent Director (Non Shareholding)	07	07

FINANCIAL ACCOUNTS:

As the Company did not commence production & marketing but Tk.2,840,344 collected from Agriculture as other income. On the other hand operating and financial expenses stood at Tk.3,617,881. As a result Net Loss incurred Tk.777,537 in the Statement of Profit or Loss and other Comprehensive Income for the year ended on 30th June, 2021.

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders of the company.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,



A. Matin Chowdhury

Chairman



Malek Siddiqui Wali
CHARTERED ACCOUNTANTS
9-G, Motijheel C/A, 2nd Floor,
Dhaka-1000, Bangladesh.

মালেক সিদ্দিকী ওয়ালী, চার্টার্ড একাউন্টেন্টস

৯-জি, মতিঝিল বানিজ্যিক এলাকা, ঢাকা-১০০০

Phone : 9513471, 9569867
PABX : 9576118-9, 9576128
Fax : +88-02-9516236
E-mail : wali@satcombd.com
Web : www.msw-bd.com

Independent Auditor's Report **To the shareholders of Newasia Synthetics Limited** **Report on the Audit of the Financial Statements**

Opinion

We have audited the financial statements of **Newasia Synthetics Limited** which comprise the financial position as at June 30, 2021, the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements present fairly, in all material respects, of the financial position of the company as at June 30, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our Opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements and Internal Controls:

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), the Companies Act 1994 and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditors' Responsibilities for the Audit of the Financial Statements:

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other Legal and Regulatory Requirements:

In accordance with the Companies Act 1994, we also report that:

- a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- b) In our opinion, proper books of accounts, records and other statutory books as required by law have been kept by the Company so far as it appeared from our examinations of those books;
- c) The Statement of Financial Position and Statement of profit and loss and other comprehensive Income, of the Company dealt with by the report are in agreement with the books of account and returns; and
- d) The expenditures incurred and payments made were for the purpose of the company's business.

Malek Siddiqui Wali, Chartered Accountants

Dated, Dhaka
October 27, 2021

Data Verification Code (DVC) No.



Md. Waliullah, FCA
Enrolment No: 0247
2110280247AS561246

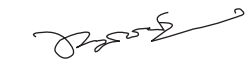
NEWASIA SYNTHETICS LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2021

Particulars	Amount in Taka	
	JUNE'21	JUNE'20
ASSETS :		
Non-Current Assets :		
Property Plant & Equipment	2,139,379,345	2,139,166,366
	2,139,379,345	2,139,166,366
Current Assets :		
Advance, Deposit and Pre-Payments	5,003,073	891,843
Cash and Cash Equivalents	26,524,430	788,751
	31,527,503	1,680,594
TOTAL ASSETS :	2,170,906,848	2,140,846,960
SHAREHOLDER'S EQUITY AND LIABILITIES:		
Shareholder's Equity :		
Share Capital	660,000,000	500,000,000
Re-valuation Surplus	1,341,650,365	1,341,650,365
Retained Earnings	(22,537,317)	(21,759,780)
	1,979,113,048	1,819,890,585
Current Liabilities :		
Creditors & Accruals	191,793,800	320,956,375
	191,793,800	320,956,375
TOTAL SHAREHOLDER'S EQUITY AND LIABILITIES :	2,170,906,848	2,140,846,960
Net Assets Value Per Share (NAV)	299.87	363.98
Par Value Tk.100		

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary

As per our report of same date

Dhaka
October 27, 2021


Malek Siddiqui Wali
Chartered Accountants

NEWASIA SYNTHETICS LIMITED

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30TH JUNE 2021

Particulars	Amount in Taka	
	JUNE'21	JUNE'20
Sales	-	-
Cost of Goods Sold	-	-
Gross Profit/(Loss) :	-	-
Operating Expenses	(3,573,151)	(2,582,341)
Financial Expenses	(44,730)	(8,120)
Operating Profit/(Loss) :	(3,617,881)	(2,590,461)
Other Income/(Loss)	2,840,344	-
Net Operating Profit/(Loss) :	(777,537)	(2,590,461)
Provision for Contribution to WPPF	-	-
Profit/(Loss) before Tax :	(777,537)	(2,590,461)
Income Tax :	-	-
Current Tax	-	-
Deferred Tax	-	-
Net Profit/(Loss) after tax	(777,537)	(2,590,461)
Other Comprehensive Income	-	-
Total Comprehensive Income	(777,537)	(2,590,461)
Earnings Per Share (EPS)	(0.12)	(0.52)
Par Value Tk.100		
Number of Shares used to compute EPS	6,600,000	5,000,000

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary

As per our report of same date


Malek Siddiqui Wali
Chartered Accountants

Dhaka
October 27, 2021

NEWASIA SYNTHETICS LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30TH JUNE 2021

Particulars	Share Capital	Revaluation Surplus of Fixed Assets	Share Money Deposit	Retained Earnings	Total
Balance as on 1st July 2020	500,000,000	1,341,650,365	-	(21,759,780)	1,819,890,585
Issuance of Share Capital	160,000,000	-	-	-	160,000,000
Net Profit/(Loss) during the year				(777,537)	(777,537)
As at 30th June 2021	660,000,000	1,341,650,365	-	(22,537,317)	1,979,113,048

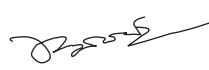
FOR THE YEAR ENDED 30TH JUNE 2020

Particulars	Share Capital	Revaluation Surplus of Fixed Assets	Share Money Deposit	Retained Earnings	Total
Balance as on 1st July 2019	500,000,000	1,341,650,365	-	(19,169,319)	1,822,481,046
Net Profit/(Loss) during the year				(2,590,461)	(2,590,461)
As at 30th June 2020	500,000,000	1,341,650,365	-	(21,759,780)	1,819,890,585

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on its behalf by.


A. Matin Chowdhury
Chairman


Dr. Shamim Matin Chowdhury
Managing Director


B.K. Chaki
Chief Financial Officer


Syed Saiful Haque
Company Secretary

As per our report of same date

Dhaka
October 27, 2021


Malek Siddiqui Wali
Chartered Accountants

NEWASIA SYNTHETICS LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30TH JUNE 2021

PARTICULARS	Amount in Taka	
	JUNE'21	JUNE'20
CASH FLOW FROM OPERATING ACTIVITIES :		
Other Income/(Loss)	2,857,339	-
Payment for Operating Expenses	(3,276,443)	(2,107,208)
Accounts Payable Increased/(Decreased)	37,425	(1,831)
Payment for Financial Expenses	(44,730)	(8,120)
Net Cash provided/(used) by Operating Activities	(426,409)	(2,117,159)
CASH FLOW FROM INVESTING ACTIVITIES :		
Acquisition of Fixed Assets	(5,037,912)	(13,833,215)
Disposal of Fixed Assets	400,000	-
Net Cash used in Investing Activities	(4,637,912)	(13,833,215)
CASH FLOW FROM FINANCING ACTIVITIES :		
Issuance Share Capital	160,000,000	-
Advance received/payment from Malek Spinning Mills Ltd	(129,200,000)	16,100,000
Net cash provided/(used) by Financing Activities	30,800,000	16,100,000
Increase/(Decrease) in Cash and Cash Equivalents	25,735,679	149,626
Opening Cash and Cash Equivalents	788,751	639,125
Closing Cash and Cash Equivalents	26,524,430	788,751
Net Operating Cash Flow Per Share (NOCFPS)	(0.06)	(0.42)
Par Value Tk.100		

These financial statements were approved by the Board of Directors on October 27, 2021 and were signed on it's behalf by.


A. Matin Chowdhury
 Chairman


Dr. Shamim Matin Chowdhury
 Managing Director


B.K. Chaki
 Chief Financial Officer


Syed Saiful Haque
 Company Secretary

As per our report of same date



Dhaka
 October 27, 2021

Malek Siddiqui Wali
 Chartered Accountants

J.M. FABRICS LIMITED
DIRECTORS' REPORT
TO THE SHAREHOLDERS FOR THE YEAR ENDED 30TH JUNE, 2021

Dear Shareholders,

In terms of provisions of section 184 of Companies Act'1994 and IAS (International Accounting Standards) codes as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB), the Board of Directors is pleased to submit its Report to the Shareholders together with Audited Accounts and Auditors' Report thereon, containing Statement of Financial Position, Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year ended 30 June 2021.

BACKGROUND:

The Company was incorporated with RJSC on 25th day of May 2005 as a Private Limited Company. The Authorized Share Capital of the company is Tk.500,000,000.00 divided into 5,000,000 ordinary shares of Tk.100.00 each. The paid-up capital as on 30th June, 2021 stood at Tk.400,000,000.00 consisting of 4,000,000 ordinary shares of Tk.100.00 each of which 3,999,900 shares of Tk.100.00 each was held by Malek Spinning Mills Limited.

The Company is a subsidiary company of Malek Spinning Mills Limited which holds 99.998% share & another sponsor of Malek Spinning Mills Ltd. holds 0.002% share of the company as on 30th June 2021.

Mr. A. Matin Chowdhury is the Chairman of the Company and Mr. Azizur R. Chowdhury is the Managing Director of the Company. Mr. Sultan Ahmed FCA, Independent Director of Malek Spinning Mills Limited has been appointed as Independent Director (Non Shareholding).

COMMERCIAL OPERATION:

J. M. Fabrics Limited started its commercial operation on 18th day of August 2007. The Company is engaged in the production of 100% export oriented garments and knit fabric with a production capacity of 18 Metric Tons dyed fabric and 74 (seventy four) lines of cutting and sewing operation with all necessary facilities, storage etc. The company has set up a project named "Seamless Garments" within the same premises in 2018-2019 and this has been started in commercial operation in the year 2019-2020.

COMPANY'S OPERATIONS:

The position of its operating performance for the year ended 30th June, 2021 is given below:

(1) CAPACITY/PRODUCTION

The Company's installed estimated production capacity is 54,475,200 Pcs. of Basic T-Shirt, Polo-Shirt & Intimate Seamless Garments per annum. Due to increase of RMG products order quantity, we had to increase production line. As a result total number of production quantity increased. A comparative position of its operating performance is given below:

Sl. No. Description	2020-2021 (Pcs.)	2019-2020 (Pcs.)
01 Production capacity	54,475,200	44,880,000
02 Actual Production	42,475,688	30,302,781
03 Capacity Utilization	77.97%	67.52%
04 Quantity Sold (Pcs.)	48,026,980	27,676,319
05 Sales Revenue (Tk.)	7,995,720,932	3,599,525,545
06 Average selling price (Tk.)	166.48	130.06

CAPITAL EXPENDITURES:

The following Capital Expenditure was incurred during the year 2020-2021 as compared to the previous year:

Description	2020-2021 (Tk.)	2019-2020 (Tk.)
Factory Building	--	132,506,772
Plant and Machinery	615,139,323	121,479,090
Office Equipments	17,119,094	19,010,707
Furniture & Fixtures	17,349,390	1,609,581
Utilities Facility	20,067,087	50,728,977
Transport Facility	6,038,372	--
Total	675,713,266	325,335,129

SHAREHOLDING:

The Shareholding Position of different shareholders as at 30th June 2021 are as follows:

Name of Shareholders	No. of share held
Malek Spinning Mills Limited	3,999,900 shares
Mr. A.F.M. Zubair	100 shares
Total	4,000,000 shares

FINANCIAL RESULTS:

The company's operating financial results, as compared to the previous year are summarized as follows:

Tk. in million

Description	2020-2021	2019-2020
Turnover	7,995.72	3,599.53
Cost of goods sold	7,477.99	3,363.61
Gross profit	517.73	235.92
General and Administrative Expenses	51.86	42.28
Operating profit	465.87	193.64
Other income	55.99	50.82
Financial Cost	144.87	166.52
Net Profit before provision of WPPF	376.99	77.95
Net Profit before tax	376.99	77.95
Provision for Income Tax	34.88	39.88
Net profit after tax	342.10	38.07
Gross Margin Ratio	6.48%	6.55%
Net Margin Ratio	4.28%	1.06%
Earnings per share (Tk.)	85.53	9.52

APPROPRIATION OF PROFIT:

The Board of Directors recommended for appropriation of profit as follows:

Net Profit (after tax provision) during the year 2020-2021	Tk.342,104,520
Add: Profit brought forward from previous year balance sheet	Tk.426,022,705
Add: Adjustment of disposal of revalued fixed assets	Tk. 220,923
Add: Adjustment of excess depreciation of revalued assets	Tk. 1,564,558
Total net free surplus available for appropriation	Tk. 769,912,706

Appropriation Proposed:

Proposed Dividend	Nil
Balance carried forward to Balance Sheet as Retained earnings	Tk. 769,912,706

DECLARATION OF DIVIDEND:

In order to strengthen the financial position of the company no dividend be and is recommended by the Board for the year ended 30th June, 2021.

APPOINTMENT OF AUDITORS:

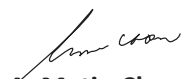
The existing Auditor, M/s. Das Chowdhury Dutta & Co., Chartered Accountants would retire at the 16th Annual General Meeting and being eligible, have offered themselves for re-appointment as Auditors for the year 2021-2022 with re-fixation of their remuneration.

ACKNOWLEDGEMENT:

The Directors are pleased to record with appreciation and gratitude the co-operation and support provided by Shareholders, Customers, Bankers, Suppliers, Workers and Employees of the company without whose active support the result would not have been possible.

Looking forward for a bright future for all of us.

On behalf of the Board of Directors,


A. Matin Chowdhury
 Chairman



দাশ চৌধুরী দত্ত এন্ড কোং
DAS CHOWDHURY DUTTA & CO.
Chartered Accountants

Offices:

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Fax : 088-031-714312
E-mail : dcdctg@outlook.com

Website : www.daschowdhurydutta.com

INDEPENDENT AUDITORS' REPORT

To the Shareholders of J. M. Fabrics Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **J. M. Fabrics Limited** which comprise the statement of financial position as at **30 June 2021**, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the company as at **30 June 2021**, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies Act 1994 and other applicable laws and regulations.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the financial statements section of our report. We are independent auditors of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Bangladesh and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained which is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended 30 June 2021. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the auditor's responsibilities for the audit of the financial statements section of our report including in relation to these matters.

Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatements of the financial statements. These results of our audit procedures including the procedures performed to address the matters below provide the basis for our audit opinion on the accompanying financial statements.

Risk	Our responses to the risk
Revenue Recognition Company's total revenue of Tk. 7,995,720,932 as reported herein is measured at net of discounts, incentives and rebates being allowed to number of customers which has material effect in revenue recognition due to inherent complex and judgmental nature. As such, risk associated in revenue recognition with respect to estimation of discount, incentives and rebates which is expected to be influenced by the management for fulfilling the performance target.	We have tested the design and operating effectiveness of calculation of discounts, incentives and rebates having checked the invoices raised from time to time for revenue recognition. We have also applied substantive procedure to check the current year's revenue, agreeing to sample claims, rebates and accruals to the recorded transactions with bank deposit reconciliation and necessary documentation and also presentation of disclosures in accordance with respective accounting standards.

Risk	Our responses to the risk
Valuation of Inventories Inventories of Tk. 1,940,510,010 as at 30 June 2021 is measured at the lower of cost and net realizable value considering the appropriate values of slow moving or obsolete items.	We were present at the time of physical inventory to check and compare the results between maintained records with physical existence and to identify the slow and obsolete items. Short/excess found have been reconciled and adjusted. Net realizable value has been recalculated for disclosing in accordance with respective accounting standards.
Deferred Tax Liabilities Deferred tax liability of Tk. 60,521,483 as at 30 June 2021 is neither payable nor to be paid in future. This is measured and recognized at the value of difference between accounting base and tax base. This requires a significant assessment procedure for determining such liabilities.	The company has recognized deferred tax liabilities by using assumptions between recorded transactions of accounting base and tax base. We have evaluated the operational effectiveness with respect to recognition and measurement of deferred tax liabilities. However, the measured amount is nothing but an estimate subject to discretionary provisions of income tax law.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report but does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information which we are required to report the fact but we have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Companies Act 1994, and other applicable laws and regulations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so and those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standard on Auditing (ISAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatements of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that

is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from errors, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosures about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act 1994 and other applicable laws and regulations, we also report that:

- (a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof.
- (b) In our opinion, proper book of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books.
- (c) The Company's statement of financial position, statement of profit or loss and other comprehensive income together with the notes to the financial statements dealt with by the report are in agreement with the books of accounts and returns.
- (d) The expenditure incurred was for the purpose of the Company's business.



Sunirmal Chowdhury FCA (500)
Partner
Das Chowdhury Dutta & Co.
Chartered Accountants
DVC No. 2110070500AS530824

Dhaka, 04 October 2021

J.M. Fabrics Limited

Statement of Financial Position as at 30 June 2021

Particulars	Taka	
	30.06.2021	30.06.2020
ASSETS:		
Non-Current Assets	2,686,516,859	2,310,229,227
Property, plant and equipment	2,389,051,041	1,908,604,727
Revalued fixed assets	163,971,700	166,033,280
Capital work in progress	133,494,118	235,591,220
Current Assets	3,391,715,355	2,209,688,720
Inventories	1,940,510,010	951,357,300
Advances, deposits and pre-payments	149,026,814	483,846,347
Accounts receivable	1,023,193,148	446,946,351
Cash and cash equivalents	278,985,383	327,538,722
Total	6,078,232,214	4,519,917,947
SHARE HOLDERS' EQUITY AND LIABILITIES:		
Shareholders' Equity	1,309,255,514	967,150,994
Share capital	400,000,000	400,000,000
Revaluation reserve	139,342,808	141,128,289
General reserve and surplus	769,912,706	426,022,705
Non-Current Liabilities	884,458,792	1,115,785,834
Long term loan from bank	823,937,309	1,046,002,448
Deferred tax liabilities	60,521,483	69,783,386
Current Liabilities	3,884,517,908	2,436,981,119
Short term loan	1,528,962,313	1,288,200,277
Current portion of long term loan	317,616,952	392,855,387
Accounts payable	142,954,508	273,460,316
Loan from director	34,000,000	34,000,000
Bank acceptance liabilities	1,596,959,146	297,485,732
Liabilities for expenditure	264,024,989	150,979,407
Total	6,078,232,214	4,519,917,947
Net Assets Value (NAV) Per Share (Including Revaluation surplus)	327.31	241.79

A. Matin Chowdhury
Chairman

Azizur R. Chowdhury
Managing Director

Amit Kumar Saha
Chief Financial Officer

Syed Saiful Haque
Company Secretary

Signed in terms of our report of even date annexed.

Sunirmal Chowdhury FCA (500)
Partner
Das Chowdhury Dutta & Co
Chartered Accountants

Dhaka, 04 October 2021

J.M. Fabrics Limited

Statement of Profit or Loss and Other Comprehensive Income for the year ended on 30 June 2021

Particulars	Taka	
	30.06.2021	30.06.2020
Turnover - Export earnings	7,995,720,932	3,599,525,545
Less: Cost of goods sold	7,477,990,727	3,363,605,197
Gross Profit / (Loss)	517,730,205	235,920,348
Less: General and Administrative Expenses	51,863,569	42,276,697
Administrative expenses	38,091,512	35,725,164
Selling and distribution expenses	9,926,209	4,249,817
Bank charges and commission	3,845,848	2,301,716
Operating Profit / (Loss)	465,866,636	193,643,651
Other Income	(88,877,725)	(115,692,031)
Financial cost	(144,870,893)	(166,517,029)
Other income/(loss)	55,993,168	50,824,998
Net Profit Before Provision of WPPF	376,988,911	77,951,620
Provision for WPPF	0	0
Net Profit Before Tax	376,988,911	77,951,620
Provision for Income Tax	34,884,391	39,884,689
Provision for tax - current year	44,146,294	21,189,540
Provision for deferred tax	(9,261,903)	18,695,149
Net Profit After Tax	342,104,520	38,066,931
Earnings Per Share (EPS)	85.53	9.52
Number of shares used to compute earning per share (EPS)	4,000,000	4,000,000



A. Matin Chowdhury
Chairman



Azizur R. Chowdhury
Managing Director



Amit Kumar Saha
Chief Financial Officer



Syed Saiful Haque
Company Secretary

Signed in terms of our report of even date annexed.



Sunirmal Chowdhury FCA (500)
Partner
Das Chowdhury Dutta & Co
Chartered Accountants

Dhaka, 04 October 2021

J.M. Fabrics Limited

Statement of Changes in Equity For the year ended 30 June 2021

Particulars	Share Capital	Revaluation Reserve	General Reserve and Surplus	Total
Balance as at 01 July 2020	400,000,000	141,128,289	426,022,705	967,150,994
Net profit / (loss) for the year	0	0	342,104,520	342,104,520
Adjustment for Disposal of Revalued Fixed Asset	0	(220,923)	220,923	-
Adjustment of revaluation surplus with general reserve and surplus for depreciation charged on revalued assets	0	(1,564,558)	1,564,558	-
Balance as at 30 June 2021	400,000,000	139,342,808	769,912,706	1,309,255,514

For the year ended 30 June 2020

Particulars	Share Capital	Revaluation Reserve	General Reserve and Surplus	Total
Balance as at 01 July 2019	400,000,000	142,705,342	386,378,721	929,084,063
Net profit / (loss) for the year	0	0	38,066,931	38,066,931
Adjustment of revaluation surplus with general reserve and surplus for depreciation charged on revalued assets	0	(1,577,053)	1,577,053	0
Balance as at 30 June 2020	400,000,000	141,128,289	426,022,705	967,150,994



A. Matin Chowdhury
Chairman



Azizur R. Chowdhury
Managing Director



Amit Kumar Saha
Chief Financial Officer



Syed Saiful Haque
Company Secretary

Signed in terms of our report of even date annexed.



Sunirmal Chowdhury FCA (500)
Partner
Das Chowdhury Dutta & Co
Chartered Accountants

Dhaka, 04 October 2021

J. M. Fabrics Limited

Statement of Cash Flows for the year ended on 30 June 2021

Particular	Taka	
	30.06.2021	30.06.2020
Cash Flows from Operating Activities:		
Collection from turnover and accounts receivable	7,419,474,135	3,577,093,177
Collection from other income	63,503,406	53,773,554
Foreign currency gain / (loss)	(16,714)	(228,753)
Payment for purchase of raw materials	(8,282,148,020)	(3,170,545,797)
Payment for operating expenses	(46,849,353)	(38,961,599)
Payment for financial expenses	(148,716,741)	(168,818,745)
Increase in advances, deposits and prepayments	334,819,532	(113,993,206)
Increase/(Decrease) in liabilities	946,463,800	114,310,133
Tax paid	(44,146,294)	(21,189,540)
Net Cash Provided/ (Used) by Operating Activities	242,383,751	231,439,224
Cash Flows from Investing Activities:		
Acquisition of fixed assets including CWIP	(238,066,776)	(444,428,595)
Disposal of fixed assets	3,671,224	660,000
Net Cash Provided/(Used) by Investing Activities	(234,395,552)	(443,768,595)
Cash Flows from Financing Activities:		
Loan received from bank	(56,541,538)	468,432,043
Loan received from directors	0	0
Net Cash Provided/(Used) by Financing Activities	(56,541,538)	468,432,043
Increase/(Decrease) in Cash and Cash Equivalents	(48,553,339)	256,102,672
Opening balance of Cash and Cash Equivalents	327,538,722	71,436,050
Closing balance of Cash and Cash Equivalents	278,985,383	327,538,722
Net Operating Cash Flows Per Share (NOCFPS)	60.60	57.86



A. Matin Chowdhury
Chairman



Azizur R. Chowdhury
Managing Director



Amit Kumar Saha
Chief Financial Officer



Syed Saiful Haque
Company Secretary

Signed in terms of our report of even date annexed.

Dhaka, 04 October 2021



Sunirmal Chowdhury FCA (500)
Partner
Das Chowdhury Dutta & Co
Chartered Accountants

Malek Spinning Mills Limited

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh
Corporate Head Office: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh

PROXY FORM

I/We

of

being a member of Malek Spinning Mills Limited and a holder of.....shares

hereby appoint Mr/Mrs/Miss.....

of.....

as my/our proxy to attend and vote for me/us on my/our behalf at the 32nd Annual General Meeting of the Company to be held on Monday, December 27, 2021 at 2.00 p.m. under virtual platform through the link **<http://www.digitalagmbd.net/malekspin>**

As witness my hand this day2021

**Afix Revenue
Stamp**

Signature of the Proxy

Dated:

Signature of the Member

Dated:

Folio/BO ID

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Note: A member entitled to attend and vote at the Annual General Meeting may appoint proxy to attend and vote in his/her stead. The proxy form should reach at the Corporate Head Office of the Company not less than 72 hours before the time fixed for the meeting.

Signature Verified

Authorized Signature

Malek Spinning Mills Limited



Malek Spinning Mills Limited

Registered Office: 117/A, Tejgaon Industrial Area, Dhaka-1208, Bangladesh

Corporate Head Office: Tower-117, 117/A, Tejgaon Industrial Area, Dhaka-1208

Tel: IPT +8809612111177-92, 880-2-8878065, Fax: 880-2-8878064

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